

Social Studies Collection

No. 40

Childhood, Poverty and the Economic Crisis

Sara Ayllón Gatnau



"la Caixa" Foundation

COMMUNITY PROJECTS. THE SPIRIT OF "LA CAIXA".

Social Studies Collection

No. 40

Childhood, Poverty and the Economic Crisis

Sara Ayllón Gatnau



"la Caixa" Foundation

BOARD OF TRUSTEES OF "la Caixa" BANKING FOUNDATION

Chairman	Isidro Fainé Casas
Deputy Chairman	Alejandro García-Bragado Dalmau
Trustees	Antoni Aguilera Rodríguez, Salvador Alemany Mas, César Alierta Izuel, Maria Teresa Bassons Boncompte, Josefina Castellví Piulachs, Eugenio Gay Montalvo, Javier Godó Muntañola, Francesc Homs Ferret, Jaime Lanaspa Gatnau, Juan-José López Burniol, Carlos Slim Helú, Javier Solana Madariaga, Xavier Ventura Ferrero
Secretary (non trustee)	Óscar Calderón de Oya
Deputy Secretary	Alejandro García-Bragado Dalmau
CEO of "la Caixa" Banking Foundation	Jaume Giró Ribas

Published by

"la Caixa" Foundation

Publication:

Infancia, pobreza y crisis económica

Design and production

"la Caixa" Foundation

Publication

Authors

Sara Ayllón Gatnau

Design and layout

CEGE

Coordination of publication:

© the authors

© "la Caixa" Foundation, 2015

Av. Diagonal, 621 – 08028 Barcelona

The opinions expressed in the documents in this collection are the sole responsibility of the authors and do not necessarily reflect those of the "la Caixa" Foundation.

SARA AYLLÓN GATNAU received a PhD in Applied Economics from the Universidad Autònoma de Barcelona (UAB) after completing bachelor's degrees in Economics and Communications from the UAB and a masters in European Social Policy from the London School of Economics. She is currently an assistant professor in the Economics department of the University of Girona. Her research is focused on the analysis of the economics of poverty and inequality, and in particular, the well-being of children and youth. She has published articles in social science journals such as the *Review of Income and Wealth*, *Applied Economics Letters* and *Demographic Research*, in addition to co-authoring two books and authoring several book chapters. She is currently lead researcher in Spain for the European project, "Negotiating early job-insecurity and labour market exclusion in Europe", financed by the European Commission within the framework of the Horizon 2020 programme.

Table of contents

Presentación	9
Introduction	11
I. Methodology and data	16
1.1. Source of data	16
1.2. Income distribution and equivalence scale	17
1.3. Poverty indices	26
1.4. Definition of a ‘child’	27
II. Trends in relative child poverty in Spain	28
2.1. An approach to relative poverty	28
2.2. Trends in relative poverty rates	30
2.3. Analysis of sensitivity and severe poverty	35
2.4. A comparison with Europe	37
2.5. Conclusions	40
III. Trends in anchored poverty among children	41
3.1. Poverty anchored in time and trends in Spain	43
3.2. A comparison with Europe	49
3.3. Conclusions	52
IV. Child poverty and the cost of housing	54
4.1. Poverty and housing costs	55
4.2. Poverty, imputed rent and mortgages	57
4.3. Poverty and type of housing tenure	59
4.4. Conclusions	61
V. Material deprivation among children	63
5.1. Measuring material deprivation	64
5.2. Trends in child material deprivation	66
5.3. Consistent poverty: monetary poverty and material deprivation	76
5.4. A comparison with the rest of Europe	80
5.5. Conclusions	84
VI. Main at risk groups in the child population	86
6.1. Adolescents	86
6.2. The children of unemployed or economically inactive parents	91
6.3. Large families	96

6.4. Single-parenthood	101
6.5. Children of immigrant origin	105
6.6. Conclusions	107
VII. The dynamics of child poverty	109
7.1. The data: European Union Statistics on Income and living Conditions - longitudinal database	110
7.2. Dynamics of poverty among children in Spain, 2004-2012	112
7.3. Analysis of sensitivity of poverty transitions in Spain	120
7.4. Conclusions	122
VIII. Measures to combat child poverty	123
8.1. Family policy in Spain from a comparative perspective	125
8.2. The impact of social benefits on child poverty	129
8.3. Analysis of different types of monetary assistance to combat child poverty	134
8.4. Conclusions	151
Conclusions	153
Appendix	163
Bibliography	165
Index of tables and graphs	172

Presentation

Much of a society's future depends on the opportunities and level of well-being it is able to offer its younger generations. Experiencing economic disadvantage in early life can have negative consequences on a person's development in adulthood. For example, the presence of poverty or social exclusion in childhood hinders social mobility, increases the likelihood of school failure and early school leaving and is a predictor of the occurrence of health problems in adulthood. Children also have little control over the events of their lives, which are for the most part determined by the family, community and society they live in.

As a result, children have been and continue to be one of the priorities of social welfare systems. The importance given to childhood, along with the existence of a historic period of development, has led to an improvement in the material conditions of children's lives in recent decades.

However, the economic crisis in Spain, which began at the end of 2007 and has become the most serious crisis of recent decades, may have halted or even reversed this gradual improvement in children's lives. Understanding the effects of the crisis on one of the most vulnerable groups in our society, children, is exactly the aim of this study.

The author has analysed trends in the rates of poverty and material deprivation between 2004 and 2012, examining to what extent households with children have been affected by the economic crisis. The analysis also looks at these effects on families that are especially vulnerable, such as single-parent families, large families, those in which parents are unemployed and those of immigrant origin. Lastly, the study compares the cost and the

potential impact of various social policy measures designed to address the problem of child poverty.

The study uses data from a representative sample of the Spanish population, with comparable data from other EU countries. This has allowed the author to compare the situation in Spain with that of its European Union neighbours. The longitudinal nature of the data has also facilitated the analysis of the dynamics of poverty, as the author examines to what extent poor households with children are able to exit poverty.

This edition of the Social Studies collection of the "la Caixa's" Obra Social is intended to provide greater understanding of the impact of the crisis on children. The results presented here also provide a valuable guide for the design of social policies that can minimise this impact. In this way, we hope to contribute not only to improving the situation of children in our country today, but to providing them with greater opportunities in the future.

Enric Banda

Director of Science and the Environment
"la Caixa" Banking Foundation

Barcelona, June, 2015

Introduction

Concern about the consequences of the current crisis on the welfare of children has been steadily growing. On the 13 of February, 2013, the European Commission made public its recommendations to EU member states on child poverty in the document, “Investing in children: breaking the cycle of disadvantage”, warning of the impact of the economic recession on children, the population group least able to bear its consequences.⁽¹⁾

Most children live in homes that depend on income earned in the labour market, which makes them especially vulnerable to the changes brought on by the economic recession. High unemployment rates, job insecurity, falling wages, high housing costs and lack of real family policies define the economic context that households with children in Spain must cope with today. As we will see, this has not been an easy task for many.

The consequences of childhood poverty have been closely studied (Haveman and Wolfe, 1994; Duncan and Brooks-Gunn, 1997; Ermish, Francesconi and Pevalin, 2001; Smeeding, Erikson and Jäntti, 2011). Living the first years of life in poverty has negative consequences that can persist throughout an individual’s life (Corak, 2006; Corak, Curtis and Phipps, 2011). Being born into and growing up in a poor home leads to problems in development that tend to be more serious the more intense and persistent the periods of poverty are. Moreover, poverty leads to

(1) The recommendations aim to guide the interests of member states toward a response to specific problems. As pointed out by Cerviño Cuerva (2014), with these recommendations, the Commission has recognised the powerful impact of the crisis on the quality of life of children and has emphasised that the struggle against poverty must be understood as a long-term investment that will have economic benefits and positive repercussions for all of society.

children growing up in a more unequal society, hinders social mobility and reduces equal opportunity, thus feeding an inter-generational cycle of poverty (Griggs and Walker, 2008; Ermish, Jäntti and Smeeding, 2012). From a macroeconomic perspective, poverty also has undesirable effects in the form of lower economic growth and limits on long-term productivity and competitiveness. Childhood poverty also stigmatises.

It has been shown that poverty during childhood is associated with health problems, not only during that stage of life but in adulthood as well. Case, Lubotsky and Paxson (2002) and Case, Fertig and Paxson (2005) have shown that the positive relationship between income and better health in adults has its antecedents in childhood. Children from poor families enter adulthood not only with a lower socioeconomic level but also with poorer health. Health problems also cause a lower accumulation of human capital among children, which is associated with lower incomes in the stage of the life cycle when individuals become parents, thus contributing to the intergenerational transmission of poverty.

Poor children have poor diets, and the number and distribution of their meals throughout the day is inadequate in comparison to children from better off families.⁽²⁾ Poor children also have more problems with obesity (Suglia *et al.*, 2012; Aber *et al.*, 1997; Díaz Huertas, Vall Combelles and Ruiz Díaz, 2004, and UNICEF, 2010, for the Spanish case). In addition, living in poverty during childhood is a predictor of problems with anxiety and depression in adulthood (Najman *et al.*, 2010; Fedaia, 2014).

Monetary poverty and material deprivation are often associated with higher rates of early school leaving, lower academic performance and poorer cognitive skills (Marí-Klose *et al.*, 2010). Poor children participate in fewer after school activities, as access to recreational activities is another area where we see the impact of economic inequalities. Poverty also takes a toll on the family environment in which children grow up, affecting the quality of family life and parent-child relationships. Poverty is also related

(2) As established by the Ombudsman in Catalonia (*Sindic de Greuges*, 2013), the consequences of an inadequate diet can be serious: “Children who live in poverty and who have a poor or inadequate diet lack the necessary resources to attain maximum development [...]. Lack of an adequate diet in the first years of life has a serious impact not only on present but later physical, intellectual and emotional development as well, and is one of the causes of the persistence of poverty in adulthood and throughout the life cycle” (*Sindic de Greuges*, 2013, pp. 1-2).

to anti-social behaviour. Poor children living in poor quality housing have a greater likelihood of being evicted, more problems with overcrowding and move home more often.

Given the above difficulties, there is general agreement in Spain and many other societies that as children cannot change their own situation, it is very important to offer them greater protection than adults.

This study analyses the impact of the current crisis on the economic well-being of children in Spain, measured by their risk of suffering monetary poverty and material deprivation. To do this, we present a comprehensive analysis of the situation of children in Spain from 2004 until 2012, based on data from the Living Conditions Survey of Spain's National Statistics Institute. The main objectives of this study are: to examine the effects of the crisis on trends in child poverty, both relative and anchored in time; to determine the impact of problems in the housing market on children's well-being; to analyse the major deficiencies in children's living conditions; to identify the most vulnerable groups among the child population; to analyse the changes that have taken place in terms of the risks of entering into and remaining in poverty, and lastly, to propose measures to alleviate child poverty in Spain.⁽³⁾ The results we present should stimulate future research to examine the factors that explain the data presented here more deeply.

This study is organised into eight chapters. Following this introduction, chapter 1 discusses the methodology used throughout the study, presenting our data sources, the measurements of poverty we have used and the definition of certain key concepts. Some initial descriptive data in this chapter will allow us to establish the economic position of children with respect to other age groups in the population and to determine how this position has changed over time.

Chapter 2 looks at trends in relative child poverty in Spain. Thus, we take the most widely used measure of poverty in Europe to look at how poverty has changed over time, both for the overall population and for those under

(3) We do not address the measurement of the subjective well-being of children before and during the economic crisis, although there is no doubt that children are capable of perceiving the consequences of the crisis. See the extraordinary study by Casas and Bello (2012) on child well-being in Spain, carried out in collaboration with UNICEF.

18 years of age. Specifically, we examine the consequences of the economic crisis on the prevalence of poverty among children, comparing the current period of crisis with the years just before. A sensitivity analysis of the poverty threshold also allow us to study trends in the rate of severe poverty. The final section of this chapter analyses trends in relative poverty in Spain in the European context.

Chapter 3 looks at the measurement of poverty from another perspective, known as *poverty anchored in time*. This means that instead of allowing the poverty threshold to change in each of the years analysed, as is done in analyses of relative poverty, we fix the poverty line in one year and study how the well-being of the population changes with respect to the standard of living for that year. This technique allows us to assess to what extent a population's well-being improves or worsens with changes in the economic cycle. As in the previous chapter, the final section in this chapter compares the evolution of poverty anchored in time in Spain with that of other countries in Europe.

In chapter 4 we analyse the problem of housing costs in Spain and how these costs impoverish many families with children. In addition, we look at the repercussions on poverty of many families buying their own homes in the period prior to the explosion of the real estate bubble, when the price of housing was at a record high. We also evaluate the risk of poverty by type of tenancy.

In chapter 5 we move from a unidimensional analysis of individual well-being (based only on income) to a multidimensional perspective that examines children's living conditions. Analysis of material deprivation is based on indicators related to basic consumption and the quality of housing, as well as the possibility of families taking vacations once a year and their ability to make it to the end of the month without financial difficulty. After a brief introduction to the methodology used to create an index of deprivation, we analyse trends in material deprivation among children to determine to what extent monetary poverty and material deprivation coincide, often considered in these types of studies as a measurement of *consistent poverty*. Again, this chapter ends with a comparison of Spain and the other member states of the European Union.

Chapter 6 looks at five main groups at risk of poverty among the child population. These populations have been identified as especially vulnerable, both in terms of suffering monetary poverty and material deprivation. In addition, the chapter compares the situation of these groups before and during the economic crisis. As we will see, adolescents, the children of unemployed or economically inactive parents, children in large families or in single-parent households and children of immigrant origin constitute the groups at greatest risk of social exclusion.

In chapter 7 we analyse the dynamic behind child poverty, understood to be the study of the transitions into and out of poverty, as well as the likelihood of remaining in chronic poverty. To do this, we have taken longitudinal files from the Living Conditions Survey and followed individuals over time. This allows us to observe trends in the rates of entering and exiting poverty before and during the crisis period.

We could not end this study without looking at possible measures to alleviate child poverty in Spain. With this aim, in chapter 8 we analyse the impact of three types of monetary assistance to combat child poverty: universal assistance for all families, aid conditioned by income and aid conditioned by type of family. Our analysis consists of a comparative statistical exercise that demonstrates how the child poverty rate changes with different types of assistance. While it is true that some of these measures would require a great deal more resources than the state currently budgets for children and families, this exercise reveals the potential impact they could have on the well-being of children.

The last chapter contains the major conclusions of our analysis of the impact of the crisis on children.

I. Methodology and data

In this chapter we present our data source, discuss the methodological decisions adopted throughout this study and present certain conceptual definitions.

1.1 Source of data

Our study is based on data from the Living Conditions Survey (LCS), developed by the National Statistics Institute (in Spanish: *Instituto Nacional de Estadística*, (INE)), as requested by Eurostat, which gathered information on individual households in Spain for the period between 2004 and 2012.⁽¹⁾ The INE's Living Conditions Survey is part of the broader EU-SILC (European Union Statistics on Income and Living Conditions), a set of harmonised statistical operations developed in the different member states of the European Union in order to carry out comparative studies. The EU-SILC is the database that replaced the ECHP (*European Community Household Panel*), which consisted of a panel of eight waves between 1994 and 2001.

The primary objective of the EU-SILC is the systematic production of EU community statistics on the income and living conditions of the population. To meet this objective, it gathers information on a range of variables: the income of households and their individual members, non-monetary indicators of household deprivation, demographic data, the education level of the different members of the household, indicators related to health and

(1) It should be noted that the very design of the survey excludes some of the most needy persons in the society, such as the homeless. It also excludes individuals who live in prisons, residences for the elderly, orphanages, etc.; as a result, the LCS is not representative of the population that does not live in private households.

healthcare, childcare in the household, etc. As mentioned previously, in Spain the National Statistics Institute (INE) is the body responsible for this survey (referred to here as the Living Conditions Survey), which is available to researchers on its web page

Table 1.1 shows year by year the number of households, total number of individuals and children included in the sample.

TABLE 1.1

Composition of the sample (number of observations) in the Living Conditions Survey, Spain, 2004-2012

	HOUSEHOLDS	INDIVIDUALS	CHILDREN (UNDER 18)
2004	14,640	42,107	7,504
2005	12,937	37,276	6,693
2006	12,149	34,515	6,223
2007	12,315	34,586	6,174
2008	13,014	35,970	6,286
2009	13,360	36,865	6,452
2010	13,597	37,026	6,500
2011	13,109	34,756	5,893
2012	12,714	33,573	5,748
Total	117,835	326,674	57,473

Source: by author based on data from Living Conditions Survey, 2004-2012. Cross-sectional files.

1.2. Income distribution and equivalence scale

Our analysis of monetary poverty is based on the distribution of income, in turn based on the total household income available during the year prior to the interview. We have worked, then, with an income distribution that is the result of adding up all the income of all household members, regardless of their source. In addition, the income distribution that the LCS contains has been multiplied by a factor that corrects for the problem of a lack of a response within a household. In other words, in the case of a household member not providing information about his/her income, the National Statistics Institute imputes an inflation factor to that household, which corrects for the possible underestimation of total household income.

Although Eurostat has changed the formula for calculating total household income as the survey data collected in the EU-SILC (including the LCS) has been gathered over the years,⁽²⁾ here we have chosen to construct an income distribution that contains the same items for all the years – as is shown in Table 1.2. This allows our results to be strictly comparable over time.

TABLE 1.2

The distribution of total household income

The variable of total household income is the result of adding all individual net income corresponding to:

- Wages and salaries,
- non-salary income (per diems, bills, etc.),
- company car,
- profits or losses from self-employment,
- value of goods produced for own consumption,
- benefits, unemployment benefits,
- retirement pension,
- widowhood pension,
- payment for sick leave,
- disability pension,
- grants, scholarships, or payments related to education,
- income from private pension plans.

And income from the household, which includes:

- income from rent or property,
- benefits received for children/family,
- benefits related to social exclusion,
- housing assistance,
- regular transfers from family or friends,
- interest, dividends,
- income received by children in the home under 16.

From this sum, we subtract:

- adjustments resulting from the tax return,
 - taxes on wealth,
 - transfers paid to friends or family.⁽³⁾
-

(2) For example, the income earned from private pension plans has only been considered part of household income since the 2010 EU-SILC/LCS.

(3) Note that estimated income related to imputed rent on apartments owned is not included, See chapter 5 in this study for an analysis of poverty that takes into account hypothetical income from rent.

Once we have determined income distribution based on the income of all persons pertaining to individual households, we have to transform household income into equivalent income so that it is possible to compare well-being among households with different compositions. The selection of an equivalence scale is, thus, an important methodological decision in the analysis of child poverty because it accounts for the weight assigned to each child in assessing total household income. Following the recommendations of the European Commission and the indications for calculating Laeken indicators,⁽⁴⁾ this study uses the OECD-modified scale, which assigns a value of 1 to the household head, 0.5 to each additional adult member, and 0.3 to children under 14 years of age.⁽⁵⁾ Thus, in the case of a household with a couple and two school-age children, total household income is divided by a factor of 2.1, while in the case of a single-parent household with a baby, the factor is 1.3. By dividing total household income by the equivalence scale, we obtain equivalent income.⁽⁶⁾

It is worth bearing in mind that the analysis itself assumes that the incomes of all the members of a household are shared and distributed equally among its different members, regardless of sex or age.⁽⁷⁾ This methodology imposes certain limits, not only regarding the diagnosis of situations of economic difficulty, but also on the possible design of public initiatives aimed at improving child welfare. The existence of inequalities within households may mean that an increase in resources intended for children does not translate into an improvement in their situation (Ayala, Martínez and Sastre, 2006b).

Tables 1.3 and 1.4 show the average and median equivalent income we have used, as well as the rates of simple growth, over the years for the period 2004-2012. These descriptive statistics are shown in both nominal (current) and real (constant) values, using the Consumer Price Index (CPI)

(4) Laeken indicators were established in 2001 as a part of the Lisbon Strategy to monitor the evolution of poverty and social exclusion in the different member states of the EU.

(5) Using a different equivalence scale would produce different results. For an analysis of the sensitivity of the composition of poverty in relation to the choice of equivalence scale, see, for example, Duclos and Mercader (1999).

(6) Equivalent income may be interpreted as income corresponding to each member of the household taking into account that within a single home there are economies of scale.

(7) Lundberg, Pollak and Wales (1997), among others have questioned the hypothesis of intra-family equity.

for each year and taking 2004 as a base. As can be seen, the growth rates for nominal income are clearly positive between the years 2004 and 2008, but with the onset of the economic crisis we see annual household income begin to fall, indicating the overall decline in income in Spanish society. As a result, we get negative growth rates. The reading is very similar in the case of real income.

TABLE 1.3

Descriptive statistics on the distribution of annual household income, Spain, 2004-2012

Unit: euros and percentages for growth rates

YEAR	NOMINAL INCOME		REAL INCOME		NOMINAL INCOME		REAL INCOME	
	AVERAGE	GROWTH RATE	AVERAGE	GROWTH RATE	MEDIAN	GROWTH RATE	MEDIAN	GROWTH RATE
2004	24,492	–	24,492	–	21,399	–	21,399	–
2005	25,051	2.3	24,204	–1.2	21,844	2.1	21,105	–1.4
2006	26,167	4.5	24,523	1.3	22,896	4.8	21,458	1.7
2007	27,498	5.1	24,773	1.0	23,904	4.4	21,535	0.4
2008	29,166	6.1	25,674	3.6	25,435	6.4	22,389	4.0
2009	29,332	0.6	24,586	–4.2	25,853	1.6	21,671	–3.2
2010	28,820	–1.7	24,403	–0.7	25,020	–3.2	21,185	–2.2
2011	27,561	–4.4	22,986	–5.8	23,728	–5.2	19,789	–6.6
2012	27,139	–1.5	21,939	–4.5	23,000	–3.1	18,593	–6.0

Note: Calculations are based on the distribution of persons. Results weighted individually.

Source: by author based on the Living Conditions Survey, 2004-2012. Real income based on 2004 and using the CPI for June each year.

TABLE 1.4

Descriptive statistics on the distribution of equivalent annual household income, Spain, 2004-2012

Unit: euros and percentages for growth rates

YEAR	NOMINAL INCOME		REAL INCOME		NOMINAL INCOME		REAL INCOME	
	AVERAGE	GROWTH RATE	AVERAGE	GROWTH RATE	MEDIAN	GROWTH RATE	MEDIAN	GROWTH RATE
2004	11,620	–	11,620	–	10,326	–	10,326	–
2005	12,008	3.3	11,602	–0.2	10,453	1.2	10,099	–2.2
2006	12,641	5.3	11,847	2.1	11,138	6.6	10,438	3.4
2007	13,449	6.4	12,116	2.3	11,805	6.0	10,635	1.9
2008	14,385	7.0	12,663	4.5	12,725	7.8	11,202	5.3
2009	14,644	1.8	12,274	–3.1	12,987	2.1	10,886	–2.8
2010	14,509	–0.9	12,286	0.1	12,752	–1.8	10,797	–0.8
2011	14,005	–3.5	11,681	–4.9	12,186	–4.4	10,164	–5.9
2012	13,982	–0.2	11,303	–3.2	12,033	–1.3	9,727	–4.3

Note: Calculations are based on the distribution of persons. Results weighted individually.

Source: by author based on the Living Conditions Survey, 2004-2012. Real income based on 2004 and using the CPI for June each year.

Based on this income distribution, the descriptive statistics by age group offer an initial approximation of the economic position of children in Spain for the 2004-2012 period in comparison to the other age groups.⁽⁸⁾ Graph 1.1 shows the median of equivalent annual income (in constant values) for each age group corresponding to the first and last year analysed. To facilitate comparison, a horizontal line indicates the median income for the population overall.

(8) The rest of this study is entirely dedicated to analysing child poverty and therefore, it only focuses on the lower end of the income distribution.

GRAPH 1.1

Median of equivalent annual income by age group in Spain, 2004-2012 (constant values)

Unit: constant euros



Source: by author based on the Living Conditions Survey, 2004 and 2012.
Individual population weights used. Real income based on 2004.

The graph shows that the median equivalent income corresponding to children varies considerably depending on the age group of the minor. Thus, up until two years of age, children's median equivalent income is higher than the median for the total population. In the rest of the age groups, and especially upon entering into adolescence, this median income is associated with very low equivalent incomes. In fact, the results indicate that children from 0 to two years of age are in the best economic position among the child population. In the age group from 14 to 17 years of age, on the other hand, families have fewer economic resources, so much so

that the median equivalent income of this group only exceeds that of persons 70 years of age and over for the two years analysed. Note that we do not find significant differences between the years 2004 and 2012, but we do find that, once the effect of price changes is subtracted, practically all age groups have lower incomes in 2012 than in 2004.

GRAPH 1.2

Distribution of the adult (18+) and child (<18) population by income quintiles, Spain, 2004 and 2012

(in percentages)



Note: The quintiles have been created for the whole population so that each quintile includes 20% of the population using household equivalent income.

Source: by author based on the Living Conditions Survey, 2004 and 2012.

Individual population weights used. Real income based on 2004.

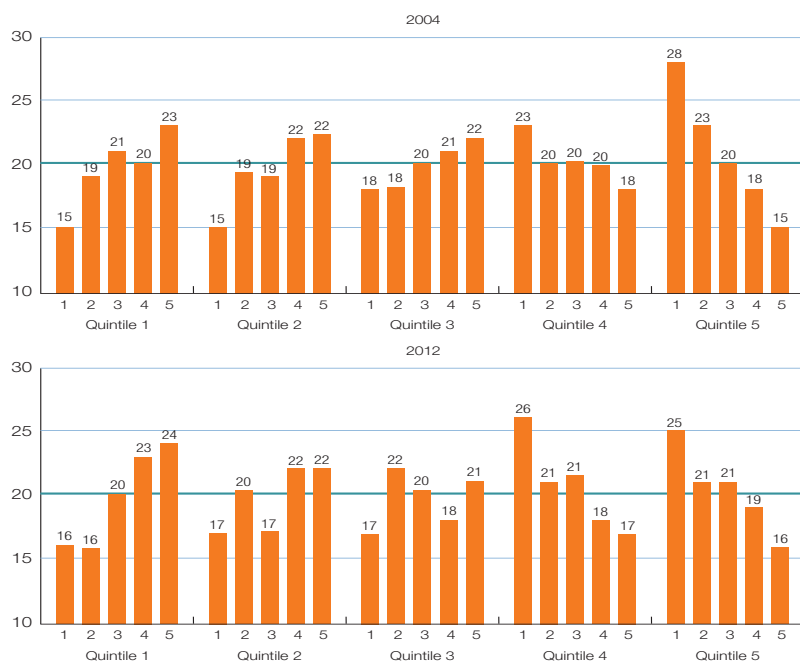
Another way to get an image of the economic position of children is to analyse the percentage of children and adults who belong to each income

quintile ordered from lowest to highest (i.e. from the poorest to the richest). Thus, graph 1.2 shows that although the distribution of the adult population by income quintiles is quite homogeneous (approximately 20% of adults are in each quintile), this is not the case among children. The child population is clearly over-represented in the lowest income quintile (the first), with 25% of children in this quintile in 2004 and this percentage rising to 27% in 2012, and especially under-represented in the fourth and fifth quintiles, that is, among the population groups with the highest incomes.

GRAPH 1.3

Distribution of children by income quintiles and by age group, Spain 2004 and 2012

(in percentages)



Note: Age group '1' refers to children between 0 and 2; '2', from 3 to 5; '3', from 6 to 9; '4', from 10 to 13, and '5', from 14 to 17. The quintiles are based on the total child population, such that each quintile contains 20% of the child population based on household equivalent incomes.

Source: by author based on the Living Conditions Survey, 2004 and 2012.

Individual population weights used. Real income based on 2004.

If we break down the results by age group within the child population, as shown in graph 1.3, we again see that the youngest children are in a better economic situation, as children from 0 to 2 years of age make up 15% of the lowest quintile but 28% of the highest quintile in 2004. In contrast, for children 10 years of age and older, and especially starting at 14, the situation is the opposite: they are over-represented in the lowest income quintiles, and under-represented in the highest. Regarding the older age groups, their percentages in the two highest quintiles are clearly under 20%, both in 2004 and 2012, which indicates that there are fewer children at these ages who live in households at the highest levels of income distribution.

It is important to keep in mind that in the database used for this study, income is gathered retrospectively. Given that households must report all of the income earned during the year, at the time of the interview they detail the income received in the previous year. Thus, for example, households interviewed in 2004 indicate the income they earned in 2003. This causes a certain bias between the period of reference for income (the previous year) and that of the equivalence scale (the year of the interview).⁽⁹⁾ Typically, with cross-sectional data like that used in the following chapters, it is not possible to carry out any type of correction. Moreover, we have followed here the annotation used by the National Statistics Institute, and we will refer, for example, to poverty in the year 2004, even though the income is from 2003, for the simple reason that the households were interviewed in 2004.

Finally, we must point out that the National Statistics Institute has already made the LCS for 2013 available to researchers. However, this data has not been used in the present study. This is because the year 2013 represents a break in the time series with respect to 2004-2012, and therefore, the results would not be comparable. As the National Statistics Institute explains on its web page,⁽¹⁰⁾ the data related to household income in the 2013 LCS have been developed using a mixed methodology that combines information provided by Spain's State Tax Administration Agency and Ministry of Employment and Social Security (and the relevant bodies in the case of the region of Navarre and the local administration of Vizcaya. See

(9) See Debels and Vandecastelle (2008) for a more detailed explanation of the possible consequences on measuring poverty from the existing bias between income and equivalence scale.

(10) See the link http://www.ine.es/prodyser/micro_ccv.htm# (web page consulted in January 2015).

National Statistics Institute, 2014). This means that the 2013 data are not comparable with the data from previous years used in this study.⁽¹¹⁾

1.3 Poverty indices

Throughout this study we use three measures of poverty belonging to the family of indices outlined by Foster, Greer and Thorbecke (1984). The first and most commonly used, is the *poverty rate*, that is, the percentage of individuals out of the total population with equivalent incomes below the poverty threshold. This is also known as the *at-risk-of-poverty rate*.⁽¹²⁾ In this regard, the poverty threshold or poverty line is the amount of resources that enables us to distinguish between those who are poor and those who are not. For example, as will be seen in chapter 3, the relative poverty threshold for the year 2004 was 6,196 euros. This means that we classify those individuals with equivalent incomes below this amount as poor, while those with higher equivalent incomes are not considered to be poor.

The second indice, poverty intensity, measures the distance of the income of poor individuals from the poverty line or threshold. It, therefore, informs us of the aggregate poverty gap; that is, it is a measurement of the resources that would be required for poor individuals to exit poverty.⁽¹³⁾

Finally, the third indice, the *severity of poverty*, is similar to the previous measurement, but greater weight is given in its calculation to the incomes of individuals, who being poor, are the furthest from the poverty line.⁽¹⁴⁾ In the calculation, this is achieved by squaring the distances of the income of poor individuals to the poverty line. Thus, the measurement of severity takes into account the situation of the poorest of the poor.

To the extent possible we include an analysis of the statistical significance of the findings we present.

(11) Eurostat also warns its users about the break in the series in 2013 in the case of Spain.

(12) In this study, the concept of *at risk of poverty* is used as a synonym for the poverty rate.

(13) As explained by Cantó and Ayala (2014), “this indicator reveals the role of intensity through what we could call the “income gap” or Income Gap Ratio, which is the value of the sum of the distances between the income of the poor and the poverty threshold expressed in proportion to the maximum gap possible (which would be represented by a situation in which all of the poor would have no disposable income)” (Cantó and Ayala, 2014: 20).

(14) Poverty intensity corresponds to the calculation of FGT (1) and poverty severity to FGT (2), with aversion parameters toward inequality 1 and 2, respectively.

1.4 Definition of a ‘child’

According to the Convention of the United Nations on the Rights of the Child (1989), a child is “a person below the age of 18, unless the laws of a particular country set the legal age for adulthood younger” (UNICEF, 2007a). In line with this definition, in this study a child is considered any person below the age of 18. Certain international bodies, such as the OECD or the statistics office of the European Union, Eurostat, also use this definition (OCDE, 2012; Eurostat, 2012).

Lastly, this study uses the child as its primary unit of analysis (despite the fact that it measures family income). Thus, when we refer to the child population, we are referring to the population under 18 years of age (and not to the group of households with children).

II. Trends in relative child poverty in Spain

In this chapter we analyse trends in relative child poverty rates in Spain during the period 2004-2012. In the first section, we explain the poverty threshold used; in the second section we analyse trends in poverty for both the overall population and for children, and in the third section, based on a sensitivity analysis, we look at severe poverty. Lastly, section four offers a comparison of Spain with that of other countries in the European Union.

2.1 An approach to relative poverty

First of all, it should be noted that the methodology followed in this chapter is based in large part on the guidelines set by the European Commission in establishing a set of social indicators for the analysis of trends in poverty and social exclusion in EU countries. These guidelines are based on a study carried out by a group of experts (see Atkinson *et al.*, 2002).⁽¹⁾ The recent *Europe 2020* Strategy follows the same guidelines. This ten year strategy, launched in 2010 by the European Commission to create the conditions for smart, sustainable and inclusive growth, aims to reduce the number of persons at risk of poverty and social exclusion in the EU by 20 million (European Commission, 2010).

In this regard, we have established a poverty threshold of 60% of the median equivalent annual household income. This is a relative conception of poverty, as the economic (or monetary) needs of households are defined based on the median level of income in the society analysed. Thus, when a

(1) See also European Commission (2008a, 2008b).

society becomes wealthier over time, the monetary resources required by a household to be above the poverty line also increase. If, on the contrary, the overall society becomes poorer, the poverty threshold by definition decreases. And this is exactly what is shown in table 2.1, which shows the level of the poverty threshold for three types of households in Spain during the period analysed.

TABLE 2.1

Relative poverty thresholds for three types of families, Spain, 2004-2012.

In current euros

	SINGLE PERSON	COUPLE WITH TWO CHILDREN	SINGLE-PARENT WITH ONE CHILD
2004	6,196	13,011	8,054
2005	6,272	13,171	8,153
2006	6,683	14,034	8,687
2007	7,083	14,874	9,207
2006	7,635	16,034	9,926
2009	7,792	16,363	10,129
2010	7,651	16,068	9,946
2011	7,312	15,355	9,505
2012	7,220	15,162	9,386

Source: by author based on data from the Living Conditions Survey, 2004-2012.

Notice that the poverty threshold begins to decrease after 2009, reflecting the decrease in annual income for a large number of Spanish households. As will be seen in the following chapters, a decrease in the poverty threshold will not necessarily be accompanied by a decrease in the percentage of persons who are poor.

In addition to the methodological issues just discussed, it is also important to remember that the implicit unit of analysis is the individual, although we measure income referring to the household. As a result, when we measure poverty, we use the individual weights contained in the data matrix that allow us to project the results from the LCS onto

the entire Spanish population. Thus, our results are representative of the total Spanish population, with the exception of individuals not living in private households.

2.2 Trends in relative poverty rates

The first column in table 2.2 shows the poverty rate for the entire population between the years 2004 and 2012, based on data from the Living Conditions Survey. In the second column we see the results of a simple test of averages, which indicates if the differences between the years are statistically significant. The absence of asterisks means that there is no statistically significant difference between the year analysed and the previous year, while one asterisk indicates that the difference is statistically significant with a 90% confidence level, two asterisks, 95% and three asterisks, 99%. The higher the level of confidence in the statistical test, the clearer the difference in poverty rates is between years.

Based on the results obtained, the percentage of poor persons was approximately, on average, 21% for the period; that is, approximately one out of five people in Spain had equivalent incomes below the poverty threshold. Not even during the economic boom in the middle of the decade studied was the poverty rate significantly lower; however, it did increase with the onset of the economic crisis, despite the decrease in the poverty threshold. In fact, between 2009 and 2012, the poverty rate increased by two percentage points, reaching 22.1%.

The results of statistical tests show that between 2004 and 2009 we cannot talk about statistically significant differences in the poverty rate between years. The relative poverty rate remained, therefore, practically stable during this entire period. But between 2009 and 2010, and 2010 and 2011, the tests confirm significant differences with 99% and 95% confidence, respectively, affirming the increase in poverty commented on.

TABLE 2.2

The rate, intensity and severity of poverty in Spain, 2004-2012

(in percentages)

YEAR	POVERTY RATE	<i>SIMPLE T-TEST</i>	INTENSITY	<i>SIMPLE T-TEST</i>	SEVERITY	<i>SIMPLE T-TEST</i>
2004	20.1		6.3		3.3	
2005	20.1		6.5		3.4	*
2006	20.4		6.7		3.6	
2007	20.1		6.5		3.6	
2008	20.8	*	7.2	***	6.4	***
2009	20.1		8.5	***	8.4	*
2010	21.4	***	9.4	***	8.2	
2011	22.2	**	9.2		6.9	***
2012	22.1		9.0		6.5	

Note: *** indicates a statistically significant difference between years of 99%, **, of 95%, and *, of 90%.
Source: by author based on the Living Conditions Survey, 2004-2012, using the distribution of persons.
Population weights used.

Even more worrying are the estimates of the intensity and severity of poverty. We recall that both of these measures of poverty tell us about the relative distances between the incomes of poor households and the poverty threshold (in the case of measuring severity, giving greater importance to the incomes further away from the poverty threshold). In other words, they measure the aggregate poverty gap and, therefore, reveal the resources that would be required to lift all poor individuals out of poverty.

As can be seen, the intensity of poverty for the Spanish population remained relatively stable between 2004 and 2007. It was in 2008 that the situation began to get worse, with the intensity of poverty reaching its peak in 2010, with a level 50% higher than at the beginning of the period. This means that with the onset of the economic crisis, not only do a greater number of persons have equivalent incomes below the poverty threshold, but that the household income of the poor is moving further and further away from the poverty threshold. We should also emphasise that while the increase in the poverty rate started in 2009, the increase in the intensity of

poverty took place a year earlier. That is, although there were not a greater number of poor persons in 2008, the income of poor households had already started to move further below the poverty line. Looking at the severity of poverty reveals something very similar, with a maximum in 2010 that was more than double the 2004 level.

Regarding children, the child poverty rate is much higher than for the Spanish population as a whole, as shown in table 2.3.⁽²⁾ The results of statistical tests (not shown for brevity) confirm that the difference between the poverty rate for the overall population and for children is statistically significant to a confidence level of 99% for all the years analysed. Therefore, an initial image of the situation indicates that children are, on average, at greater risk of poverty than the rest of the population in Spain. The results are similar regarding both the intensity and severity of poverty:⁽³⁾ not only do children suffer a higher risk of poverty than the overall population, but poor children are poorer than the overall poor population.

Already in 2004, the child poverty rate was 25.4%. In other words, one out of four children in Spain was living with equivalent incomes below the relative poverty threshold despite the economic growth that Spain was experiencing at that time. The emergence of the economic crisis only worsened this situation, as the rate increased by 2.2 percentage points from 2009 to 2011, a greater increase than that found for the general population,⁽⁴⁾ and reaching its maximum in 2011, at 29.1%.

(2) See Martínez López (2014) for an analysis that also includes the period between 1994 and 2001 based on data from the ECHP (European Community Household Panel).

(3) The difference in the measurement of severity between the overall population and the child population is not statistically significant for the years 2008 and 2009.

(4) While it is true that the t-tests do not reveal statistically significant differences between consecutive years, the differences are significant between the stage prior to the crisis and the current period. For example, differences in the risk of child poverty between 2004 and 2009 or 2010 are statistically significant at 99% confidence level. They also are between 2009 and 2011, with 95% confidence.

TABLE 2.3

The rate, intensity and severity of child poverty (persons under 18 years of age) in Spain, 2004-2012

In percentage

YEAR	POVERTY RATE	SIMPLE T-TEST	INTENSITY	SIMPLE T-TEST	SEVERITY	SIMPLE T-TEST
2004	25.4		8.4		4.4	
2005	26.0		9.1	*	5.2	**
2006	27.1		9.5		5.1	
2007	25.9		8.7		4.7	
2008	27.8		9.9	**	8.8	*
2009	26.9		11.8	***	9.6	
2010	28.1		13.1	**	10.8	
2011	29.1		12.6		9.3	
2012	28.9		12.1		8.0	*

Note: *** indicates a statistically significant difference between years at 99%, ** at 95%, and *, at 90%.

Source: by author based on data from the Living Conditions Survey, 2004-2012, using the distribution of persons. Population weights used.

This trend in the child poverty rate means that children are the age group in the Spanish population at the greatest risk of living in poverty. As shown in graph 2.1, during the period of economic growth prior to the crisis, it was persons 64 years of age and older who suffered the highest poverty rate in the population, but starting in 2008 the situation changed, with children becoming the group most at risk. In this regard, it is noteworthy that there was a 14 point decrease in the risk of poverty for older persons between 2004 and 2012. However, this result cannot be explained entirely as a real improvement in the economic circumstances of the elderly, but rather is also due to a threshold effect: as the poverty threshold dropped, due to the overall decline in household income, persons who managed to maintain their level of income (in real terms) were no longer considered poor in the crisis period.⁽⁵⁾ We must

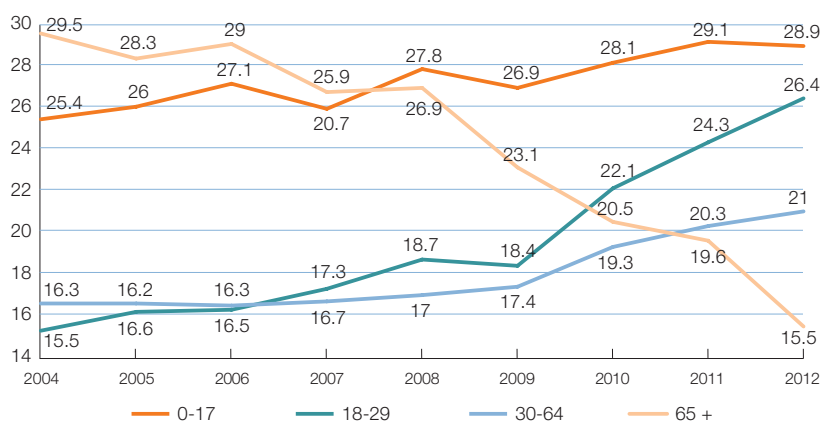
(5) Previous studies have described this relationship in Spain: in periods of economic growth, the situation of retired persons tends to worsen in comparison to children and to improve when the economy enters a recession (Cantó and Mercader, 1998, 2002).

also note the serious deterioration in the situation of young adults (between 18 and 29 years of age), whose economic well-being has been the most gravely affected by the crisis.

GRAPH 2.1

Trends in the relative poverty rate by age group in Spain, 2004-2012

In percentage



Source: by author based on data from the Living Conditions Survey, 2004-2012, using the distribution of persons. Population weights used.

The intensity of poverty among children remained stable between 2004 and 2007, but in 2008 (as with the overall population) it began to rise until reaching its highest levels in 2011 and 2012. With the emergence of the economic crisis, the situation of poor children worsened to an alarming degree. The situation is even worse in terms of the severity of poverty, which, by 2010, had more than doubled in comparison to the levels found during the period of economic boom.

In short, not only are there more children living below the poverty line in Spain today in comparison to the rest of the population, but they are also in a much more serious situation, as the equivalent incomes of the households in which they live have moved further and further below the poverty line since the onset of the economic crisis. Moreover, the economic problems suffered by families with children have caused the gap between the poverty rate for the overall population and that of children to widen.

2.3 Analysis of sensitivity and severe poverty

In the last section we focused our attention on the analysis of poverty based on a threshold defined at 60% of median equivalent income. In this section we want to analyse the sensitivity of the results using alternative definitions of the poverty threshold, so that we can confirm or discard the trends we have indicated.

Table 2.4 shows the poverty rate for the overall population and the child population when we define the relative poverty threshold based on 30%, 40%, 50%, 60% and 70% of median equivalent income, respectively. We want to highlight that the use of 30% and 40% of the median as threshold qualifies as severe or extreme poverty (see Ayala, Martínez and Sastre, 2006a).

TABLE 2.4

Relative poverty rate for the total population and the child population according to the poverty threshold used, Spain, 2004-2012

In percentage

YEAR	DEFINITION OF POVERTY THRESHOLD (% MEDIAN INCOME)				
	30%	40%	50%	60%	70%
TOTAL POPULATION					
2004	3.9	7.5	12.8	20.1	27.4
2005	4.0	7.9	13.1	20.1	27.6
2006	4.8	8.1	13.4	20.3	27.9
2007	4.6	8.0	13.2	20.0	27.9
2008	4.4	7.4	13.4	20.8	27.8
2009	6.1	9.0	14.0	20.1	27.7
2010	7.1	10.4	15.1	21.4	28.6
2011	7.1	10.5	15.8	22.2	29.5
2012	7.0	10.5	15.5	22.1	28.8
CHILD POPULATION					
2004	5.8	10.5	17.0	25.4	34.5
2005	6.0	12.0	17.4	26.0	35.3
2006	7.9	11.9	19.0	27.1	35.8
2007	6.6	11.5	17.5	25.9	34.8
2008	6.4	10.8	18.9	27.8	35.2
2009	9.0	13.3	19.7	26.9	35.4
2010	10.5	15.1	21.5	28.1	35.4
2011	10.5	15.4	21.7	29.1	36.2
2012	9.8	14.9	21.4	28.9	36.0

Source: by author based on data from the Living Conditions Survey, 2004-2012, using the distribution of persons. Population weights used.

We can draw important conclusions from the data in the table, as they indicate that the increase in the poverty rate was particularly serious in the case of severe poverty, both if it is defined as 30% or 40% of median equivalent income. Thus, the first column in the table (based on a poverty threshold equivalent to 30% of median equivalent income) shows that between 2004 and 2012 the percentage of persons living in severe poverty rose from 3.9% to 7%, an 80% increase. In the case of children, it went

from 5.8% to 9.8% (an increase of practically 70%). When we use a poverty threshold of 40%, the respective increases in severe poverty are 40% for the total population (from 7.5% to 10.5%) and 42% among children (from 10.5% to 14.9%). In contrast, if we focus on the results in the last column, which uses a poverty threshold of 70% of median equivalent income, the increase in poverty in the period would be only 5% (from 27.4% to 28.8%) among the overall population and 4% (34.5% to 36%) among children.

In short, these results reveal that the economic crisis has caused an alarming increase in severe poverty, in particular affecting children. Indeed, practically one out of ten children in Spain was living under the severe poverty line of 30% in 2012. This is very serious if we consider that this poverty threshold represented living with an annual income in 2012 of 4,693 euros (391 euros per month) in a single-parent home with one child under 14 years of age, and 7,581 euros (632 a month) for a couple with two children.

2.4. A comparison with Europe

We conclude this chapter comparing Spain to other European countries, looking at the relative poverty rate for both the overall population and among children. To do this, we use data published by the office of statistics of the European Union, Eurostat, on its web page.⁽⁶⁾

Graphs 2.2 and 2.3 show the poverty rates for the whole population and among children, respectively. On the right side of each graph we see the poverty rate in 2005, and on the left side we see the change between 2005 and 2012 in percentage points.⁽⁷⁾ As can be seen, in 2005 Spain was among the European countries with the highest risk of poverty, with rates very similar to that suffered by Greece and Ireland, and only below those of Lithuania, Poland and Romania. In fact, even during the period of economic growth prior to the crisis, Spain had a poverty rate four

(6) The data can be found on the web page: http://appsso.eurostat.ec.europa.eu/nui/show.do?dataset=ilc_li02&lang=en (consulted December 2014). See also UNICEF (2005, 2007b, 2013, 2014) for excellent comparative studies.

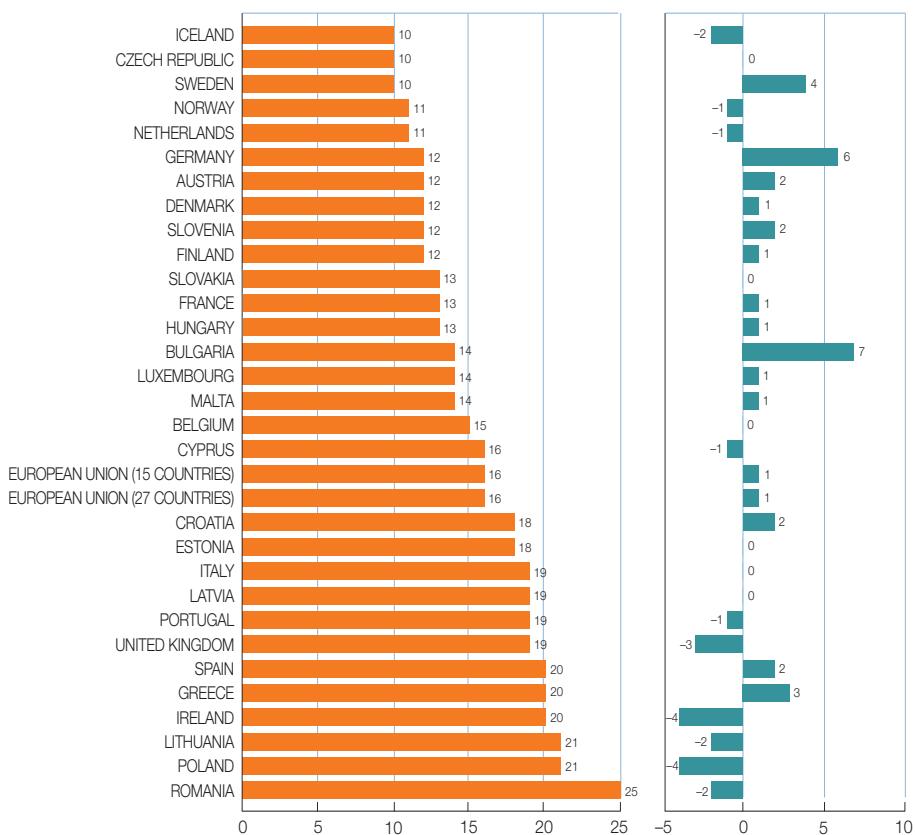
(7) In this section we have used the period between 2005 and 2012, since data for 2004 was not available in all countries.

percentage points higher than the European average (both in regard to the old EU-15 and to the EU-27).

GRAPH 2.2

Relative poverty rate for the overall population in different European countries in 2005 (left) and change, in percentage points, in the poverty rate between 2005 and 2012 (right)

(in percentage and percentage points)

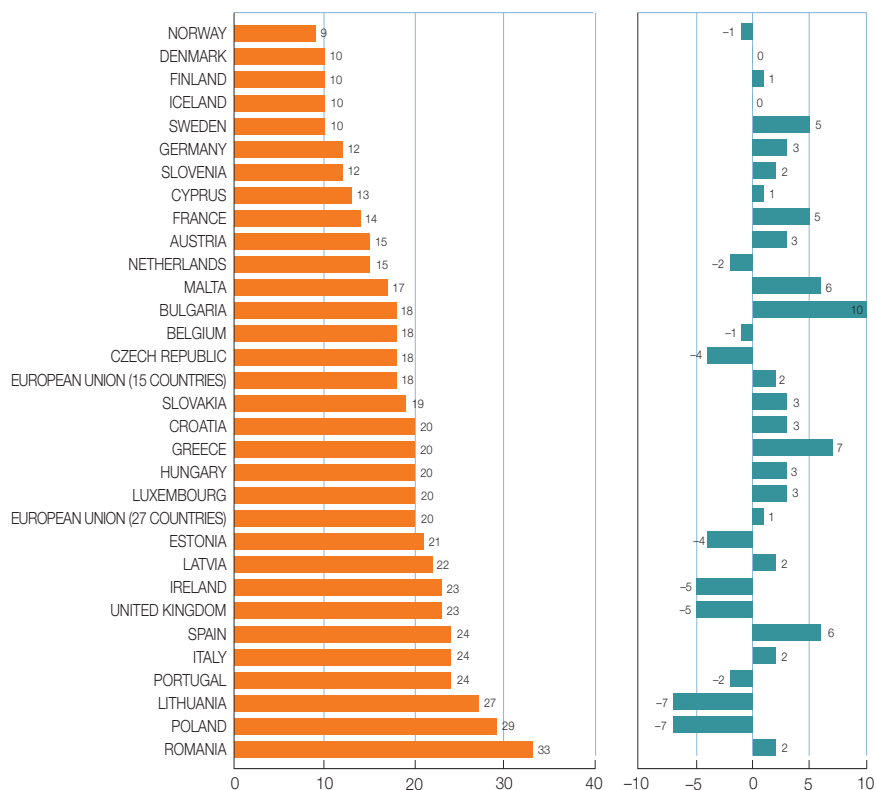


Source: by author based on data from Eurostat, consulted in December, 2014. The data for Romania refers to 2007 and not to 2005. The percentage for the European Union 27 for the year 2005 is an estimated value. The data for the United Kingdom in 2012 represents a break in the time series. Rounded values.

GRAPH 2.3

Relative child poverty rate (persons under 18 years of age) in different European countries in 2005 (left) and change, in percentage points, in the poverty rate between 2005 and 2012 (right)

(in percentage and percentage points)



Source: by author based on data from Eurostat, consulted in December, 2014. The data for Romania refers to 2007 and not to 2005. The relative percentage for the European Union 27 for the year 2005 is an estimated value. The data for the United Kingdom in 2012 represents a break in the time series. Rounded values.

Regarding trends in overall poverty rates between 2005 and 2012, among the countries with the highest rates, only in Spain and Greece did the situation get worse: in Spain, by two percentage points and in Greece, by three. This means that in 2012 Spain was at the top of the list of European countries with the highest poverty rates, along with Bulgaria and Romania.

Unfortunately, the situation is even worse in the case of children. Already in 2005, with a child poverty rate of 24%, Spain was among the countries with the highest child poverty rates in Europe. This means that the child poverty rate in Spain was more than 2.7 times higher than that of the country with the lowest child poverty rate in Europe, Norway. With the onset of the crisis, the child poverty rate increased by six percentage points, which means that Spain now has the second highest child poverty rate in Europe, only surpassed by Romania. In short, children have been more negatively affected by the recession in Spain than in the majority of EU countries.

2.5 Conclusions

This chapter contains findings on the trends in relative poverty in Spain between 2004 and 2012 for both the total population and the child population. As we have seen, poverty in the overall population increased by two percentage points in this period, and by three and a half points among children. This is an increase that could be considered *modest*, taking into consideration the economic crisis, with its extremely high unemployment rates and the overall fall in family income; however, this *modesty* is explained by the use of a *relative* measurement of poverty. Thus, the risk of poverty increased even though the poverty threshold decreased starting in 2009. In addition, children came to be the age group with the highest risk of relative poverty in the Spanish population.

In line with this, we have found that the equivalent income of poor children is increasingly further and further away from the poverty threshold and therefore, we can state that child poverty is more intense; so much so, in fact, that the results of a sensitivity analysis of the poverty threshold indicate that one out of ten children in Spain lives in severe poverty – that is, in a household with an income below 30% of the median equivalent income for the overall population. This means living on under 632 euros per month in a household with a couple and two children. In comparison to the rest of Europe, Spain has the second highest child poverty rate – only below the rate in Romania.

III. Trends in anchored poverty among children

An alternative approach to the analysis of relative poverty examined in the previous chapter is to observe trends in the poverty rate anchoring the threshold to a particular point in time. In fact, one of the main criticisms of the focus on relative poverty is that in periods of economic crisis, it does not accurately reflect the impoverishment of the population. This is because when an economy enters into a recession and a large part of the population becomes impoverished, the poverty threshold goes down; therefore, families that were below the threshold prior to the crisis may not be during the crisis, although their incomes have not changed. In addition, although the percentage of poor individuals may not have varied to a great extent, the reality is that those considered poor during the economic crisis are poorer than those before the crisis, simply because the poverty threshold has gone down.⁽¹⁾

As a result, in recent years researchers and international bodies have studied trends in poverty fixing the threshold at a specific point in time. Eurostat, the European Union's own statistical office, offers figures for poverty anchored in time for all member countries on its web page (see section 3.2 of this chapter). The OECD has also begun to use these types of results to complement its analysis of relative poverty.⁽²⁾ In the case of Spain, Herrero, Soler and Villar (2013) have analysed poverty anchored in time for the country's autonomous regions.

(1) On the relationship between poverty and the economic cycle and the importance of measuring poverty from an 'anchored' perspective, see Carabaña and Salido (2014).

(2) See, for example, OECD (2013).

In short, this approach *anchors* the poverty threshold at a point in time and updates it only addressing changes in prices to take changes in the cost of living into account. Note that with this methodology, the assumption is that the amount of resources necessary (in real terms) to not be considered poor do not vary over time. This enables us to follow changes in the economic situation of the population, taking as a basis the standard of living for a specific year.⁽³⁾

It is important not to confuse poverty anchored in time with measures of absolute poverty, although these two approaches share certain characteristics. The study of absolute poverty defines the poverty threshold based on a basket of goods and service considered essential to cover basic necessities.⁽⁴⁾ At times, this approach specifies a series of requirements, for example, a minimum number of calories. The threshold is set in time and is simply updated based on inflation.⁽⁵⁾ This approach is commonly used to measure poverty in the United States.

In the case of poverty anchored in time, instead of constructing the poverty threshold based on a basket that covers basic necessities, the relative poverty threshold for a specific year, which is fixed and indexed, is taken as a reference. As a result, the analysis in this chapter follows a methodology based on certain considerations characteristic of the relative approach and others characteristic of an absolute poverty approach.

Thus, in this chapter, we first look at the values of the poverty threshold for different types of families, and afterwards we look at changes in poverty anchored in time for the total population and the child population. The last section compares the situation in Spain in terms of anchored poverty with that of other countries in Europe using Eurostat data.

(3) This approach does not lead to a decline in the poverty threshold, unless there has been a decline in prices. Conceptually, an anchored poverty approach does not accept taking the generalised impoverishment of the population as the basis for defining the poverty threshold.

(4) Already in 1901, Rowntree defined this type of threshold in a pioneering study on the city of York as “the minimum necessities for the maintenance of merely physical efficiency”.

(5) Orshansky (1965) defined the first official poverty threshold in the United States based on the cost of a nutritionally adequate diet. Today a multiplier is used that takes into account other needs. Note that this is the approach used in the majority of developing countries (for example, by the World Bank).

3.1. Poverty anchored in time and trends in Spain

In this section we look at how poverty has changed in the period that concerns us, using the relative poverty threshold for 2004 and indexing it to the Consumer Price Index (CPI) of Spain's National Statistics Institute. Table 3.1 presents the values for the anchored poverty threshold for different types of families: single-person, couple with two children and single-parent families with one child. We see that, in contrast to the relative poverty threshold used in the previous chapter, the anchored poverty line does not decrease with the emergence of the economic crisis except between the years 2009 and 2010; this is a result of the decline in prices between 2008 and 2009.⁽⁶⁾

TABLE 3.1

Values of the poverty threshold anchored in 2004 for three family-types in Spain, 2004-2012

(in euros)

	SINGLE-PERSON	COUPLE, 2 CHILDREN	SINGLE-PARENT, 1 CHILD
2004	6,196	13,011	8,054
2005	6,413	13,467	8,337
2006	6,611	13,883	8,594
2007	6,877	14,442	8,940
2008	7,039	14,782	9,151
2009	7,392	15,523	9,610
2010	7,318	15,368	9,513
2011	7,429	15,601	9,658
2012	7,665	16,097	9,965

Source: by author based on data from the Living Conditions Survey, 2004-2012

Table 3.2 shows the poverty rate, its intensity and severity for the total Spanish population between 2004 and 2012. As expected, the poverty rate anchored in time declines in the first years of the period analysed. The growth of the economy in this period of economic boom is significant

(6) It is important to remember that we are referring to poverty in a specific year, but the income variables in the Living Conditions Survey refer to the previous year.

enough to reduce the poverty rate as well as the intensity and severity of poverty. The income of the majority of Spanish people increased in these years, so that a greater number of persons managed to live above the 2004 poverty threshold. In fact, it is in 2008 when the anchored poverty rate reached its lowest level, just before Spain entered into recession. The simple t-tests confirm this trend with statistically significant differences in all the years between 2004 and 2008. As can be seen in graph 3.1, the Spanish economy grew by approximately 3.5% in those years.

TABLE 3.2

Rate, intensity and severity of poverty anchored in 2004 for the total population of Spain, 2004-2012

(in percentages)

YEAR	ANCHORED POVERTY RATE	<i>SIMPLE T-TEST</i>	INTENSITY OF ANCHORED POVERTY	<i>SIMPLE T-TEST</i>	SEVERITY OF ANCHORED POVERTY	<i>SIMPLE T-TEST</i>
2004	20.1		6.3		3.3	
2005	21.1	***	6.8	***	3.6	**
2006	20.0	***	6.5		3.5	***
2007	18.6	***	6.1	*	3.4	
2008	17.4	***	6.2		6.4	***
2009	18.0		8.0	***	8.4	
2010	19.7	***	8.9	***	8.1	
2011	22.7	***	9.4	*	7.0	***
2012	24.7	***	9.8	*	6.9	

Note: ***denotes a statistically significant difference between years to 99%, ** to 95% and * to 90%.

Source: by author based on data from Living Conditions Survey, 2004-2012. Distribution of persons. Population weights used.

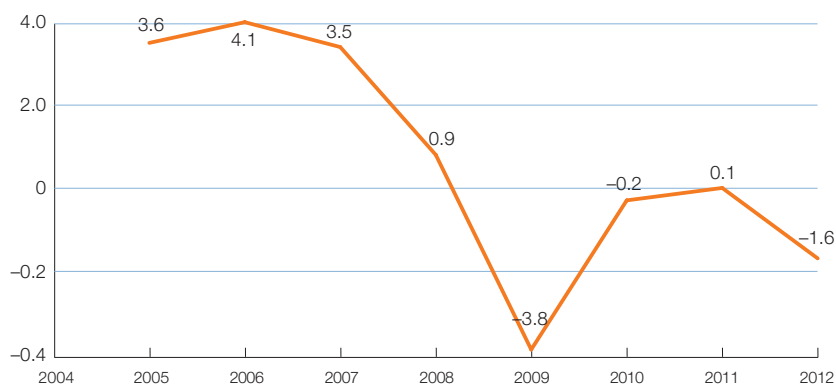
This positive trend ended after 2008; in that year the rate of poverty anchored in time was 17.4%, increasing to 24.7% in 2012. This translates into an increase in the risk of poverty of 41% (which, again, is confirmed by the simple t-tests) and consistent with the fall in GDP as shown in graph 3.1. The results are very different from what we find from an analysis of relative poverty, with an increase of only 7% for the same years (from 20.8% to 22.2%) (see graph 3.2). Our estimates reveal a greater impoverishment of the Spanish population than that shown by a focus on

relative poverty. In fact, the risk of anchored poverty is greater than that for relative poverty starting in 2011.

GRAPH 3.1

Rate of inter-annual variation in real gross domestic product (market prices), 2004-2012

(in percentages)



Source: estimates of real GDP were obtained from the National Statistics Institute web page (INEbase), Spanish National Accounts - Homogeneous series 1995-2012 (web consulted December 2014). The inter-annual variations between 2010-2011 and 2011-2012 are provisional estimates.

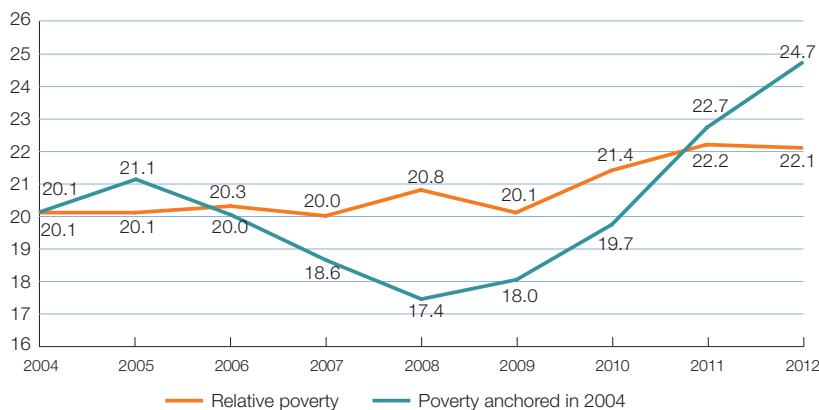
The results regarding the intensity and severity of poverty also indicate that the economic situation of Spanish families is much worse than indicated from an analysis of relative poverty. The intensity of poverty anchored to 2004 increased by almost 60% from 2008 to 2012. The severity of poverty (which gives greater weight to the situation of the poorest of the poor) more than doubled from the first year analysed to the last: from 3.3 to 6.9. These results indicate a significant increased impoverishment of the poorest of the poor during the period studied.⁽⁷⁾

(7) The results of the t-test confirm a decline in the intensity and severity of poverty over the period from 2004-2007, followed by an increase in intensity between 2008 and 2012 and in severity, particularly between 2007 and 2008.

GRAPH 3.2

Changes in the poverty rate anchored in time and relative poverty for the total population in Spain, 2004-2012

(in percentages)



Source: by author from the Living Conditions Survey, 2004-2012, using distribution of person. Population weights used.

TABLE 3.3

Rate, intensity and severity of poverty anchored to 2004 among children in Spain, 2004-2012

(in percentages)

YEAR	ANCHORED POVERTY RATE	SIMPLE T-TEST	INTENSITY OF ANCHORED POVERTY	SIMPLE T-TEST	SEVERITY OF ANCHORED POVERTY	SIMPLE T-TEST
2004	25.4		8.4		4.4	
2005	27.1	*	9.5	**	5.4	***
2006	26.7		9.3		5.0	
2007	24.6	*	8.2	*	4.5	
2008	23.9		8.6		8.9	*
2009	24.8		11.0	***	9.4	
2010	26.2	***	12.4	**	10.6	
2011	29.6	**	12.9		9.4	
2012	32.1		13.2		8.6	

Note: ***denotes a statistically significant difference between years to 99%, ** to 95% and * to 90%.

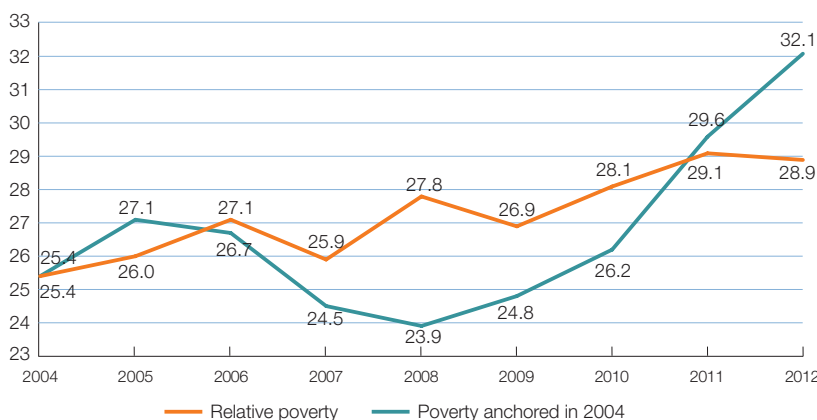
Source: by author based on data from Living Conditions Survey, 2004-2012., using distribution of persons. Population weights used.

Table 3.3 shows the results regarding poverty anchored in time among children. The anchored poverty rate again reveals the very serious deterioration in the situation of children in Spain, which, although evident in the analysis of relative poverty, is even more worrying when we look at the anchored poverty rate - as graph 3.3 also shows. We are looking at an increase of 34% in the poverty rate from 2008 to 2012. In terms of intensity, we find an increase of 60% from 2007 (which had the lowest level for the series) to the last year analysed. Regarding severity, the rate nearly doubled from the years prior to the economic crisis to the period between 2008 and 2012.⁽⁸⁾ Today in Spain, there are more poor children, and the income in their households has only moved them further from the poverty threshold.⁽⁹⁾

GRAPH 3.3

Changes in the rates of anchored poverty and relative poverty in Spain for children, 2004-2012

(in percentages)



Source: by author based on data from Living Conditions Survey, 2004-2012., using distribution of persons. Population weights used.

(8) It may appear that the simple t-tests for the severity of poverty do not indicate statistically significant differences. However, it should be noted that the table only contains inter-annual tests. In fact, a test that compares the average severity for the period between 2004-2007 with the period from 2008-2012 indicates differences that are statistically significant with a 99% confidence level.

(9) Again, the analysis by age groups (not shown for brevity) indicates that children have become the age group not only with the highest relative poverty rate, but also with the highest anchored poverty rate.

The analysis carried out to this point could be considered arbitrary, in the sense that we are using the standard of living of 2004 as a reference (to a great extent because it is the first year of our time series of data). An alternative manner to verify the observed trend is to anchor the poverty threshold in a different year, for example, at the beginning of the economic crisis. The analysis that follows looks at poverty for the total population and among children using 2008 as the anchoring year. Table 3.4 shows, once again, an increase in the overall poverty rate of nearly 35%. This indicates that if we take the poverty threshold corresponding to 2008 as a valid standard of living, almost 3 out of 10 Spanish persons were below this level in 2012, while at the beginning of the crisis this figure was only 2 out of every 10 persons. This result reveals the impoverishment of the Spanish population. Simple t-tests confirm that the largest increases in poverty were between the years 2010-2011 and 2011-2012.

TABLE 3.4

Rate, intensity and severity of poverty anchored to 2008 for the Spanish population, 2004-2012

(in percentages)

YEAR	ANCHORED POVERTY RATE	SIMPLE T-TEST	INTENSITY OF ANCHORED POVERTY	SIMPLE T-TEST	SEVERITY OF ANCHORED POVERTY	SIMPLE T-TEST
2008	20.8		7.2		6.4	*
2009	21.5	*	8.9	***	8.4	
2010	23.1	***	9.9	***	8.3	**
2011	26.5	***	10.6	***	7.4	
2012	27.9	***	11.1	**	7.4	

Source: by author based on data from Living Conditions Survey, 2004-2012., using distribution of persons. Population weights used.

The results regarding the intensity of poverty show that the distance in the income of poor households from the poverty threshold increased 50%, which indicates the seriousness of the situation for many families. Severity in this case does not show a significant variation over the four years analysed; this is because in 2008 the levels of severity were already very high, as can be seen in table 3.4.

Among children, as can be seen in table 3.5, the poverty rate anchored in 2008 increased from 27.8% to 35.3%, a change similar to the increase observed for the overall population and more alarming than the estimate we arrived at using a poverty threshold anchored in 2004, or in comparison to our findings regarding relative poverty. The intensity of poverty reached its maximum in 2012, at almost 15 percent. The results show that the deterioration in the well-being of children in Spain has taken place parallel to the economic recession.

TABLE 3.5

Rate, intensity and severity of poverty anchored to 2008 for children in Spain, 2004-2012

(in percentages)

YEAR	ANCHORED POVERTY RATE	SIMPLE T-TEST	INTENSITY OF ANCHORED POVERTY	SIMPLE T-TEST	SEVERITY OF ANCHORED POVERTY	SIMPLE T-TEST
2008	27.8		9.9		8.8	
2009	28.1		12.2	***	9.8	
2010	29.9	*	13.6	**	10.9	
2011	33.8	***	14.3		10.1	
2012	35.3		14.8		9.4	

Source: by author based on data from Living Conditions Survey, 2004-2012., using distribution of persons. Population weights used.

4.2. A comparison with Europe

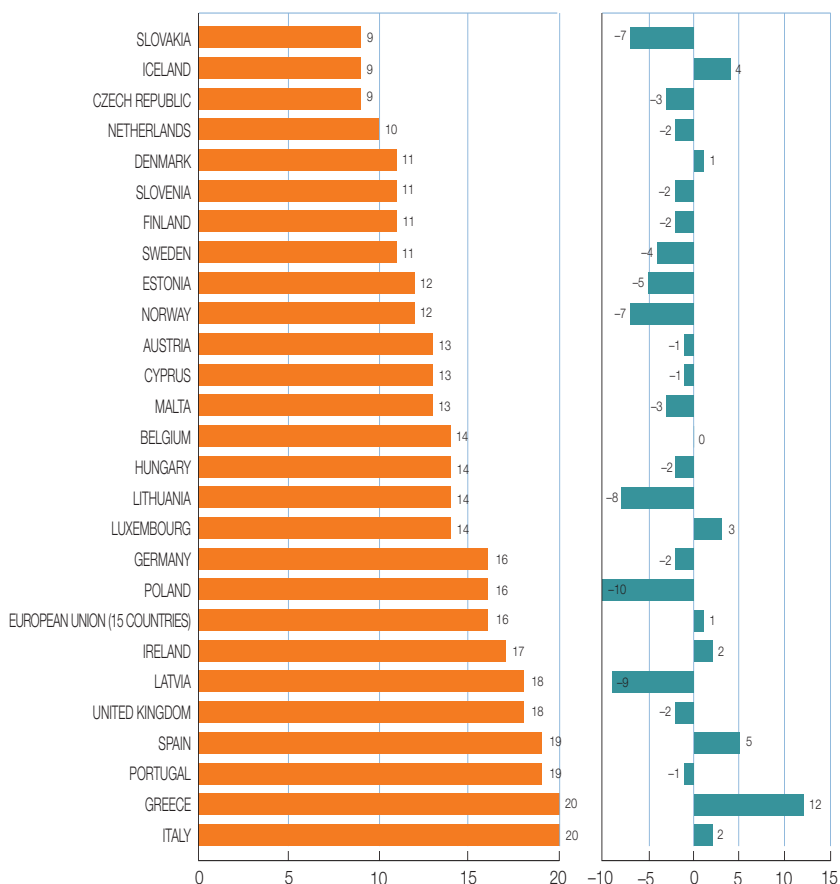
Graphs 3.4 and 3.5 present the levels of poverty anchored in time for the total population and for children in different European countries using Eurostat data, as in the previous chapter. The graphs refer to the years 2006 and 2012, but the analysis is based on the 2005 poverty threshold.⁽¹⁰⁾ The graph on the left shows the level of poverty for each country in 2006, and on the right, the situation in 2012 along with the change in percentage points from 2006.

(10) We should remember that the data offered for Spain in the previous section are the result of anchoring the poverty threshold in 2004, therefore, they are not directly comparable. Nevertheless, the change in poverty rates can be analysed in the same manner.

GRAPH 3.4

Rate of poverty in 2006 anchored in 2005 for the total population in different European countries (left) and the change in percentage points in the rate of poverty between 2006 and 2012 (right)

(in percentages)

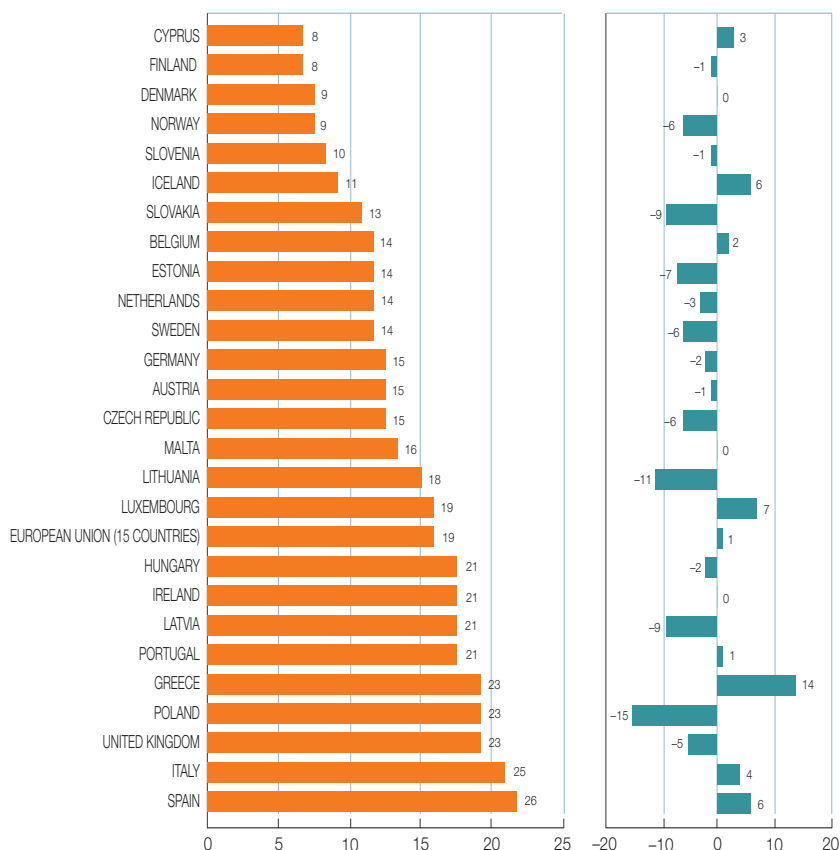


Source: by author based on Eurostat data, consulted December 2014. Rounded values. There are no data available for Bulgaria, France, Croatia and Romania to be compared with the results presented in the previous chapter. The data for the United Kingdom in 2012 represents a break in the time series.

GRAPH 3.5

Rate of poverty in 2006 anchored in 2005 for children in different European countries (left) and the change in percentage points in the rate of poverty between 2006 and 2012 (right)

(in percentages)



Source: by author based on Eurostat data, consulted December 2014. Rounded values. There are no data available for Bulgaria, France, Croatia and Romania to be compared with the results presented in the previous chapter. The data for the United Kingdom in 2012 represents a break in the time series.

Regarding poverty anchored in time, Spain has been one of the EU countries with the highest levels, even during the years in which we could still talk about economic growth. In 2006, the anchored poverty rate was

19%, a level only reached by Portugal and exceeded by Greece and Italy. In 2012, well into the economic crisis, the level of poverty had risen by 6 points in Spain. This was the largest increase in all of the EU, only surpassed by Greece, a country also suffering from major economic difficulties. In addition to these two countries, the level of poverty only worsened significantly in Luxembourg, Ireland and Iceland, while other EU countries were able to maintain their levels of well-being or even in some cases improve them. The levels of anchored poverty were reduced in Poland (by 10 points), Latvia (9), Lithuania (8), Slovakia (7) and Norway (7).

As can be seen in graph 3.5, Spain had a rate of child poverty anchored in time of 26% in 2006, the highest level in all of Europe. In addition, it is one of the EU countries where the level of child poverty anchored in time grew the most in recent years, with an increase of 6 points from 2006 to 2012 - only surpassed by Greece, where child poverty grew by 14 percentage points, and Luxembourg, where it grew by 7 points. These results indicate that Spanish children, along with children in Greece and Luxembourg, have suffered the most adverse effects in their level of well-being. The case of Luxembourg stands out; one of the richest countries in the world as measured by GDP, its level of child poverty in 2006 was 19%, and increased to 26% in 2012. The vast majority of countries have seen improvements in this measure in the past few years, as can be seen in the graph. For example, Poland saw a drop in child poverty of 15 percentage points, Lithuania a drop of 11 points, and Slovakia a drop of 9.

3.3. Conclusions

This chapter complements the analysis of the trend in relative poverty carried out in the previous chapter, using a different approach to measure poverty - anchoring the poverty threshold in a moment in time. Thus, we take as a reference the standard of living for a specific year and simply index it by the variation in prices. In this way, the poverty threshold only declines in time if prices do. Conceptually, this approach does not accept that a generalised decline in income among a population is a good basis for defining the poverty threshold.

From the results we have learned that changes in the poverty rate were worse than initially indicated by the focus on relative poverty. Thus, for example, while the rate of relative poverty for the total population went from 20.8% to 22.1% from 2008 to 2012, in the case of poverty anchored in time, the percentages went from 17.4% to 24.7%. This is an increase of 42% in only four years (well above the 6% increase indicated by the focus on relative poverty). Regarding children, we find an increase of 34% for the same period (instead of the 4% increase in relative poverty), leading to a maximum child poverty rate of 32.1% in 2012.

Among EU countries, the most significant increases in child poverty anchored in time have been in Spain, along with Greece and Luxembourg.

IV. Child poverty and the cost of housing

One of the most significant economic problems that families with children have had to face in Spain in recent years has been the cost of housing, whether in the form of a mortgage or rent, or simply referring to the cost of utilities, such as electricity, gas and water. The significant increase in housing prices on the real estate market in the past decade has become a real obstacle for the well-being of many families, and in particular, for new families. To illustrate this, graph 4.1 shows the changes in the price per square meter for housing in Spain between 1995 and 2014, based on data from Spain's Ministry of Public Works and Transportation. As can be seen, prices doubled from 2000 to 2005. This increase in the price of housing does not coincide with any change in salaries or wages. For example, based on a quarterly survey of labour costs carried out by the INE, the total cost of labour per worker increased 22% between 2000 and 2005 (in nominal terms).

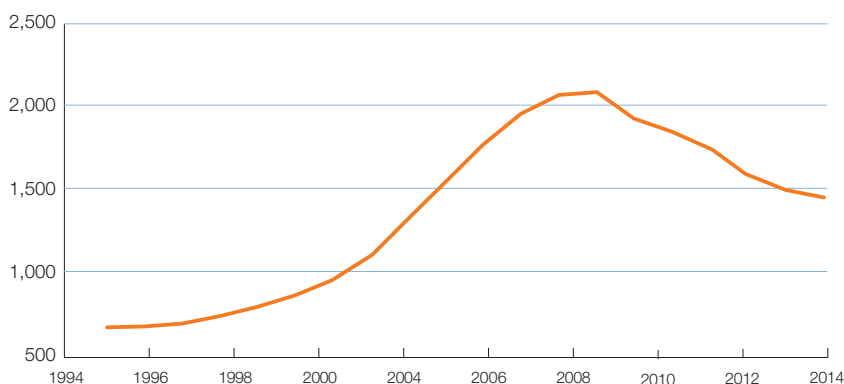
Some authors have argued for the need to evaluate economic well-being discounting the expenses associated with housing from available income (Fahey, Nolan and Maître, 2004; Tunstall *et al.*, 2013; UNICEF, 2012b; Castles and Ferrera, 1996). The argument is that expenses related to housing are unavoidable and are determined by the real estate market and, therefore, available income should only be considered as such after families have covered their housing needs. This is the issue we address in this chapter. In the first section, we consider the relationship between poverty and housing costs. In the second, we look at the consequences on relative poverty of the benefit of obtaining an imputed rent (which represents the value that would be paid in the market for housing similar to that currently occupied) versus the expense of owning a home, often associated with

having a mortgage. Lastly, we look at the difficulties of households with children that live in rental housing.

GRAPH 4.1

Changes in the price of housing by square meter in Spain (base 2005), 1995-2014

(in current euros)



Source: by author from quarterly data on housing costs on the open market from the Ministry of Public Works and Transportation.

Note: these are annual averages, except for 2014, for which only three months of data was available.

4.1. Poverty and housing costs

We begin our analysis in this chapter by calculating what the risk of poverty would be for both the total population and for children if we subtract housing costs (rent, interest on a mortgage, and other costs, such as community fees, water, gas and electricity) from available income.⁽¹⁾ The results in tables 4.1 and 4.2 show the risk of poverty for families (both relative and anchored in 2004) calculated as in previous chapters and also

(1) We only subtract the interest on the mortgage and not the mortgage payment that families pay each month, as buying a home is considered an investment.

subtracting housing costs.⁽²⁾ The risk of poverty is higher in all these years if we take housing costs into account. But what is most relevant is that the increase in the risk of poverty when subtracting housing costs is greater at the end of the period than at the beginning. Thus, the rate of poverty increases from 22.0 to 26.5% (as measured by relative poverty) and to 30.9% (when anchored in the 2004 threshold). These results show that housing costs have become a greater burden for Spanish families during the economic crisis.

TABLE 4.1

Rate of relative poverty and poverty anchored in 2004 for the total population before and after considering housing costs, 2004-2012

(in percentages)

YEAR	RELATIVE POVERTY			POVERTY ANCHORED IN 2004		
	AVAILABLE INCOME	AVAILABLE INCOME - HOUSING COSTS	DIFFERENCE	AVAILABLE INCOME	AVAILABLE INCOME - HOUSING COSTS	DIFFERENCE
2004	20.1	22.0	1.9	20.1	22.0	1.9
2005	20.1	21.7	1.6	21.1	22.7	1.6
2006	20.4	23.9	3.5	20.0	24.1	4.1
2007	20.1	24.2	4.1	18.6	23.6	5.0
2008	20.8	24.1	3.3	17.4	22.5	5.1
2009	20.1	24.5	4.4	18.0	24.5	6.5
2010	21.4	25.3	3.9	19.7	25.6	5.9
2011	22.2	26.5	4.3	22.7	29.1	6.4
2012	22.1	26.5	4.4	24.7	30.9	6.2

Source: by author based on data from Living Conditions Survey, 2004-2012, using distribution of persons. Population weights used.

Among children, the results reveal an even worse trend. In the case of relative poverty we see an increase in the risk of poverty of 24% between 2004 and 2012 (from 27.8% to 34.5%) and of 40% (from 27.8 to 38.9%) when we anchor poverty to the threshold in the first year of our time series. Housing expenses are a significant burden for the overall population, but

(2) In the different exercises that form this chapter, the poverty threshold has been recalculated taking into account the shift in the distribution of income.

above all in households with children. In fact, the difference in the rate of relative poverty and that calculated subtracting housing costs is an average of 5 percentage points between the years 2008 and 2012, and 7 points in the case of anchored poverty.

TABLE 4.2

Rate of relative poverty and poverty anchored in 2004 for children before and after considering housing costs, 2004-2012

(in percentages)

YEAR	RELATIVE POVERTY			POVERTY ANCHORED IN 2004		
	AVAILABLE INCOME	AVAILABLE INCOME - HOUSING COSTS	DIFFERENCE	AVAILABLE INCOME	AVAILABLE INCOME - HOUSING COSTS	DIFFERENCE
2004	25.4	27.8	2.4	25.4	27.8	2.4
2005	26.0	27.4	1.4	27.1	28.5	1.4
2006	27.1	32.3	5.2	26.7	32.5	5.8
2007	25.9	31.0	5.1	24.6	30.4	5.8
2008	27.8	32.1	4.3	23.9	30.5	6.6
2009	26.9	33.2	6.3	24.8	33.2	8.4
2010	28.1	32.9	4.8	26.2	33.1	6.9
2011	29.1	34.4	5.3	29.6	36.7	7.1
2012	28.9	34.5	5.6	32.1	38.9	6.8

Source: by author based on data from Living Conditions Survey, 2004-2012, using distribution of persons. Population weights used.

4.2. Poverty, imputed rent and mortgages

A possible criticism of the analysis carried out is that it does not take into account the fact that there are households that benefit from not having to pay rent or who pay a below market price by owning their own homes or having access to a home free of charge or at reduced cost. In order to address this, our analysis adds an imputed rent to household income. As described by the National Statistics Institute in the manual for the Living Conditions Survey, imputed rent is the value of the rent that would be paid on the market for housing similar to that which is occupied (discounting the rent effectively paid for housing provided free of charge).

Table 4.3 shows the results regarding relative poverty when we add imputed rent to available income. The analysis is restricted to the period 2007-2012, as the database did not include the relevant variables in the initial years of the survey. As would be expected, by adding imputed rent the risk of poverty is much lower in each year as the income of the homes has increased by the hypothetical amount of imputed rent for housing.⁽³⁾ However, the risk of poverty increases for both the total Spanish population and children over the period analysed.

A much more realistic scenario than the one just described is to consider imputed rent only if the housing is the property of the occupier, which in many cases involves the payment of a mortgage. This is precisely what the last row for each population group in the table shows. If we subtract the payment of a mortgage and add imputed rent to household income, the risk of relative poverty increases over the period analysed.

TABLE 4.3

Rate of relative poverty for the total population and for children considering imputed rent and mortgage in Spain, 2007-2012

(in percentages)

	2007	2008	2009	2010	2011	2012
Total Population						
[1] Income	20.1	20.8	20.1	21.4	22.2	22.1
[2] Income + imputed rent	15.7	16.7	16.6	18.1	18.8	19.1
[3] Income + imputed rent - mortgage	16.8	17.3	17.8	18.5	19.8	19.8
Child Population						
[1] Income	25.9	27.8	26.9	28.1	29.1	28.9
[2] Income + imputed rent	23.4	25.9	24.9	27.3	27.4	27.7
[3] Income + imputed rent - mortgage	27.1	28.2	29.2	29.0	30.4	29.7

Source: by author based on data from Living Conditions Survey, 2007-2012, using distribution of persons. Population weights used.

(3) It should be pointed out that only households that own their homes benefit from this hypothetical payment of an imputed rent. However, the results regarding poverty refer to all of society. In other words, in this section we look at the benefits or losses for the overall society and among the child population of the access of many Spanish families to home ownership.

The most important results are found in comparing rows 1 and 3 for each population group considered, as they indicate the extent to which the overall population has benefited, in terms of relative poverty, from the access of many Spanish families to home ownership. The risk of poverty is lower for the overall population when we consider the fact that some families obtain an imputed rent and pay a mortgage. However, this is not the case for Spanish children. The risk of poverty among children is higher than it would be if many families had not bought their homes, because the payment of a mortgage by families with children is not compensated for by an imputed rent. A large majority of Spanish families in formation accessed the housing market in a period of extremely high prices, and today their welfare is strongly affected as a result. So much so that for 50% of Spanish children, mortgage payments are higher than the rent that is imputed to their homes, according to data from the survey.

4.3. Poverty and type of housing tenure

To end this chapter we look at trends in the poverty rate based on the type of housing tenure: ownership (with or without a mortgage), rental and housing provided free of charge (or nearly free). Based on the results obtained, which are shown in table 4.4, the risk of relative poverty remains constant over the period analysed for the general population living in a home they own, although, this is not the case for children in such homes, as the rate of poverty for children in homes owned by their families increased by 3.5 percentage points between 2004 and 2012. However, these children have a lower risk of poverty than children living in households under a different type of housing tenure.

TABLE 4.4

Rate of relative poverty for the total population and for the child population by type of housing tenure in Spain, 2004-2012

(in percentages)

	% OF POPULATION	2004	2006	2008	2010	2012
Total population						
Owner occupied	80.1	17.6	17.5	17.5	18.5	18.1
Rental	11.2	25.9	32.0	30.2	33.1	43.4
Rent free (or below market value)	8.7	35.3	31.6	32.1	29.2	33.4
Child population						
Owner occupied	75.9	19.8	20.5	21.2	22.6	23.3
Rental	14.8	42.0	50.6	53.2	48.2	48.1
Rent free (or below market value)	9.3	45.3	42.0	42.1	41.4	41.0

Source: by author based on data from Living Conditions Survey, 2004-2012, using distribution of persons. Population weights used.

Much more alarming are the high rates of poverty in households that rent, particularly among children. Thus, 1 of every 2 Spanish children that lived in rental housing in 2012 was poor, a percentage 6 points higher than in 2004, before the onset of the economic crisis.⁽⁴⁾ This reveals a very high risk of poverty, particularly if we take into account that approximately 15% of children live in homes that are rented.

In addition, renting a home subjects Spanish families to high housing costs, making it difficult to maintain a decent standard of living. Based on Eurostat data, shown in table 4.5, 45% of the Spanish population living in rental housing had housing-related costs above 40% of their available household income. Moreover, this percentage has been increasing since 2007. Note, in this regard, the parallel between rates of poverty by type of housing tenure and problems related to excessive housing costs.

(4) See Rodríguez and Ruiz Huerta (2014) for an analysis of the economic difficulties of immigrant household with children by type of housing tenure.

TABLE 4.5

Percentage of the total population and the child population that suffers problems of excessive housing costs in Spain, 2004-2012

(in percentages)

	2005	2006	2007	2008	2009	2010	2011	2012
Total population	5.3	7.4	8.3	10.1	10.4	9.7	10.0	10.7
Owner occupied, with mortgage	–	–	8.4	11.8	12.3	8.4	9.6	9.7
Owner occupied, without mortgage	–	–	2.2	2.5	1.6	2.1	2.2	2.7
Rental	–	–	35.9	38.8	41.4	43.4	42.7	44.7
Rent free (or below market value)	–	–	8.7	7.1	7.5	8.8	7.7	8.0
Child population	7.7	9.8	10.4	14.7	15.2	13.5	13.8	14.4

Source: by author based on Eurostat data. Excessive refers to housing costs that exceed 40% of available household income.

The poverty rates for children that live in households that rent at prices below market value or rent free are also high, but if we look closely at the information in table 4.5, they do not appear to be strongly associated with excessive housing costs. However, this result requires further analysis that we cannot undertake in this study.

4.4. Conclusions

In this chapter we have analysed child poverty taking into account the importance of the cost of housing. In this sense, a simple static exercise that defines income as truly “available” only when the costs of actual housing have been covered, reveals that the rate of relative child poverty at the end of the period studied would be 5 percentage points higher (and around 7 points higher in the case of anchored poverty) than without taking these costs into account. In addition, this gap increased over the period examined, which means that the ability of Spanish families to meet the cost of housing has declined over time.

In addition, this chapter has revealed the vulnerability of households with children to the decline in income caused by the economic crisis due to their indebtedness in the real estate market. We have learned that for a significant proportion of households with children in Spain, the rent imputed for

their households when owned is inferior to their mortgage payments, which helps to explain the increase in poverty among households that are occupied by their owners. The majority of these families have had significant problems renegotiating their debts and do not have the option of selling their property given the sharp fall in real estate prices in recent years. In some cases, the end result has been eviction.

Lastly, we have stressed the serious difficulties faced by children living in households that rent, and who constitute a significant proportion of the child population that is poor. These children live with young parents that have not been able to buy their own homes and that have been affected by the crisis more than other generations of parents. In general, our results reveal the weakness of housing policy in Spain and the lack of a protected housing stock that families with children can turn to in the case of economic need.

V. Material deprivation among children

In the previous chapters we have focused on the relationship between household income and poverty among children. We found that Spanish households with children suffer a higher risk of poverty than the overall population, and, in addition, that this situation has worsened with the economic crisis. In this chapter, we shift from a unidimensional to a multidimensional analysis, as we focus on the issue of material deprivation suffered in childhood. Thus, we supplement our prior analysis, identifying the population that suffers an accumulation of what could be considered serious forms of material deprivation.

To carry out our analysis, we use a series of indicators from the Living Conditions Survey (2004-2012), which allow us to examine the material well-being of Spanish households with children. In addition, we have divided the 2004 to 2012 period into two sub-periods, one between 2004 and 2009, and the other between 2010 and 2012. As explained in chapter 3, beginning in 2010 we see clear differences in the rates of relative poverty in comparison to the 2004 to 2009 period, hence, our decision to divide the period of analysis into two sub-periods. Doing so allows us to work with a greater number of observations than in a year to year analysis. By distinguishing the results of both periods we are able to determine the extent to which the consequences of the economic crisis have translated into higher levels of material deprivation.

This chapter is structured in the following manner: we first discuss some of the methodological decisions made regarding the measure of material deprivation; next, we look at the results we have obtained, both in relation to what we might refer to as unmet needs, and to what we call deprivation;

we follow with an evaluation of what is referred to as *consistent poverty*: the extent to which monetary poverty and material deprivation are complementary phenomena. And we again close the chapter with a comparison of the situation in Spain with the European context, using Eurostat data on severe material deprivation.

5.1. Measuring material deprivation

In this study, the analysis of material deprivation includes the study of the population's unmet needs in three main areas or dimensions: basic consumption, housing related and a third area referred to as the secondary dimension. The dimension of basic consumption refers to deprivation in the consumption of basic goods: food, water, electricity, etc. The intention is to identify persons that suffer difficulties meeting basic subsistence needs linked to extreme levels of economic insecurity. The housing dimension takes into account the presence of problems such as the inability to maintain the home at an adequate temperature or living in a neighbourhood with problems of vandalism. Lastly, the secondary dimension refers to elements which may not be as basic, but which are also fundamental to well-being, such as being able to make it to the end of the month, or being able to take a vacation at least once a year.

Once we identified existing unmet needs using dichotomous variables (with values of 0 or 1), a global indicator of deprivation and three sub-indicators for each dimension were developed.⁽¹⁾ This procedure allows us to aggregate the information regarding different unmet needs and to identify the population suffering deprivation. First of all, each of the dichotomous variables that identifies an unmet need has been weighted by the percentage of persons in the sample that do not suffer from this problem. Underlying this weighting is the idea that an unmet need is considered more serious when fewer persons suffer it. For example, it is much more common for a household not to be able to take a vacation

(1) The methodology used in this chapter is different from that used by the European Commission to analyse severe material deprivation. See the end of this chapter for an explanation about the suitability of the *official* methodology in the context of the countries of southern Europe.

once a year than for the members of a household to not be able to buy meat or fish every two days. The weighting, thus, gives greater importance to more serious unmet needs - in this example, those related to family diet.

Secondly, we multiply each of the dichotomous variables by its weighting. In this way, each unmet need is represented by a constant, whose value is no longer 0 or 1, but instead ranges between 0 and 100. After, we calculate the arithmetic mean of all values to obtain an indicator of overall deprivation.⁽²⁾ In the case of the dimensional sub-indicators, only the constants belonging to the relevant dimensions are included (see Desai and Shah, 1988). It should be noted that the weighted indicators have no direct interpretation: they are not percentages of a given population. In fact, they are dimensionless. However, they are useful because they allow comparison between individuals. For example, if a household has a deprivation rate of 16 points, we can say that it suffers a situation that is twice as problematic as a household with a rate of 8 points.

Finally, the last methodological decision to bear in mind is the establishment of a deprivation threshold, which is used to distinguish between the deprived and non-deprived population. In this regard, for the analysis of deprivation to be consistent with that of monetary poverty, we have defined a deprivation threshold that results in a group of comparable size to that of the poor, defined by the criteria of income, and which includes individuals with the highest levels of deprivation.⁽³⁾

The use of aggregate indicators is not without its problems and limitations. As mentioned, the very construction of indices implies having to choose which types of material deprivation to include, as well as the establishment of a weighting system and a threshold that identifies the population suffering deprivation. Moreover, aggregation involves the loss of information. Nevertheless, aggregate indices allow us to easily

(2) See Ayllón, Mercader and Ramos (2003, 2007) for a detailed discussion of this methodology.

(3) This decision, although it may be somewhat arbitrary, is not very different from that taken when we calculated monetary poverty and we defined as poor the group of individuals with lower equivalent incomes and according to an established poverty threshold.

and effectively identify the households most seriously suffering from material deprivation.

5.2. Trends in child material deprivation

Tables 5.1 and 5.2 show the percentage of the total population and the child population that suffered specific forms of material deprivation in the periods 2004-2009 and 2010-2012. As with most indicators, we only consider a household to suffer deprivation problems if in the interviews they expressly mention not having a specific good or service because they cannot afford it.⁽⁴⁾

We have already seen that the first dimension, basic problems of consumption, is related to situations of inadequate nutrition, difficulties in paying for basic services such as electricity or water, or not being able to afford dental care. That between 2% and 3% of the child population lives in households that cannot afford to buy animal protein (or equivalent) every two days stands out.⁽⁵⁾ It should also be noted that a greater proportion of households with children have problems in being behind on paying the mortgage, rent, or other household expenses than the overall population. In addition, while practically all households with children have a washing machine and telephone, between 8% and 10% of Spanish children live in a family where an adult member has not been able to go to the dentist or pay for dental care.

(4) The analysis of deprivation we present includes some subjective indicators, such as the opinion of the household regarding their ability to make it to the end of the month. However, we do not evaluate the subjective well-being of the members of the household as this information is not in the database. The reports of the Spanish Red Cross, for example, warn of the strong perceptions of many of their users about being excluded and about the worsening emotional situation of many needy people (Spanish Red Cross, 2012). In contrast, Bradshaw (2014) argues that Spanish children state that they are more satisfied than might be expected when they evaluate their lives, health or their personal relationships. In this regard, the author emphasises the role of Spanish families, who know how to “protect” their children despite the difficult economic circumstances many of them face. For a similar argument, see Klocke, Clair and Bradshaw (2014).

(5) In Catalonia, the Ombudsman stated that in 2013, family and community support networks, NGOs and public administrations prevented a structural problem of child malnutrition from developing in Catalonia, but he warned of the significant deficits in coverage and intensity that in some cases could not be prevented (for example, difficulties and delays in obtaining assistance for children’s lunches at school). The report also stressed that often it is not so much a problem of obtaining food but, rather, of having the adequate means for cooking and, therefore, ensuring that children have healthy family meals in the households in which they live. See García Rada (2013).

Regarding trends over time, the results show that there has been a slight increase since the beginning of the economic crisis in the percentage of persons who suffer certain material deprivations considered part of the dimension of basic consumption, especially regarding the indicators most closely related to housing. Thus, the number of persons who were in arrears on mortgage or rent payments in the 12 months prior to the survey increased greatly during the economic crisis. In the case of children, 10% live in a household that had to pay their water, gas or electricity bills late. We find a slight improvement in the percentage of households who have the appliances considered (telephone and washing machine). Very likely this result is due more to these products or services becoming cheaper than to an improvement in the economic situation of these households in a period of crisis.⁽⁶⁾

The dimension referring to housing, housing related costs and the environment includes six indicators. The first two refer to very important deficiencies in the conditions and installations of the main home, such as not being able to heat the home properly or suffering problems with dampness and leaks.⁽⁷⁾ For example, we calculated that approximately 8% of Spanish children live in a household that cannot afford adequate heating. In addition, we have also looked at four variables related to the neighbourhood: these refer to possible problems of delinquency, vandalism, noise and pollution. We found that the prevalence of these problems decreased a lot during the period analysed, both for the overall population and among children. One might conclude that in the face of the serious economic problems they are suffering, families give less importance to issues related to conditions in their neighbourhoods.

(6) Note, in addition, that the results come from a very small number of observations, so that the percentages must be interpreted cautiously.

(7) We considered two other indicators within the housing dimension: not having a toilet and not having a bathtub or shower with running water inside the home for the exclusive use of the family. Fortunately, the number of persons in the sample affected by both problems is so low that we have not been able to use these variables. We also considered the possibility of including a variable indicating that total household expenses (rent or mortgage, insurance, electricity, community fees, etc.) represent a heavy burden for the household economy. In any case, more than 50% of the population overall and more than 60% of the child population in the 2010-2012 period suffered this problem. Therefore, we ruled out including this indicator in the housing and environment dimension, as we want to capture more serious problems (and as a result, less widespread).

TABLE 5.1

Percentage of the total population and the child population that suffers some type of material deprivation in basic consumption, Spain, 2004-2012

(in percentages)

	TOTAL POPULATION		CHILD POPULATION	
	2004-2009	2010-2012	2004-2009	2010-2012
Dimension of basic consumption				
The household cannot afford a meal with meat, chicken or fish (or the vegetarian equivalent) every second day.	2.5	2.8	2.6	2.7
The household has been in arrears on mortgage or rent payments in the last 12 months.	4.2	5.6	7.1	8.6
The household has been in arrears on utility bills (heating, electricity, gas, water, etc.) in the last 12 months.	4.9	6.9	7.1	9.7
The household has no telephone (landline or mobile) because it cannot afford one.	0.6	0.5	0.6	0.6
The household has no washing machine because it cannot afford one.	0.4	0.2	0.6	0.1
At least one adult in the household had the need to see a doctor (except for dentist) or to get medical treatment and did not do so because he or she could not afford it.	0.5	0.6	0.6	0.6
At least one adult in the household had the need to see a dentist or get dental treatment and did not do so because he or she could not afford it.	7.6	8.5	8.1	9.5

Source: by author based on data from the Living Conditions Survey, 2004-2012.

Unit of analysis: individual. The variable related to utility bills has been affected by a significant number of missings. Population weights used .

TABLE 5.2

Percentage of the overall population and the child population who suffers some type of material deprivation in housing and in the secondary dimension, Spain, 2004-2012

(in percentages)

	TOTAL POPULATION		CHILD POPULATION	
	2004-2009	2010-2012	2004-2009	2010-2012
Dimension of housing and the environment				
Household cannot afford to maintain the house at an adequate temperature in winter	8.3	7.7	8.4	7.9
House has problems with leaks, damp in the walls, floors, ceilings or rot in the floors, windows or door frames.	18.6	16.6	19.0	17.7
The house does not have enough natural light	9.8	4.8	10.0	5.0
The house suffers too much noise from neighbours or from outside (traffic, business, factory, etc.)	25.0	16.3	24.3	16.4
The house is in an area with pollution, grime or other types of environmental problems caused by industry and traffic.	15.2	9.0	15.5	9.2
There is crime or vandalism in the area.	17.5	11.4	17.1	11.3
Secondary dimension				
The household cannot afford to go for a week's annual holiday away from home	40.6	43.4	42.2	45.4
The household does not have a car because it cannot afford one	5.9	5.8	7.1	6.8
It is difficult for the household to make it to the end of the month	12.7	13.8	16.0	16.5
The household cannot afford to pay unexpected required expenses	33.9	39.5	36.6	43.0

Source: by author based on data from the Living Conditions Survey, 2004-2012.
Unit of analysis: individual. Population weights used.

Finally, in the secondary dimension we have included more general forms of material deprivation (as demonstrated by the high percentage of some indicators), although we believe that these are items that all households should be able to afford today in the society in which we live. In this regard, for example, approximately four out of ten Spanish children live in a household that cannot go for a week-long annual holiday away from home – a percentage that has increased during the crisis. We also want to emphasise the percentage of households unable to meet unexpected expenses, which increased considerably between 2010 and 2012.

To analyse the importance of the three dimensions considered, tables 5.3 and 5.4 look at the accumulation of types of material deprivation in each of the dimensions and between dimensions for both the total population and among children. As can be seen in the distribution shown in the first columns, in 2004-2009, around 15% of the population (and 18% of children) suffered at least one form of deprivation related to basic consumption. With the economic crisis these percentages increased to 17% and 21%, respectively (the differences are statistically significant at 99% in both cases). Thus, there was an increase in the number of families suffering deprivation in this dimension, which, as we have seen, can be explained above all by the increase in households who have problems paying their mortgage, rent or other basic household costs.

In the dimension referring to housing and the environment, at the beginning of the period considered, 53% of the total population and the child population suffered at least one of the forms of material deprivation considered, and approximately 26% of the population suffered two or more (out of six). However, over time there was a significant decrease in the number of persons affected by these types of material deprivation. This is because, as has been explained, a greater number of families said that they did not suffer from problems with pollution, noise and crime in their neighbourhoods.

In the area of secondary deprivation, practically half of the population experienced some type of unmet need, and approximately 15% of the overall population and 20% of children experienced three or more limitations of this type. The situation did not worsen in the second stage

of our analysis: the amount of material deprivation was not greater in 2010-2012 than in 2004-2009.

Comparison of the results obtained for the overall population and the child population reveals that the level of material deprivation among children is not so different from that experienced by the overall population. This leads to the conclusion that the economic crisis has not led to increased material deprivation, as measured by the indicators considered, with the exception of basic consumption, which affects a greater number of both adults and children.

The tables above show the extent to which the total population and the child population have suffered material deprivation in each of the different dimensions. In what follows, we are going to look at the accumulation of types of material deprivation across dimensions. In fact, among those who have suffered some type of material deprivation, around 14% of the total population and 17% of children suffer deprivation in all three dimensions considered – as shown in tables 5.5 and 5.6. Around 35% of the population suffering deprivation (both total and child population with material deprivation) does so in two dimensions, and the rest only in one, primarily in housing during the first period and in the secondary dimension in the second period. What stands out in comparing the overall population and the child population is that a greater percentage of children suffer deprivation in all three dimensions – again, with highly significant statistical differences.

TABLE 5.3

Percentage of total population affected by type of material deprivation based on the number of types of deprivation, Spain, 2004-2012

(in percentages)

	DIMENSION OF BASIC CONSUMPTION		DIMENSION OF HOUSING AND THE ENVIRONMENT		SECONDARY DIMENSION		ALL DIMENSIONS	
	2004-2009	2010-2012	2004-2009	2010-2012	2004-2009	2010-2012	2004-2009	2010-2012
+ de 8	–	–	–	–	–	–	2.7	2.4
7	–	–	–	–	–	–	2.1	2.1
6	–	–	0.1	0.1	–	–	3.6	3.1
5	0.1	–	0.7	0.4	1.0	1.0	5.8	5.5
4	0.2	0.2	2.5	1.4	3.8	3.7	8.7	7.6
3	0.9	1.5	7.4	4.1	10.2	11.3	12.7	11.4
2	3.0	3.9	15.1	10.5	16.6	19.0	17.4	17.0
1	11.1	11.7	27.6	24.3	19.6	17.5	20.8	19.2
0	84.8	82.6	46.6	59.2	48.8	47.5	26.2	31.7
Total	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Source: by author based on data from the Living Conditions Survey, 2004-2012.
Unit of analysis: individual. Population weights used.

TABLE 5.4

Percentage of child population affected by type of material deprivation and the number of types of deprivation, Spain, 2004-2012

(in percentages)

	DIMENSION OF BASIC CONSUMPTION		DIMENSION OF HOUSING AND THE ENVIRONMENT		SECONDARY DIMENSION		ALL DIMENSIONS	
	2004-2009	2010-2012	2004-2009	2010-2012	2004-2009	2010-2012	2004-2009	2010-2012
+ de 8	–	–	–	–	–	–	4.3	3.2
7	–	–	–	–	–	–	2.6	3.0
6	–	–	0.2	0.1	–	–	4.1	3.9
5	0.1	–	0.8	0.4	1.8	1.4	6.5	6.4
4	0.2	0.3	2.7	1.4	5.3	5.3	8.8	8.1
3	1.4	2.0	7.2	4.4	12.2	13.4	12.0	11.2
2	4.5	5.5	14.7	10.9	16.0	18.2	16.2	16.0
1	12.2	13.2	27.1	24.0	17.6	16.7	19.4	17.9
0	81.6	78.9	47.3	58.7	47.1	45.1	26.1	30.3
Total	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Source: by author based on data from the Living Conditions Survey, 2004-2012.
Unit of analysis: individual. Population weights used.

The rest of the columns in tables 5.5 and 5.6 show the average values of the population suffering some type of deprivation for the indices of deprivation we constructed. Note that when there is an accumulation of types of deprivation in more than one dimension, the intensity of problems of deprivation doubles, triples and even quadruples. Thus, for example, children who suffer some type of deprivation in the three dimensions considered have a level of deprivation in basic consumption four times higher than that of individuals suffering from one form of deprivation. Therefore, one of the main conclusions we can draw from table 5.6 is that children who experience deprivation in more than one area have higher levels of deprivation in each of the areas affected. Over time, we can see significant increases in the percentages suffering deprivation related to basic consumption and in the secondary dimension from the 2004-2009 period to the 2010-2012 period and a decrease in the percentage suffering deprivation in the dimension of housing and the environment.

Once we have calculated the indices or levels of deprivation in the different dimensions and the overall level, we then define the threshold of deprivation we are going to use to distinguish between the population suffering from deprivation and that which does not. Based on the methodology already discussed and in order to be consistent with the analysis of monetary poverty, we have defined a deprivation threshold that allows us to obtain a percentage of individuals suffering deprivation that is comparable to the percentage who are considered monetarily poor. Once the risk of deprivation is defined for the whole population, we can know the risk suffered by children.

Based on the results obtained, the risk of child deprivation was around 23.4% in the 2004-2009 period and 25.2% between 2010 and 2012. Thus, the risk for children was higher than for the population overall (which was 20.7% and 21.8% for the two periods).⁽⁸⁾ However, the differences in the risk of deprivation are not as great as those found in regard to monetary poverty. The results of the statistical t-tests also indicate that in two of the three dimensions (the exception being housing and the environment), children have higher relative rates of deprivation than the overall

(8) Statistical t-tests indicate that the risk of deprivation for children is higher than for the total population and for adults, statistically significant at 99% and in each period analysed.

population. Thus, although the first results related to the number of types of deprivation seem to point to a similar situation between the total population and children, when we focus on the group that suffers the most types of deprivation (which we define as *deprived*), we find children to be worse off.

TABLE 5.5

Distribution of the total population that suffers some type of deprivation and average values on the indices of deprivation, Spain, 2004-2012

DEPRIVATION IN...	2004-2009					2010-2012				
	PERCENTAGE OF POPULATION	AVG VALUES ON INDICES				PERCENTAGE OF POPULATION	AVG VALUES ON INDICES			
		BASIC CONSUMPTION	HOUSING/ ENVIRONMENT	SECONDARY	GLOBAL		BASIC CONSUMPTION	HOUSING/ ENVIRONMENT	SECOND.	GLOBAL
In each dimension	13.5	35.6	36.1	71.9	54.1	14.7	38.5	31.8	74.8	54.2
Basic consumption and Housing	1.7	29.2	33.5	–	16.2	1.3	28.2	31.0	–	15.1
Basic consumption and Secondary	4.6	33.7	–	65.6	36.7	8.4	36.3	–	71.1	39.7
Housing and Secondary	29.5	–	33.5	56.7	41.6	23.1	–	30.7	60.5	42.4
Basic consumption	1.1	30.1	–	–	3.2	1.3	28.7	–	–	3.1
Housing	27.6	–	31.1	–	12.1	20.7	–	29.2	–	11.4
Secondary	22.0	–	–	53.2	26.8	30.6	–	–	57.4	28.9
Total with some deprivation	100.0	7.1	23.9	41.0	30.7	100.0	9.4	18.2	48.5	32.5
Total population	–	5.2	17.7	30.3	22.7	–	6.4	12.4	33.1	22.2

Source: by author based on data from the Living Conditions Survey, 2004-2012.
Unit of analysis: individual. Population weights used.

TABLE 5.6

Distribution of the child population that suffers some type of deprivation and average values on the indices of deprivation, Spain, 2004-2012

DEPRIVATION IN...	2004-2009					2010-2012				
	PERCENTAGE OF POPULATION	AVG VALUES ON INDICES				PERCENTAGE OF POPULATION	AVG VALUES ON INDICES			
		BASIC CONSUMPTION	HOUSING/ ENVIRONMENT	SECONDARY	GLOBAL		BASIC CONSUMPTION	HOUSING/ ENVIRONMENT	SECOND.	GLOBAL
In each dimension	16.8	37.2	36.4	74.6	55.9	17.8	39.6	32.2	76.0	55.0
Basic consumption and Housing	1.6	28.1	32.2	–	15.6	1.4	29.1	33.7	–	16.3
Basic consumption and Secondary	5.7	35.2	–	67.1	37.6	10.0	38.3	–	73.4	41.1
Housing and Secondary	27.3	–	34.4	58.1	42.7	21.3	–	31.5	61.1	43.1
Basic consumption	1.1	30.0	–	–	3.2	1.3	30.0	–	–	3.2
Housing	25.6	–	30.5	–	11.9	18.7	–	28.5	–	11.1
Secondary	22.0	–	–	54.9	27.6	29.6	–	–	58.9	29.6
Total with some deprivation	100.0	8.9	23.8	44.1	32.5	100.0	11.6	18.2	51.3	34.2
Child population	–	6.6	17.6	32.6	24.0	–	8.1	12.7	35.8	23.8

Source: by author based on data from the Living Conditions Survey, 2004-2012.
Unit of analysis: individual. Population weights used.

TABLE 5.7

Rates of poverty and deprivation and average values on indices of deprivation in Spain, 2004-2012

	2004 - 2009						2010 - 2012					
	PERCENTAGE OF POOR	PERCENTAGE OF DEPRIVED	AVG VALUES ON INDICES				PERCENTAGE OF POOR	PERCENTAGE OF DEPRIVED	AVG VALUES ON INDICES			
			BASIC CONSUMPTION	HOUSING/ ENVIRONMENT	SECOND.	OVERALL			BASIC CONSUMPTION	HOUSING/ ENVIRONMENT	SECOND.	OVERALL
Total	20.3	20.7	5.2	17.7	30.3	22.7	21.9	21.8	6.4	12.4	33.1	22.2
Children	26.6	23.4	6.6	17.6	32.6	24.0	28.7	25.2	8.1	12.7	35.8	23.8
Adults	19.0	20.2	5.0	17.7	29.8	22.4	20.5	21.2	6.1	12.4	32.6	21.9

Source: by author based on data from the Living Conditions Survey, 2004-2012.
Unit of analysis: individual. Population weights used.

5.3. Consistent poverty: monetary poverty and material deprivation

Before we focus on determining and analysing the groups within the child population who suffer the most serious problems of monetary poverty and material deprivation, we will look at the relationship between both measures of economic precariousness.⁽⁹⁾ We want to understand to what extent both phenomena are complementary in the total population and among children.

Table 5.8 shows the percentage of individuals in the population who are poor in monetary terms and/or who suffer problems of material deprivation. The results show that approximately 33% of the population in the period from 2004 to 2009 suffered either monetary poverty or material deprivation or both; 13% of the population experienced material deprivation without poverty, and another 13% were poor without suffering significant material deprivation. Thus, the degree of disassociation between the two phenomena is quite high, which underscores once again the need to measure economic precariousness from more than one perspective. The percentages of persons suffering either monetary poverty or material deprivation remained stable with the arrival of the economic crisis.

However, in the period between 2010 and 2012 there was an increase in the percentage of the Spanish population suffering problems of material deprivation and poverty simultaneously, rising from 7.7% in 2004-2009 to 9.4% in 2010-2012 (the difference is statistically significant at 99%). Thus, the situation of many Spanish families worsened, as they began to face both problems at the same time.

Regarding child poverty, the percentage of children who suffered poverty without material deprivation and also the percentage who suffered poverty and a low standard of living are higher than the percentages for the

(9) Devicienti and Poggi (2012) analyse the relationship between monetary poverty and material deprivation (although the authors call it social exclusion) and state that these are two distinct problems that measure different things, which, nevertheless, reinforce each other over time. Thus, past experience in poverty increases the likelihood of having problems of social exclusion; likewise, having suffered problems of material or social deprivation at some time increases the likelihood of having income below the poverty level in the future. See also Ayllón and Gabos (2015) for an analysis of the interrelationships among poverty, severe material deprivation and low work intensity from a comparative perspective.

population overall (this is not the case for the percentage of those with material deprivation without poverty). The results suggest therefore that poverty is a more serious problem among households with children, while material deprivation is relatively less so. However, the proportion of children who suffer both monetary poverty and material deprivation rose from 11.2% to 13.5% between the two periods analysed.⁽¹⁰⁾ For many families lack of income has been further aggravated by material deprivation.

TABLE 5.8

Percentage of individuals who are poor and/or with problems of deprivation in the population and among children, Spain, 2004-2009 and 2010-2012

(in percentages)

	TOTAL POPULATION		CHILD POPULATION	
	2004-2009	2010-2012	2004-2009	2010-2012
Not poor, no material deprivation	66.7	65.6	61.3	59.6
Poor, no material deprivation	12.5	12.5	15.3	15.3
With material deprivation, not poor	13.0	12.5	12.2	11.7
With material deprivation and poor	7.7	9.4	11.2	13.5
Total	100.0	100.0	100.0	100.0

Source: by author based on data from the Living Conditions Survey, 2004-2012.
Unit of analysis: individual. Population weights used.

To conclude this analysis, we now look at the relationship between deprivation and income distribution, with particular emphasis on the poorest individuals, analysing the behaviour of deprivation around the poverty threshold. Tables 5.9 and 5.10 show the average value for our global index of deprivation and for the different dimensions by different income brackets based on percentage of median income. It should be remembered that we calculate the poverty threshold as 60% of median equivalent income.

(10) This result is further confirmed by t-tests.

Not surprisingly, the data in the tables show that the population with an income below the monetary poverty threshold suffers deprivation levels well above the average for the overall population in all three dimensions considered.⁽¹¹⁾ In addition, the further household income is below the poverty threshold, the greater the levels of deprivation. For example, in the case of individuals with equivalent incomes below 40% of the median equivalent income, the average relative value on the index of deprivation in the area of basic consumption (11.2) is more than double the average value found for the overall population (5.2). The greatest differences are found in the dimension of basic consumption, the area that has been most affected since the onset of the crisis. For example, the average relative value on the index for this dimension went from 11.2 in the 2004-2009 period to 14.1 in 2010-2012 among individuals with equivalent incomes below 40% of the median income, and from 8.2 to 11.9 in the case of those who have incomes between 40% and 50%.

It is important to stress the seriousness of deprivation (especially regarding basic consumption) among children with incomes below 60% of the median income, which is shown in table 5.10. This is once again evidence of the intensity of the problem of economic precariousness in households suffering material deprivation along with insufficient current income. In fact, if we focus on trends in average values in rates of deprivation in consumption, we see that with the onset of the economic crisis, the situation has worsened in those households with incomes between 40% and 60% of the median equivalent income.

(11) Some of the relative average values for the indices decrease almost monotonically with the increase in household equivalent income.

TABLE 5.9

Average values on the indices of deprivation by income bracket among the total population, Spain, 2004-2009 and 2010-2012

INCOME BRACKETS BASED ON PERCENTAGE OF MEDIAN INCOME	2004-2009					2010-2012				
	PERCENTAGE OF POPULATION	AVERAGE VALUES ON THE INDICES				PERCENTAGE OF POPULATION	AVERAGE VALUES ON THE INDICES			
		CONSUMPTION	HOUSING ENVIRONMENT	SECONDARY	OVERALL		CONSUMPTION	HOUSING ENVIRONMENT	SECONDARY	OVERALL
< 40	8.2	11.2	21.1	52.5	35.9	10.5	14.1	15.5	56.3	35.9
40 - 50	5.4	8.2	19.3	50.1	33.6	4.9	11.9	14.6	55.7	35.0
50 - 60	6.8	6.8	18.5	47.2	31.7	6.5	10.2	13.9	53.1	33.2
60 - 70	7.5	6.6	18.7	42.6	29.5	7.1	8.5	13.3	50.0	31.2
70 - 80	7.4	6.3	18.3	38.8	27.3	7.3	8.4	12.6	45.1	28.5
> 80	64.7	3.8	16.8	21.7	17.9	63.7	3.9	11.5	22.3	16.1
TOTAL	100.0	5.2	17.7	30.3	22.7	100.0	6.4	12.4	33.1	22.2

Source: by author based on data from the Living Conditions Survey, 2004-2012.
Unit of analysis: individual. Population weights used.

TABLE 5.10

Average values on the indices of deprivation by income bracket among the child population, Spain, 2004-2009 and 2010-2012

INCOME BRACKETS BASED ON PERCENTAGE OF MEDIAN INCOME	2004-2009					2010-2012				
	PERCENTAGE OF POPULATION	AVERAGE VALUES ON THE INDICES				PERCENTAGE OF POPULATION	AVERAGE VALUES ON THE INDICES			
		CONSUMPTION	HOUSING ENVIRONMENT	SECONDARY	OVERALL		CONSUMPTION	HOUSING ENVIRONMENT	SECONDARY	OVERALL
< 40	11.8	13.9	21.8	56.0	38.2	15.2	14.8	15.7	59.7	37.7
40 - 50	6.8	11.9	19.6	52.6	35.4	6.2	14.0	15.1	59.4	37.3
50 - 60	8.4	9.0	18.5	49.7	33.2	7.5	13.0	15.1	53.6	34.2
60 - 70	8.1	7.8	18.3	42.7	29.5	7.0	10.1	13.2	51.1	31.9
70 - 80	7.8	7.1	18.5	40.2	28.2	7.1	10.4	13.3	46.3	29.6
> 80	57.1	3.9	16.2	20.6	17.0	57.0	4.4	11.2	21.3	15.6
TOTAL	100.0	6.6	17.6	32.6	24.0	100.0	8.1	12.7	35.8	23.8

Source: by author based on data from the Living Conditions Survey, 2004-2012.
Unit of analysis: individual. Population weights used.

5.4. A comparison with the rest of Europe

Graphs 5.1 and 5.2 show, respectively, the percentage of the overall population and the child population that suffers severe material deprivation in different countries in Europe for the year 2005. We have included in these graphs the change in percentage points between 2005 and 2012. Severe deprivation is based on an indicator developed by the European Commission to monitor the progress of EU countries toward achieving the goals of the *Europe 2020* Strategy, which, as explained in chapter 3, aims to reduce the number of persons who are at risk of poverty or social exclusion by 20 million by the year 2020. This is a simple indicator, which considers a household to be in a situation of severe material deprivation if it suffers from at least four of the nine situations detailed in Box 5.1.⁽¹²⁾

BOX 5.1

Indicators used by the European Commission to calculate severe material deprivation

According to the European Commission a household suffers severe material deprivation if it is in at least four of the following situations:

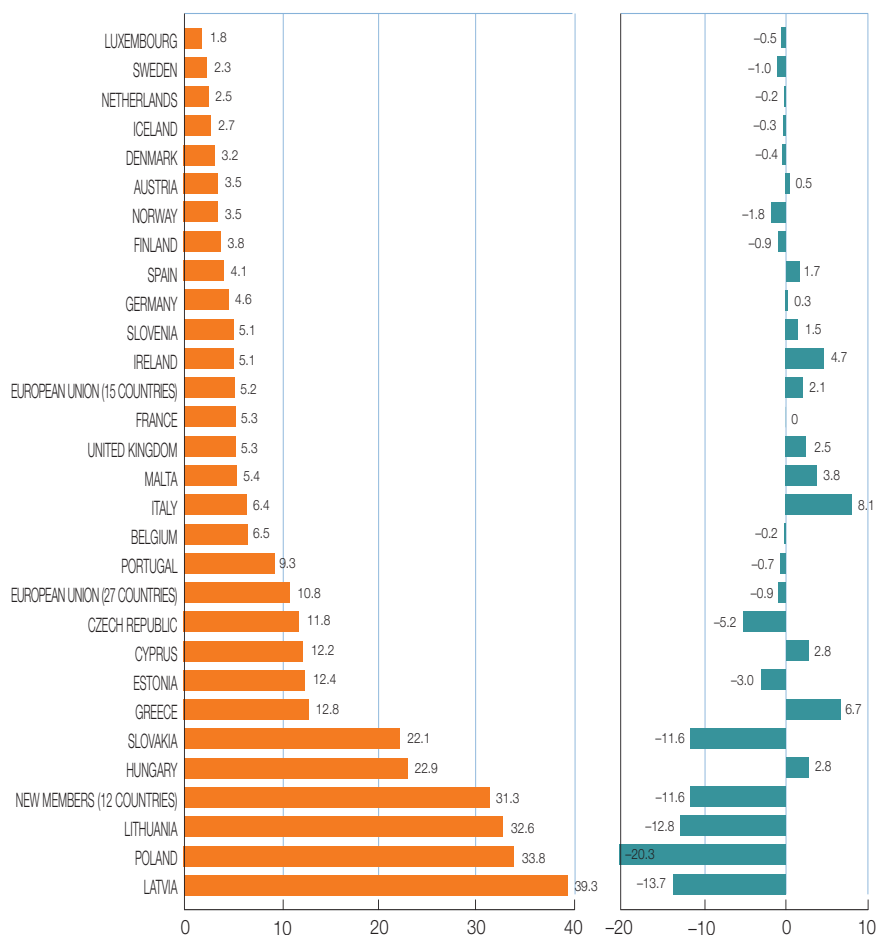
- The household has been in arrears in paying rent, the mortgage or utility bills in the past 12 months.
 - The household cannot afford to keep the home adequately warm in the winter.
 - The household cannot cope with unexpected expenses.
 - The household cannot afford a meal with meat, chicken, fish or the vegetarian equivalent every second day.
 - The household cannot afford a one week annual holiday away from home.
 - The household does not have a television because it cannot afford it.
 - The household does not have a washing machine because it cannot afford it.
 - The household does not have a car because it cannot afford it.
 - The household does not have a telephone because it cannot afford it.
-

(12) A majority of the indicators in box 5.1 have been used in the rest of the chapter, but not all of them, given that, as we have explained, some of the situations considered are not very prevalent in Spain. It is also important to bear in mind that the results included in this section are not directly comparable with the results in the rest of the chapter, as the methodology used is totally different.

GRAPH 5.1

Percentage of population affected by severe material deprivation in 2005 in different European countries (left) and the change in percentage points between 2005-2012 (right)

(in percentages)

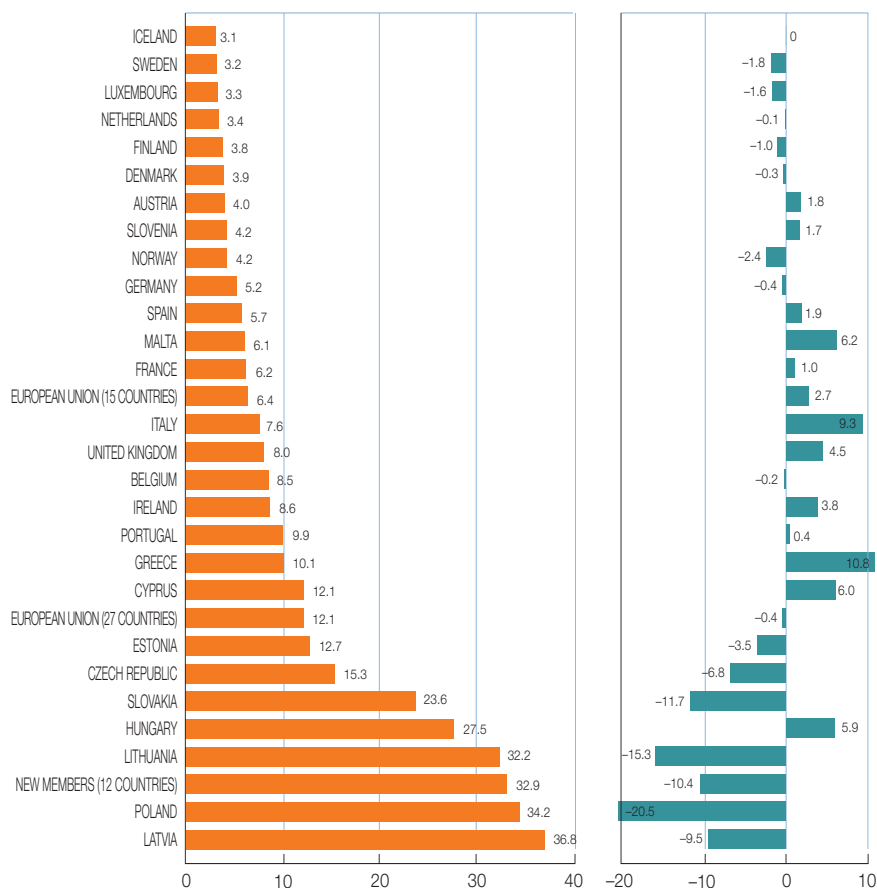


Source: by author based on Eurostat data from January, 2015. We have used data for 2005 and not 2004 because this allowed us to compare a greater number of countries.

GRAPH 5.2

Percentage of child population affected by severe material deprivation in 2005 in different European countries (left) and the change in percentage points between 2005-2012

(in percentages)



Source: by author based on Eurostat data from January, 2015. We have used data for 2005 and not 2004 because this allowed is to compare a greater number of countries.

It is very important to bear in mind that the methodology used by the European Commission to construct this indicator of severe material deprivation is not necessarily the most adequate for analysing the economic

difficulties of families in countries like Spain. As Martínez López and Ruiz Huerta (2014) and Martínez López and Navarro (2014) have explained, this is because this indicator of deprivation gives great importance to being able to afford certain durable goods such as a television, telephone or a car, which are goods that are found in practically all Spanish households. These authors point out that ownership of these goods is not indicative of changes in the economic cycle; therefore, such an indicator of severe material deprivation does not capture the material difficulties of many families in Spain during a period of economic crisis. It is also problematic that the indicator is limited to only nine items.

Spain's situation in Europe regarding severe material deprivation is completely different from what we saw in previous chapters regarding monetary poverty. Thus, in 2005 only 4.1% of the overall population in Spain suffered from this problem, a percentage very similar to that found in Finland and Germany, which means that Spain ranked among the better off countries. Moreover, there was only a 1.7% increase in severe material deprivation from 2005 to 2012, not at all comparable to the large increases found in countries such as Ireland and Greece, also greatly affected by the economic crisis. For example, in Greece, 12.8% of the population already suffered severe material deprivation in 2005, and by 2012 this figure had risen an additional 6.7 points. In addition, the most serious problems of severe material deprivation were found in the new EU member states.

The percentage of Spanish children suffering from severe material deprivation in 2005 was slightly higher than for the overall population (5.7%). There was an increase in the number of children affected between 2005 and 2012, reaching 7.6% of the child population. Thus, Spain was still below the average for the EU-15 and therefore in a relatively privileged position. In short, our diagnosis of economic precariousness in Spain from a comparative perspective is very different if we focus our attention on severe material deprivation or monetary poverty, but as we have mentioned, this interpretation is largely due to the methodology used by the European Commission.

5.5. Conclusions

This chapter emphasises the importance of examining the economic precariousness of Spanish households with children from two perspectives: the unidimensional perspective of monetary poverty and the multidimensional perspective of material deprivation. Our analysis has shown that four out of ten Spanish children suffered from poverty and/or material deprivation in the 2010-2012 period. This is a much higher percentage than we would find if we limited our analysis to one perspective.

The main change observed regarding child material deprivation in comparing 2005 with 2012, is related to the increase in the number of children who live in households which have been in arrears in paying the rent, mortgage or utility bills – results that were found in part in the previous chapter on poverty and the cost of housing. It is also important to stress the fact that 2.7% of Spanish children live in households that cannot afford a diet in which they consume protein every second day. At the same time, the economic crisis seems to have changed the perception of families regarding the environment in which they live, as these same families indicate they suffer less from problems of noise, pollution, crime and vandalism.

Based on the methodology used, we have found that consistent poverty has increased, that is, the percentage of children who suffer both monetary poverty and material deprivation, which rose from 11.2% of children in the 2004-2009 period to 13.5% in 2010-2012. Although the increase in the percentage of children living in a situation of deprivation may not be as high as would be expected in times of crisis, it is often the case that there must be an accumulation of various periods of monetary poverty for the situation to lead to material deprivation. Figari (2012), for example, found that certain changes in income level do not strictly coincide with changes in levels of deprivation and that income level in the past is much more important in determining the level of deprivation in a household (see Whelan, Layte and Maître, 2003, for similar findings). Along the same lines, Fusco (2012) has shown that levels of housing deprivation are related more closely to measures of permanent income

than to changes in income relatively close in time.⁽¹³⁾ All of this suggests that if we do not change the trends in monetary poverty, we will face much more serious problems of material deprivation in the near future.

A comparison of levels of deprivation in Spain with its European neighbours places Spain in a privileged position, with a percentage of children suffering severe material deprivation far below the European Union (15) average. This finding can be explained by the methodology used by the European Commission to construct the indicator used to measure deprivation, which includes only nine items and gives great importance to possession of certain durable goods (above all, appliances). In this regard, it may be that the *official* methodology does not adequately measure the living conditions of the population in countries such as Spain, and even less so, that of children. In fact, use of this indicator is being reviewed and it will very likely change in the near future (see Guio, Gordon and Marlier, 2012; Guio and Marlier, 2013).

(13) See Ayllón and Gábos (2015) for a review of studies on the relationship between monetary poverty and material deprivation over time.

VI. Main at risk groups in the child population

Now that we have presented our general findings on monetary poverty and material deprivation for both the overall population and for children, in this chapter we identify the main groups affected by both phenomena in the child population. A thorough descriptive analysis by different population groups has enabled us to identify the at risk groups. In parallel, we offer a multivariate analysis (*probit* models), which allows us to take into account the main factors that explain poverty and material deprivation (and therefore, control for correlations between different variables).⁽¹⁾ Throughout the chapter, we will comment on the results of this analysis; in Appendix 1 we provide information regarding coefficients and standard errors. Also note that we have only presented results on relative poverty and not poverty anchored in time, as we have found that both approaches identify the same at risk groups.

6.1. Adolescents

An initial analysis of the means and medians of the equivalent income distribution (analysis seen in chapter 1) already suggested that among the child population, older children live in households with lower equivalent incomes. These findings are now confirmed in the analysis of poverty levels and deprivation by age groups. Based on the methodological decisions adopted, graph 6.1 shows the poverty rate by age

(1) Probit models allow us to compare the importance of specific characteristics with respect to a reference group.

group in Spain between 2004 and 2009 and how it changed in 2010-2012. We have also included other age groups in the analysis in order to compare the situation of children with that of young, middle-aged and elderly adults.

Thus, with respect to the risk of poverty, there can be no doubt, the level of poverty increases linearly with the age of the child. Adolescents between 14 and 17 years of age suffer the highest poverty rate: three out of ten adolescents in Spain lived under the poverty threshold between 2004 and 2009.⁽²⁾ In fact, children from 3 to 17 years of age have a higher level of poverty than the overall population and only below that of persons over 69 years of age. In contrast, the first years of life are associated with a risk of poverty that is similar to the average for the population overall. Children under 2 have the lowest poverty rates among the child population.

The lower part of the graph shows how the poverty level changed in the different age groups during the economic crisis. Thus, we find that poverty increased for all children except those under 3 years of age. The poverty rate among adolescents rose to 34%; for children between 10 and 13, to 32%; and for children between 6 and 9, to 28%. These should certainly be considered very high poverty rates.

Multivariate analysis confirms the results presented: all the age groups show a greater likelihood of poverty in comparison to the reference group (children from 0-2 years of age) – with one exception, that of children from 3-5 years of age.⁽³⁾ Similarly, the interaction of the variables included in the analysis with a dichotomous variable identifying the period between 2010-2012 confirms the increase in the poverty rate among children ten years of age and older after the onset of the crisis.

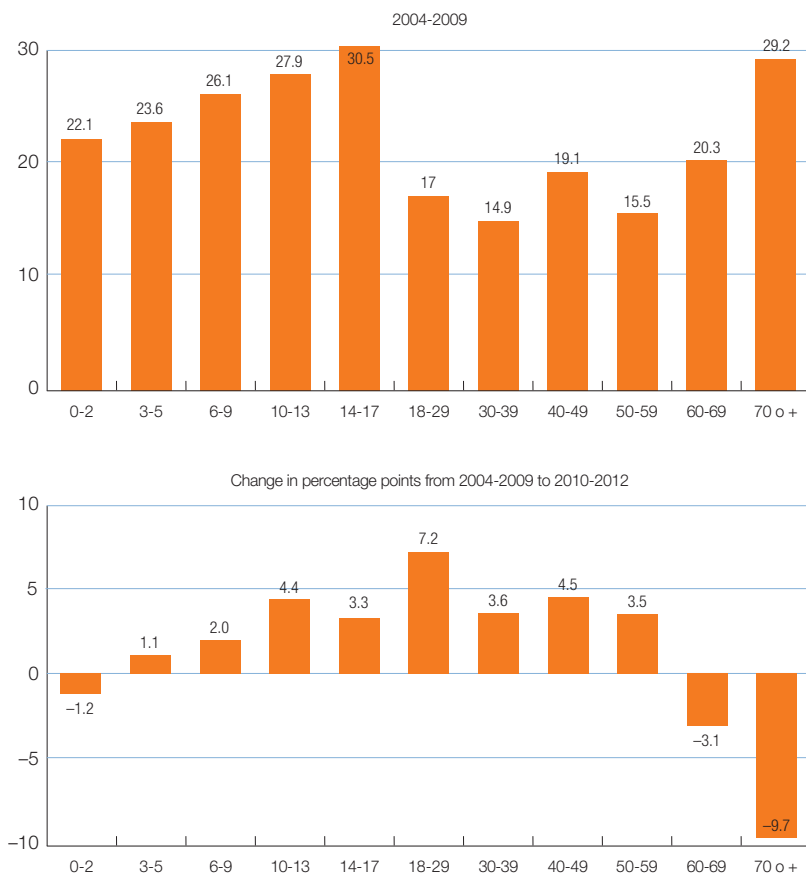
(2) It is true that the high risk of poverty for 14 to 17 year olds is in part caused by the methodological decisions adopted, as starting at 13 years of age, the weight of children on the equivalence scale increases from 0.3 to 0.5. In the academic literature, this decision is widely accepted, as it is assumed that the level of resources required by a child starting at 13 is very similar to that of an adult.

(3) This means that the difference in the likelihood of poverty among children between 0-2 and between 3-5 is not statistically significant at 95%.

GRAPH 6.1

Poverty rate by age groups in Spain, 2004-2009 and change in percentage points from 2004-2009 to 2010-2012

(in percentages)



Source: by author based on data from the Living Conditions Survey, 2004-2012.
Unit of analysis: individual. Population weights used.

The graph also shows that the economic crisis has greatly harmed children and young adults, and in turn has affected adults over 60 years of age much less, their situation, in relative terms, has in fact improved slightly (a result previously commented on in chapter 2).

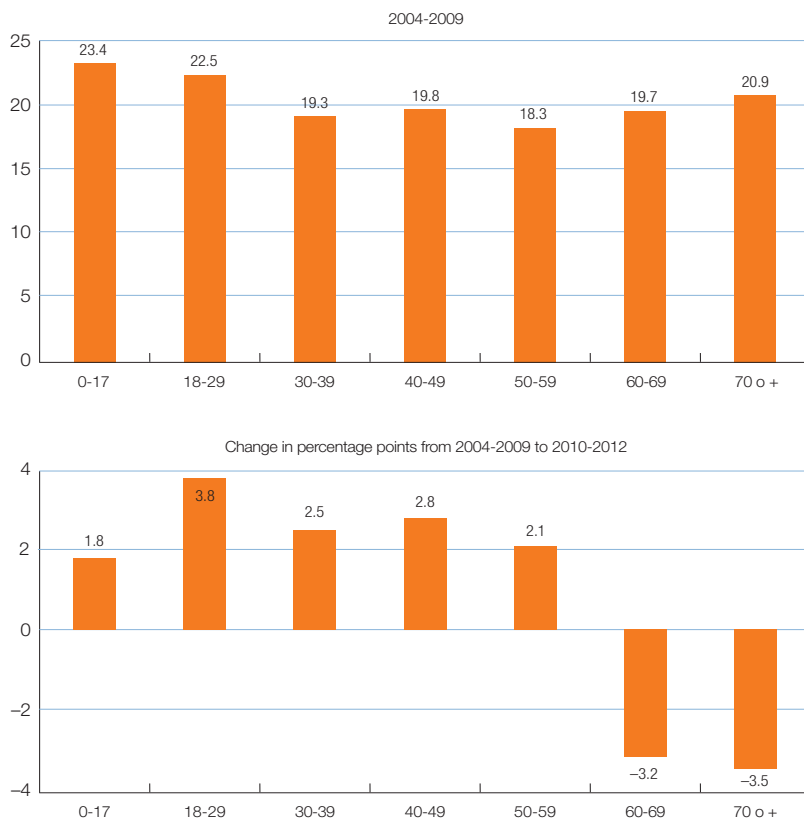
Regarding the risk of deprivation, both the descriptive analysis and the multivariate analysis reveal that there are no statistically significant differences among children by age group. Thus, graph 6.2 simply compares the risk of deprivation among children in relation to the rest of the population. As we saw in table 5.7 in the previous chapter, the risk of deprivation is significantly higher for children than adults, and this is especially the case in comparison to adults over 50 years of age. The risk of deprivation among persons over 60 years of age, for example, has declined during the crisis, which confirms the results already commented on regarding a slight improvement in the economic situation of these households. In addition, these results demonstrate the complementarity of the analysis of monetary poverty and material deprivation. Our analysis also reveals that it was young people from 18 to 29 years of age whose circumstances most deteriorated between 2010 and 2012.

To complement this analysis we look at the composition of the population of poor children and children suffering deprivation by age groups. Taking into account the poverty and deprivation rates of each age group and its demographic weight, we examine which groups are in the most precarious economic situation. The orange bars of graph 6.3 show the percentage represented by each age group within the total child population, and the green and blue bars show the proportion of each age group which suffers monetary poverty and material deprivation, respectively. For this graph, we use the entire period of analysis, as there are no significant differences between the 2004-2009 and 2010-2012 periods.

GRAPH 6.2

Deprivation rate by age groups in Spain from 2004-2009 and change in percentage points from 2004-2009 to 2010-2012

(in percentages)



Source: by author based on data from the Living Conditions Survey, 2004-2012.
Unit of analysis: individual. Population weights used.

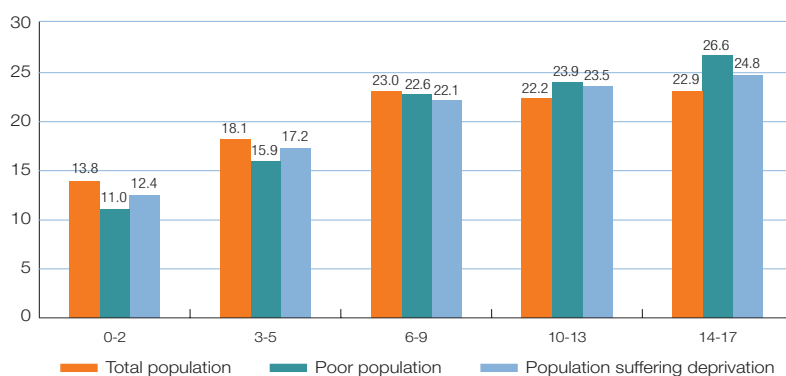
Consistent with what we found earlier, children up to 9 years of age are under-represented among both the poor population and the population suffering deprivation, especially children under 2 years of age. In fact, the youngest children represent 13.8% of the child population and in contrast, only 11.0% and 12.4% of children who are poor or suffer deprivation, respectively. Adolescents between 14 and 17 years of age

represent 22.9% of the population, 26.6% of the poor population and 24.8% of the population with material deprivation, figures which underscore the over-representation of this age group among the poor and those suffering deprivation. We find similar over-representation when we look at the age group between 10 and 13.

GRAPH 6.3

Distribution of the total child population, poor children and children suffering deprivation by age group, Spain, 2004-2012

(in percentages)



Source: by author based on data from the Living Conditions Survey, 2004-2012.
Unit of analysis: individual. Population weights used.

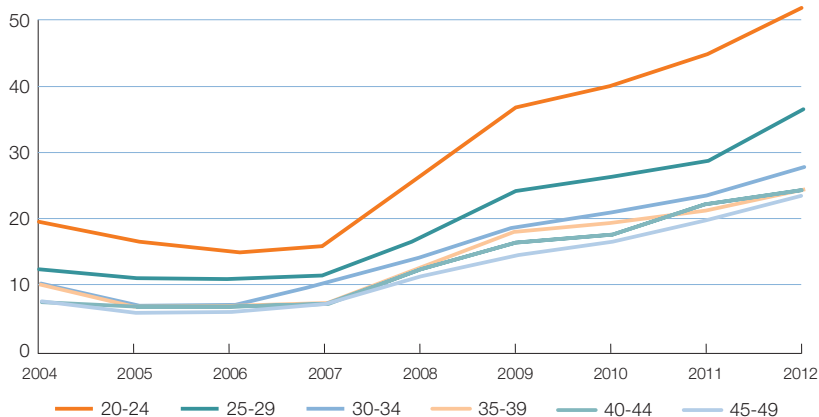
6.2. The children of unemployed or economically inactive parents

One of the consequences of the economic crisis that began in 2007 in Spain has been a dramatic increase in unemployment. Based on data from the Labour Force Survey, graph 6.3 shows trends in the unemployment rate between 2004 and 2012 by the age groups making up the cohort of the parents of the children analysed in this study. In only eight years, unemployment rates doubled, and for some groups, for example, those between 25-29 and 40-44, almost tripled. This represents a very significant change in the labour market if we take into account that Spain had just had a strong period of economic growth, reaching a historic low with an unemployment rate of 8% in the second quarter of 2007.

GRAPH 6.4

Unemployment rate in Spain by age group from 2004-2012, both sexes

(in percentages)



Source: by author from the Labour Force Survey 2004-2012. Data from the fourth quarter of each year.

Further and based on data from Eurostat, in Spain in 2004, 7.2% of persons between 18 and 59 years of age lived in households in which no one was employed. In 2012 this number more than doubled, rising to 15.1%. This is four percentage points higher than the euro zone average or the EU-28 average. In addition, the indicator of *low work intensity*, recently of wide use by the European Commission, showed that 12.3% of Spanish children in 2012 lived in households whose active members were working below 20% of their potential.⁽⁴⁾ This figure was 5.4% in 2004.⁽⁵⁾ These data alone explain the results obtained in this section, which is focused on the situation of children whose parents are inactive or unemployed, distinguishing between households with one or two parents.

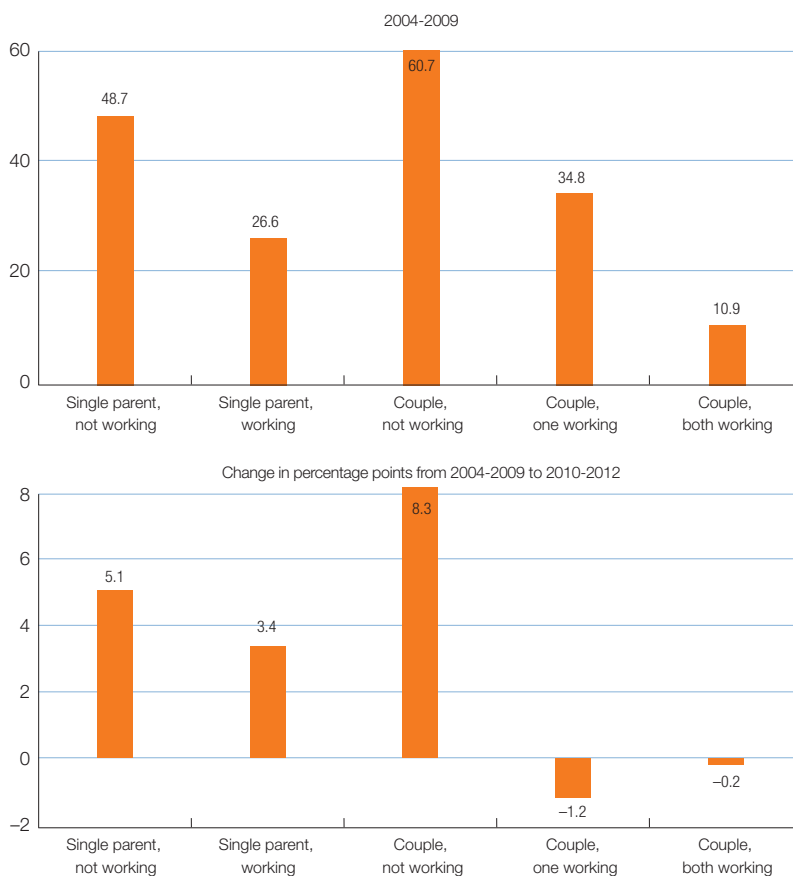
(4) Low work intensity is one of the indicators used to calculate the well-known AROPE (persons at risk of poverty and social exclusion) in the framework of the Europe 2020 Strategy.

(5) See Ayala, Cantó and Rodríguez (2011) on the importance of unemployment in households in relation to the poverty rate.

GRAPH 6.5

Poverty rate among children by type of family and parents' relationship to labour market in Spain from 2004-2009 and change in percentage points from 2004-2009 to 2010-2012

(in percentages)



Source: by author based on data from the Living Conditions Survey, 2004-2012.
Population weights used.

As expected and as indicated in graph 6.5, the households where no member is working are those that have a greater risk of poverty (whether a couple or single-parent). In the case of a child living with both parents and neither is working, the risk of poverty was 60.7% in the 2004-2009

period. In the case of single-parent households where the parent is not working, the risk of child poverty was 48.7%. These are the highest poverty rates seen in this entire study, as they show that poverty affects one of every two children in these types of households. When the child lives with both parents but only one of them works, the risk is 34.8%, and in the case of single-parent households in which the parent is working, 26.6%. The most advantageous situation is of course that of children who live with a father and mother who both work. In this type of household, only one out of ten children lives below the poverty line.⁽⁶⁾

In the second part of the graph, we see how the crisis has particularly affected the risk of poverty among children who form part of a two-parent family in which neither parent works. The poverty level for these children has increased by 8.3 percentage points. The rest of the variations are relatively minor in comparison to what has already been mentioned – in fact, the results of the multivariate analysis do not reveal statistically significant differences in the changes over the time period for the rest of the groups.

Regarding material deprivation, shown in graph 6.6, we find that single-parent families in which the parent does not work suffer the highest rate of deprivation, reaching 54.3%, followed by that of families with both parents in which neither works, with a rate of deprivation of 52.4%. In third place are single-parent families in which the parent works, with a risk of material deprivation of 30.7%. In the best position are nuclear families in which one or both members of the couple work. These two types of households have a risk of deprivation of 24.3% and 12.4%, respectively.

Regarding the effects of the crisis on these indicators, we see that it is exactly in the two types of households with the greatest risk (a couple without work and a single-parent without work) where a significant decrease in material well-being occurs. The crisis has most harmed those households which were already more vulnerable before the recession began

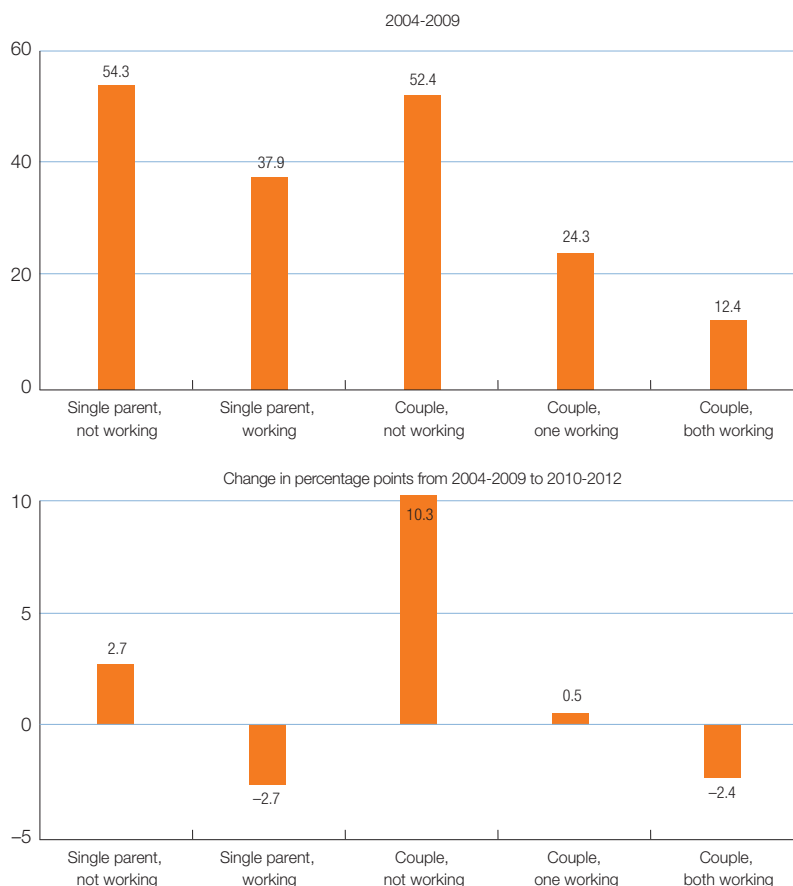
(6) The results of the multivariate analysis show that in comparison to the reference group formed by children who live with both parents and both work, the rest of the children have higher likelihood of being poor, statistically significant to 99%.

– and the results of the multivariate analysis confirm this. In fact, the rate of deprivation among children who live with both parents and neither works rose to 62.4% between 2010 and 2012.

GRAPH 6.6

Deprivation rate by type of household and parents' relationship to the labour market from 2004-2009 and change in percentage points from 2004-2009 to 2010-2012

(in percentages)



Source: by author based on data from the Living Conditions Survey, 2004-2012.
Population weights used.

We saw in the last section that in addition to looking at overall rates of poverty and deprivation among children, it is also important to consider the composition of the population of poor children and children suffering deprivation in comparison to the total child population in terms of family structure and parents' employment status. This is exactly what is shown in graph 6.7 for the two periods analysed. In this regard, we can see the significant increase in the proportion of poor children living in households with both parents in which neither parent is employed, which rose from 14.6% of poor children to 24.5% (representing 6.3% and 10.1% of the overall child population, respectively). That is, one out of four poor children in Spain lives in a household with both parents outside the labour market. Single-parent households are overrepresented among the population suffering economic hardship, no matter what approach is used. In addition, the graph reveals that more than 40% of poor children in Spain live in a household with both parents, but in which only one is working.

6.3. Large families

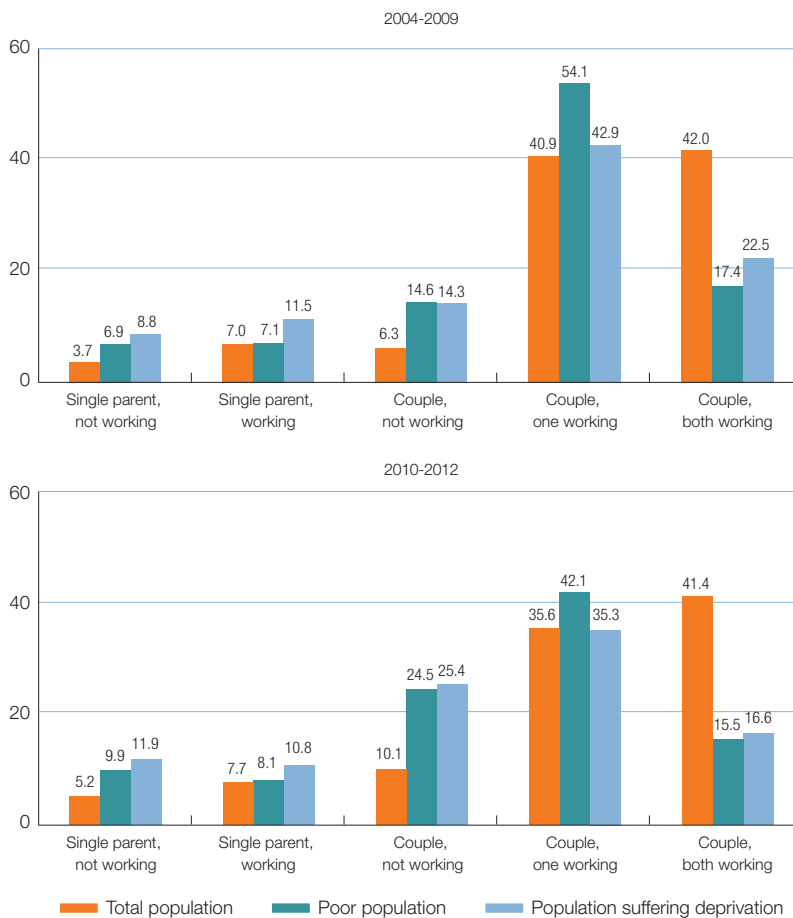
The third group we have identified as at risk in Spain is children who live in large families (defined as with three or more children). As shown in graph 6.8, the poverty rate in Spanish households with three children under 18 years of age was approximately 45% for the period 2004-2009, and in the case of families with four or more children it was almost 70%. There is therefore a dramatic linear and positive relationship between the risk of poverty and the number of children in the household.

Regarding the period of economic crisis, and taking into account our multivariate analysis, there has been a decrease in the relative poverty rate in households with three or more children, while the results for the other households analysed are not statistically significant. Nevertheless, despite the decrease in risk among large families, the rates are still extraordinarily high.

GRAPH 6.7

Distribution of the total child population, poor children and children suffering deprivation by type of household and parents' relationship to labour market, Spain, 2004-2012

(in percentages)

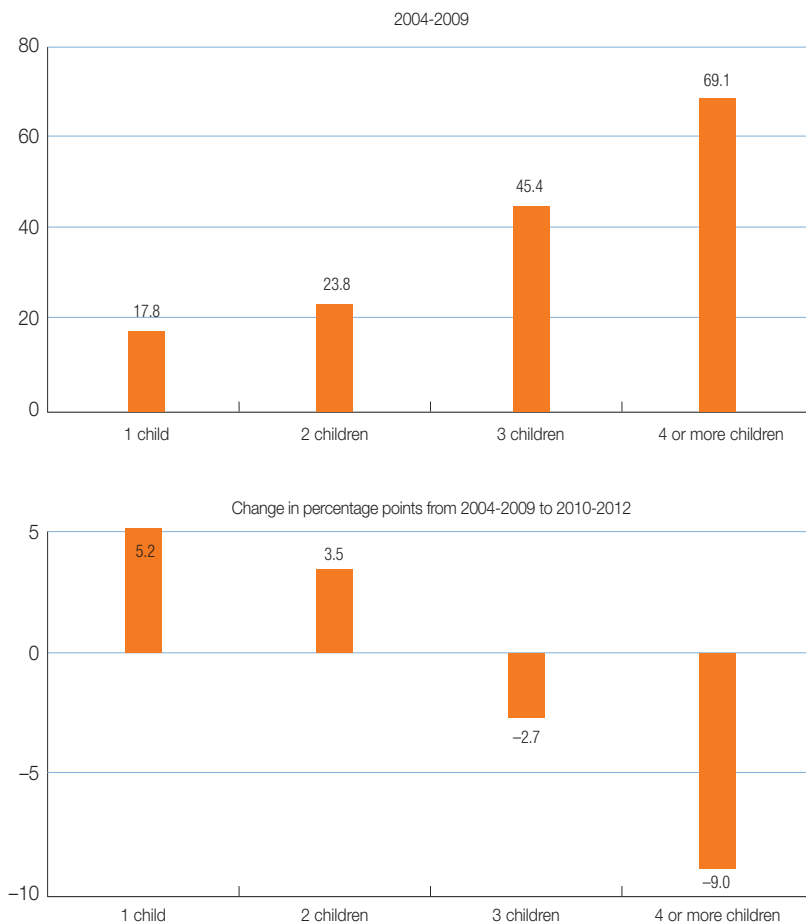


Source: by author based on data from the Living Conditions Survey, 2004-2012.
Population weights used.

GRAPH 6.8

Poverty rate by number of children in household. Spain, 2004-2009 and 2010-2012

(in percentages)



Source: by author based on data from the Living Conditions Survey, 2004-2012.
Population weights used.

The differences by family size in material deprivation are not as significant as in the case of poverty – see graph 6.9. However, we should point out the situation of households with one child: unlike what we find in the case of monetary poverty, these households have higher rates of deprivation than families with two children – this difference is statistically significant at 95%. Approximately 35% of families with three children suffer problems of deprivation; this rises to nearly 50% in the case of families with four or more children. Multivariate analysis shows that there are no statistically significant differences between the two time periods, except in the case of households with three children, whose situation improved slightly.

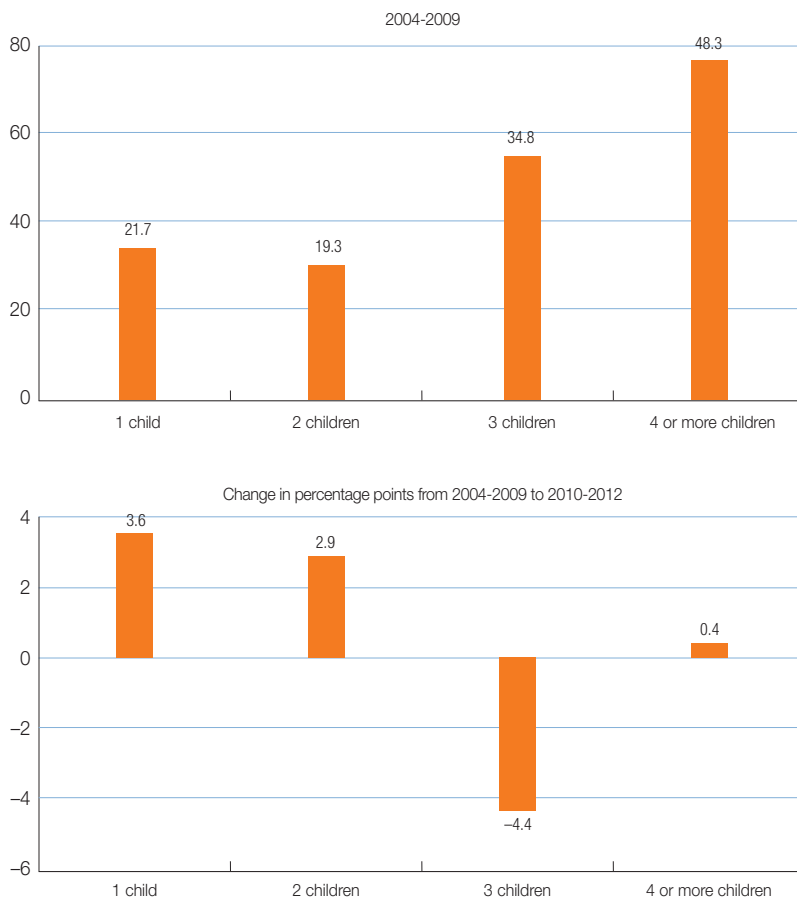
Focusing on the composition of the population of poor children and children suffering from deprivation by family size, shown in graph 6.10, we see that children in households with three children and with four or more children are overrepresented as a proportion of the child population in precarious economic situations. For example, children who live in households with three minors represent only 12% of the total child population but account for nearly 20% of poor children and 17% of children suffering problems of deprivation.

Finally, without ignoring the plight faced by many large families, we have found that although the poverty rate for children who live in households of two children is only two percentage points above the average rate for all children, children in these families make up 45% of all poor children. Therefore, while it is important to focus attention on those groups that suffer the highest poverty rates, we cannot forget the groups that account for the majority of the population with economic problems. Furthermore, the results presented above suggest a possible change of profile, with more poor children living in households with fewer children.

GRAPH 6.9

Deprivation rate by number of children in the household, Spain, 2004-2009 and 2010-2012

(in percentages)

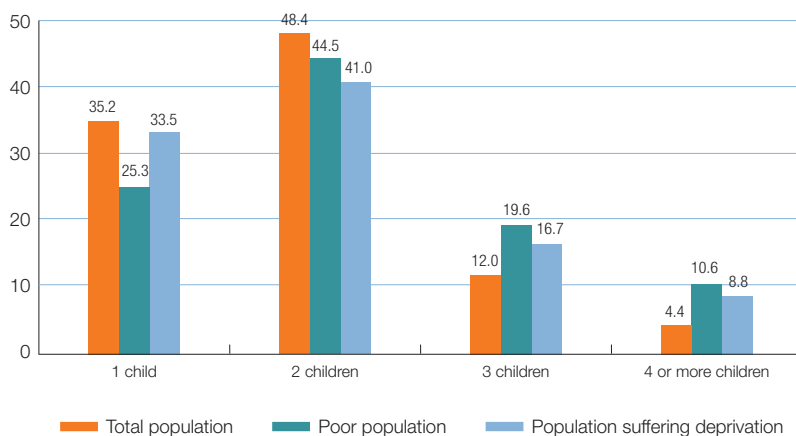


Source: by author based on data from the Living Conditions Survey, 2004-2012.
Population weights used.

GRAPH 6.10

Distribution of the total child population, poor children and children suffering deprivation by number of children in the household, Spain, 2004-2012

(in percentages)



Source: by author based on data from the Living Conditions Survey, 2004-2012.
Population weights used.

6.4. Single-parenthood

In section 6.2 we mentioned that one of the most vulnerable groups is children who live in single-parent households.⁽⁷⁾ In this section we will examine this group more in depth.⁽⁸⁾ Graph 6.11, referring to 2004-2009, shows the poverty rates for single-parent and two-parent households by number of children.⁽⁹⁾ The lower part of the graph shows the change that occurred in the second period with respect to the first.

(7) In the sample, 1.3% of children do not live with either of their parents. Both the poverty rate and rate of deprivation for this group are around 42%. Unfortunately, the absence of observations means that we cannot provide further analysis of this group of children.

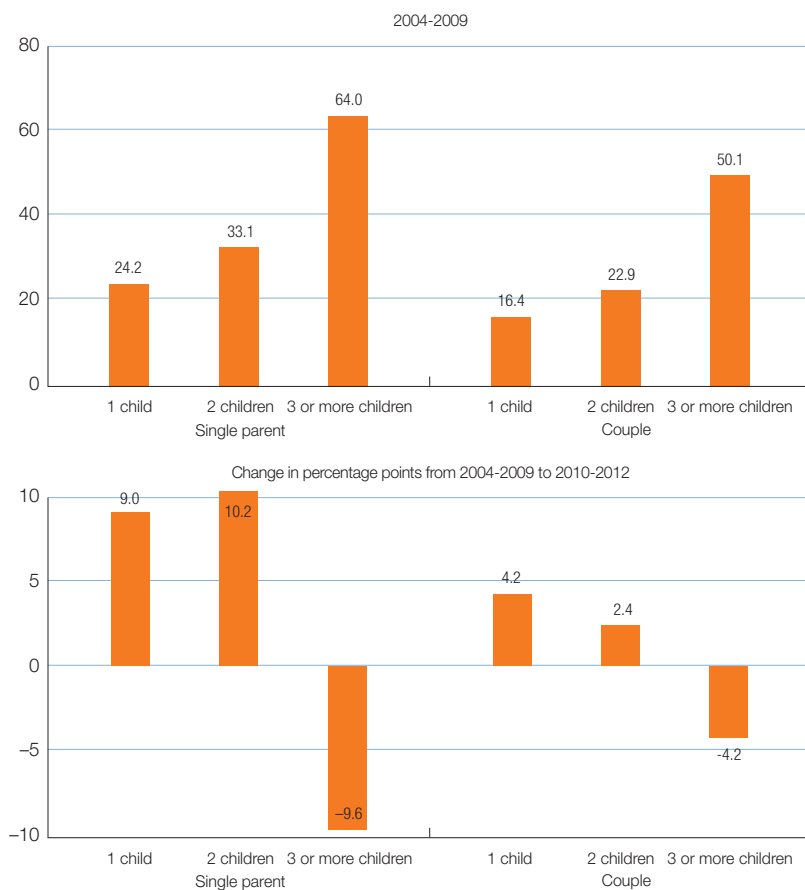
(8) See the excellent work of Mari-Klose *et al.* (2010) in this same collection for an in depth analysis of the risks associated with specific family structures in childhood.

(9) To avoid problems of multicollinearity with the variable on number of parents and relationship with the labour market, we were not able to include the combination of single-parenthood and number of children in the econometric model, so that we do not include the statistical significance of the coefficients on this point.

GRAPH 6.11

Poverty rate by number of parents and children in household between 2004-2009 and the change in percentage points from 2004-2009 to 2010-2012

(in percentages)

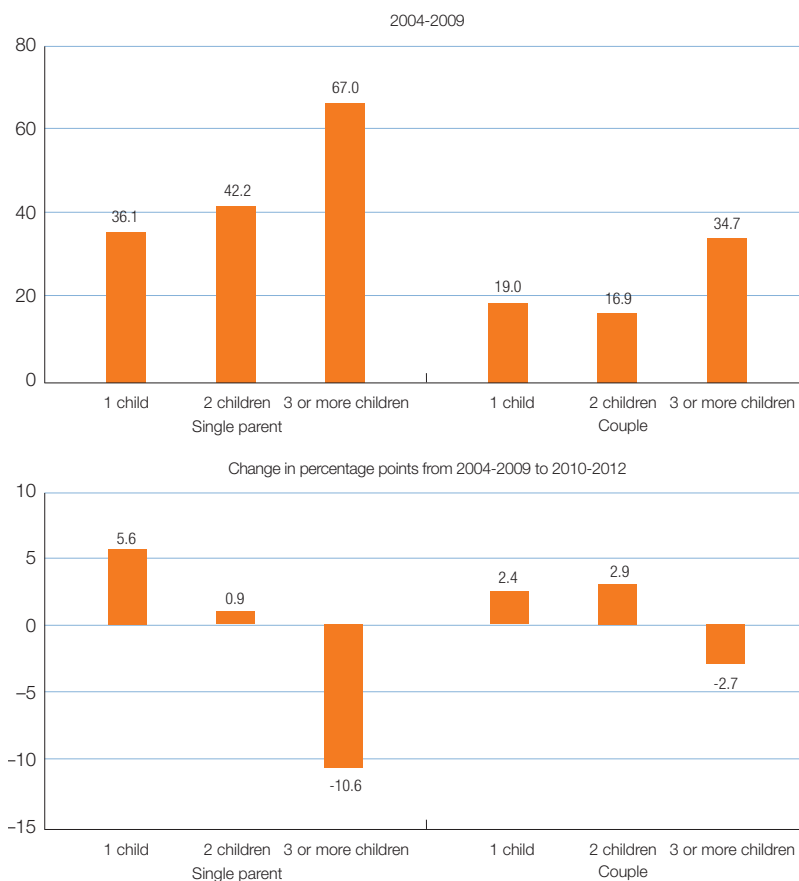


Source: by author based on data from the Living Conditions Survey, 2004-2012.
Population weights used.

GRAPH 6.12

Deprivation rate by number of parents and children in the household between 2004-2009 and the change in percentage points from 2004-2009 to 2010-2012

(in percentages)



Source: by author based on data from the Living Conditions Survey, 2004-2012.
Population weights used.

As we have indicated, the risk of child poverty increases with the number of children in the household, but there are clear differences if both parents live with the children or if only one of them does. For example, in the cases in which there is only one child, the risk of poverty is almost eight points higher if there is only one parent living in the household (24.2% vs 16.4%). The risk of poverty reaches a peak of 64.0% in the case of a single-parent household with 3 or more children in the period from 2004 to 2009. The economic crisis has made the situation of single-parent households even worse, especially for those with one or two children. With three or more, there has been a slight decrease, although the risk of poverty in this case is so high that this does not represent any real change in well-being for a large number of families.

Our findings regarding the rate of deprivation in single-parent households are particularly worrying, as they reveal even higher levels than found regarding monetary poverty, as shown in graph 6.12. Approximately four out of ten Spanish children who live in a single-parent household suffer such levels of material deprivation that they can be referred to as *deprived children*. In other words, the problem of an inadequate income in single-parent households is compounded by a significantly deficient standard of living.

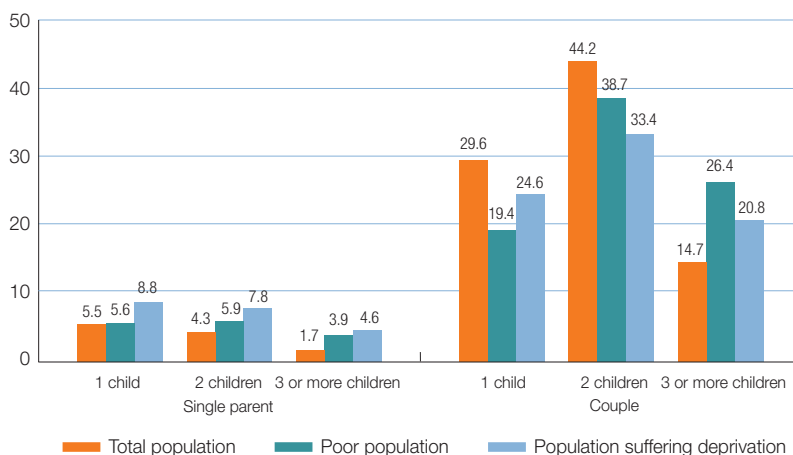
Regarding the composition of the households of the child population suffering poverty and deprivation (graph 6.13), while approximately 12% of Spanish children live in a single-parent household, such children account for 15.4% of poor children and 21.2% of those who suffer deprivation.

Children living with both parents and no siblings or only one sibling are clearly under-represented among the poor and those suffering deprivation. While children living in households with two or more siblings are overrepresented in the poor population and those suffering deprivation; although there are significant differences depending on whether they live with one or both parents.

GRAPH 6.13

Distribution of the total child population, poor children and children suffering deprivation by number of parents and children in the household, Spain, 2004-2012

(in percentages)



Source: by author based on data from the Living Conditions Survey, 2004-2012.
Population weights used.

6.5. Children of immigrant origin

This chapter would not be complete without examining the problems experienced by children of immigrant origin. As is well-known, in recent years Spain has been a host country to a growing immigrant population; while immigrants represented only 3% of the population at the end of the 1990s, this had increased to 12% by 2012 (census data). The immigrant population contributed to the economic expansion before the crisis, although immigrants often have ended up employed in low-skilled, low-paid jobs. In addition, many immigrant families became home owners, making them especially vulnerable to the impact of the crisis.

Table 6.1 shows the poverty rate and the rate of material deprivation for children by parents' origin. For children with at least one parent of non-European origin, the risk of poverty and deprivation is double that of children with Spanish or European parents. The rates are very high, with more than four out of ten children of immigrant origin suffering from poverty, material deprivation or both. The impact of the crisis has been especially significant among children of immigrant origin with regard to monetary poverty, which increased by 4.5 percentage points from 2004-2009 to 2010-2012. In contrast, the level of deprivation increased by less than one percentage point over the same time.⁽¹⁰⁾

TABLE 6.1

Poverty rate and rate of material deprivation for children by parents' origin, Spain, 2004-2009, and change in percentage points from 2004-2009 to 2010-2012

(in percentages and percentage points)

	RELATIVE POVERTY		MATERIAL DEPRIVATION	
	2004-2009	CHANGE 2010-2012	2004-2009	CHANGE 2010-2012
Family of Spanish or European origin	22.4	1.1	18.9	1.6
Family of non-European immigrant origin (at least one of the parents)	45.9	4.5	42.2	0.9

Source: by author based on data from the Living Conditions Survey, 2004-2012.
Population weights used.

If we focus on the distribution of the total child population, poor population and those with deprivation, which is shown in table 6.2, we can clearly see that the children of immigrant origin are overrepresented among both the poor population and those suffering material deprivation. This is a worrying finding that has important consequences for the integration of the immigrant population in Spain, as it reduces social cohesion in the long-term and opportunities for children of immigrant origin.

(10) For more detail on this issue, see Ballester, Velazco and Rigall-i-Torrent (2015), who offer an analysis of the impact of the crisis on the consumption habits of the immigrant population in Spain.

TABLE 6.2

Distribution of the total child population, the poor population and those suffering deprivation by parents' origin, Spain, 2004-2012

(in percentages)

	(%) CHILD POPULATION	(%) POOR CHILDREN	% CHILDREN SUFFERING MATERIAL DEPRIVATION
Family of Spanish or European origin	81.3	67.6	66.6
Family of non-European immigrant origin (at least one of the parents)	18.7	32.4	33.4

Source: by author based on data from the Living Conditions Survey, 2004-2012.
Population weights used.

6.6. Conclusions

In this chapter, we have identified the main groups at risk of poverty and material deprivation within the child population, as well as the possible changes in profile that have taken place over time. The first group that stands out is adolescents between 14 and 17 years of age: 34% of them lived below the poverty line in the period between 2010-2012, which represents more than a three point increase from the pre-crisis period. In contrast, children under three years of age have a much lower risk of poverty (21%). This result is understandable in part due to the methodology used, as has been mentioned, but also if we take into account that a large number of children under 3 years of age represent the first and only child of many couples, who tend not to start a family until they have the economic resources to do so. In contrast, households with older children – those who are finishing the period of family formation – are more likely to be composed of a larger number of siblings, which directly affects their economic well-being.

The type of household and the relationship of the parents to the labour market has helped us identify another of the groups that suffers among the highest rates of poverty and deprivation observed in this study: the children of unemployed or inactive parents. We found that when neither parent works, the rates of poverty and deprivation ranged between 50% and 70% during the 2010-2012 period, depending on whether it was a

single-parent household or a household with both parents. Moreover, of all the groups we looked at in this chapter, the poverty rate among children with both parents unemployed has increased the most – revealing the inadequacies of existing policies to compensate for lack of employment. In some families income from work is also inadequate, as one out of ten children who live in households in which both parents work, suffers poverty or material deprivation.

The rate of poverty and deprivation is also very high among families with three or more children. However, we have observed a change in profile: a greater proportion of poor children today live in households with fewer siblings. This result is telling, revealing the increased vulnerability of the most common family structure, a family with two children. Beyond this, and regardless of the number of children, single-parent households always have higher rates of poverty and deprivation than two-parent households. Lastly, we have confirmed the difficulties that exist for immigrant children, who represent one out of five children in the overall child population but account for one out of three poor and/or deprived children.

VII. The dynamics of child poverty

This chapter analyses the dynamics of poverty. We focus our attention here on examining the flows of entry into and exit from poverty and, therefore, on persistent and transitory poverty. Our main objective is not to quantify and characterise who the poor are at a moment in time, as we have done in the previous chapters, but to determine if poverty is transitory (and therefore, representing a short-term experience for the majority of people who have at one time been poor) or, on the contrary, if it is an experience that persists over time (such that the population that falls into poverty remains in it for many years unable to exit). Our analysis, then, moves from the equivalent of taking images of Spanish families with children at a given time to shooting a film that follows these families over a number of years.⁽¹⁾

As we have pointed out, the dynamics of poverty are highly important for designing policies to combat poverty. Policies and actions that help to resolve situations of chronic or persistent poverty differ substantially from those designed to attack situations of transitory poverty, as the factors that lead individuals into poverty and then perpetuate it are very different from the mechanisms that lead to situations of transitory poverty. For example, two persons who become unemployed due to the relocation of their place of employment may have very different opportunities to reincorporate into the labour market, based on differences in their education levels, age or sex. If unemployment leads

(1) See Bradbury, Jenkins and Micklewright (2001), authors of one of the most influential books on the dynamics of child poverty, Cantó and Mercader-Prats (2002) for one of the first studies focused on the Spanish case, and Cantó, Del Río and Gradín (2007) regarding the factors that help families with children to get out of poverty.

to poverty, this may turn into a long-term situation for a person with less education, whereas it will surely be a transitory situation in the case of a person with a higher education level. Thus, a guaranteed income policy to deal with certain contingencies, just as with unemployment benefits, may represent a good option for individuals with a higher education level, as it will help them escape a situation of economic precariousness and from there, given their education level, they will have the possibility of reincorporating into the labour market and attaining an adequate standard of living. But unemployment benefits or other subsidies may not function for the person who, finding him or herself unemployed for the same reason, sees his or her employment opportunities limited by a lack of education. In this case, it is perhaps more appropriate to implement measures that impact on the factors that cause the persistence of unemployment and poverty, such as a low education level, through active employment policies focused on training and career reorientation

In this chapter, we will first present the data we have used; then we will turn to the dynamics of poverty in Spain and lastly, to a sensitivity analysis of the poverty threshold.

7.1. European Union Statistics on Income and living Conditions - longitudinal database

To analyse the dynamics of poverty it is necessary to have data that follow individuals over time. In this chapter we use the longitudinal database of the Living Conditions Survey, based on interviews with all the adults of the sample over four consecutive years, regardless of their place of residence, whether fixed or changing.

Table 7.1 shows the number of observations from the sample and also indicates the structure of the database used. Thus, the individuals in the sample only participated in it over a four year period, at which time, they

were replaced by a new sample. In this way, approximately 25% of the sample is new every year.⁽²⁾

In table 7.2 we show the results regarding static poverty with the database used in this chapter. The results are very similar to those obtained with the cross-sectional data used in chapter three, but they are not necessarily exact, as they are not from the same sample. The most important difference is found in the year 2004, very likely because the longitudinal sample only contains three of the four rotational groups. The rest of the methodological decisions regarding income, the definition of poor persons, etc. are the same ones used in the previous chapters.

TABLE 7.1

Sample used (number of observations of individuals) in the Living Conditions Survey in Spain. Longitudinal database, 2004-2012

YEAR	ROTATIONAL GROUP										TOTAL
	B	C	D	E	F	G	H	I	J	K	
2004	10,483	10,600	10,729	–	–	–	–	–	–	–	31,812
2005	8,921	9,091	8,981	10,348	–	–	–	–	–	–	37,341
2006	–	8,069	7,921	8,475	10,171	–	–	–	–	–	34,635
2007	–	–	7,431	7,955	8,593	10,648	–	–	–	–	34,627
2008	–	–	–	7,719	8,209	9,469	10,575	–	–	–	35,972
2009	–	–	–	–	7,740	8,835	9,518	10,772	–	–	36,865
2010	–	–	–	–	–	8,324	8,723	9,572	10,407	–	37,026
2011	–	–	–	–	–	–	8,004	8,406	8,647	9,700	34,757
2012	–	–	–	–	–	–	–	7,667	7,961	8,130	23,758
Total	19,404	27,760	35,061	34,497	34,713	37,276	36,820	36,417	27,015	17,830	306,793

Source: by author based on the Living Conditions Survey, longitudinal database 2004-2012, using distribution of persons.

(2) In fact, the percentage is actually higher than 25% of the sample, as there are families and individuals that disappear, whether due to difficulties in locating them or simply because they decided to stop participating in the survey. This is known as attrition or sample loss.

TABLE 7.2

Poverty threshold (in euros), poverty rates (%), intensity and severity of poverty for the whole population and among children, Spain, 2004-2012

YEAR	POVERTY THRESHOLD (IN EUROS)	TOTAL POPULATION			CHILDREN		
		POVERTY RATE (%)	INTENSITY	SEVERITY	POVERTY RATE (%)	INTENSITY	SEVERITY
2004	6,261	19.5	5.7	2.9	24.6	7.5	3.8
2005	6,305	19.8	6.0	3.1	24.5	8.1	4.4
2006	6,692	20.3	6.6	3.8	25.8	9.2	5.1
2007	7,065	19.8	6.6	3.9	24.0	8.6	5.0
2008	7,649	20.7	7.0	6.1	26.4	9.6	8.6
2009	7,783	20.2	8.5	8.2	26.1	11.7	9.6
2010	7,661	21.3	9.5	8.5	27.2	13.0	10.9
2011	7,372	22.4	9.2	6.9	28.2	12.5	9.1
2012	7,290	21.7	8.7	6.3	27.0	11.6	7.6

Source: by author based on the Living Conditions Survey, longitudinal database 2004-2012, using distribution of persons. Population weights used.

7.2. Dynamics of poverty among children in Spain, 2004-2012

In this section we analyse the transitions into and out of poverty. As we have explained, the study of the dynamics of poverty provides information that can help guide the design of policies to combat poverty, information that is not available from a static analysis. First, we analyse the dynamics of poverty for the whole Spanish population, and then we look at the situation of children more closely.

Table 7.3 shows the transitions into and out of poverty in Spanish households from 2004 to 2012. The first column in the table indicates that the rate of entry into poverty was, on average, 9.7% in this period. This means that approximately one out of ten people in Spain in the year t had an income below the poverty threshold, although in the previous year, ($t-1$) they did not. In addition, the persistence of poverty was 62.3%, meaning that approximately six out of ten persons who were in this situation were not able to get out of it. In contrast, almost one out of every four house-

holds that were living below the poverty threshold in a specific year were able to exit the situation over the following year.

TABLE 7.3

Transitions into and out of poverty for the Spanish population, 2004-2012

(in percentages)

YEAR		<i>t</i>		
		NOT POOR	POOR	TOTAL
<i>t</i> – 1	Not poor	90.3	9.7	100.0
	Poor	37.6	62.3	100.0
	Total	79.5	20.5	100.0

Source: by author based on the Living Conditions Survey, 2004-2012, Longitudinal database.

In comparison, Bárcena and Cowell (2006), examining the period from 1993 to 2000 with data from the ECHP (*European Community Household Panel*), obtained a rate of entry into poverty of 8.1% and an exit rate of 39.8%.⁽³⁾ As a result, our findings indicate that the likelihood of entering poverty has increased significantly since then, while, in contrast, the likelihood of exit has remained quite stable.

Table 7.4 shows the rate of entry, exit and the persistence of poverty corresponding to each of the years analysed. As expected, Spanish families were affected more harshly once the country entered into crisis, as indicated by both the high rate of entry into poverty and its persistence. Thus, the rate of entry into poverty reached its peak in the period between 2011 and 2012 (at 10.3%) and the persistence rate, between 2009 and 2010 (at 66.5%).

(3) The methodological choices made by Bárcena and Cowell (2006) regarding the poverty threshold and the equivalence scale are very similar to those in our study. However, there is an important difference, as Bárcena and Cowell (2006) base their estimates only on the population over 16 years of age. In a similar way, Cantó, Gradín and Del Río (2003) obtain rates of entry and exit from poverty of 6.4 and 39.9 for Spain for the period from 1985-1995; but these results are not comparable with those of this study for methodological reasons. For example, Cantó, Gradín and Del Río (2003), based on the INE's Household Budget Continuous Survey (1985-1999), used an equivalence scale that divides the number of members of the household by its square root.

TABLE 7.4

Transitions into and out of poverty for the Spanish population from year to year, 2004-2012

(in percentages)

YEAR $t - 1$		YEAR t		
		NOT POOR	POOR	TOTAL
2005				
2004	Not poor	90.8	9.2	100.0
	Poor	40.4	59.6	100.0
	Total	81.3	18.7	100.0
2006				
2005	Not poor	90.3	9.7	100.0
	Poor	39.9	60.1	100.0
	Total	80.1	19.9	100.0
2007				
2006	Not poor	90.8	9.2	100.0
	Poor	39.8	60.2	100.0
	Total	80.4	19.6	100.0
2008				
2007	Not poor	89.8	10.2	100.0
	Poor	36.7	63.3	100.0
	Total	80.4	19.6	100.0
2009				
2008	Not poor	90.4	9.1	100.0
	Poor	38.8	61.2	100.0
	Total	80.1	19.9	100.0
2010				
2009	Not poor	90.1	9.9	100.0
	Poor	33.5	66.5	100.0
	Total	79.1	20.9	100.0
2011				
2010	Not poor	89.9	10.1	100.0
	Poor	34.4	65.6	100.0
	Total	78.1	21.9	100.0
2012				
2011	Not poor	89.7	10.3	100.0
	Poor	38.3	61.7	100.0
	Total	78.4	21.6	100.0

Source: by author based on the Living Conditions Survey, 2004-2012, Longitudinal database. Population weights have been used.

Table 7.5 shows the rates of entry and exit from poverty for children in Spain for the period from 2004 to 2012. We see in the table that the percentage of children who entered poverty was more than two points higher than that for the overall population. This means that on average, there were proportionately more children who fell into poverty during the period analysed. At the same time, the poverty persistence rate among children was almost 69 percent – a much higher proportion than found for the population overall. In short, not only did proportionately more children enter into poverty during this period, but they also had greater difficulty exiting.⁽⁴⁾

TABLE 7.5

Transitions into and out of poverty for the child population, Spain, 2004-2012

(in percentages)

AÑO		<i>t</i>		
		NOT POOR	POOR	TOTAL
<i>t</i> – 1	Not poor	87.7	12.3	100.0
	Poor	31.1	68.9	100.0
	Total	73.1	26.9	100.0

Source: by author based on the Living Conditions Survey, 2005-2012, Longitudinal database.

A year by year analysis (table 7.6) indicates once again that the worst conditions for children occurred in the transitions between 2009-2010 and 2010-2011, with poverty entry rates of approximately 13% and the persistence of poverty at 70%. This means that seven out of ten poor children in 2010 remained in the same situation in 2011.

(4) The base to calculate the rate of entry into poverty is all non-poor children, while the base to calculate the rate of exit is all poor children. Therefore, the exit rate in absolute values is higher than the entry rate.

TABLE 7.6

Transitions into and out of poverty for the child population from year by year, Spain, 2004-2012

(in percentages)

AÑO T-1		AÑO T		
		NOT POOR	POOR	TOTAL
2005				
2004	Not poor	89.7	10.3	100.0
	Poor	34.9	65.1	100.0
	Total	76.7	23.3	100.0
2006				
2005	Not poor	86.6	13.4	100.0
	Poor	33.6	66.4	100.0
	Total	73.1	26.9	100.0
2007				
2006	Not poor	89.1	10.9	100.0
	Poor	36.6	63.4	100.0
	Total	75.3	24.7	100.0
2008				
2007	Not poor	86.8	13.2	100.0
	Poor	30.3	69.7	100.0
	Total	72.4	27.6	100.0
2009				
2008	Not poor	88.1	11.9	100.0
	Poor	31.1	68.9	100.0
	Total	73.1	26.9	100.0
2010				
2009	Not poor	87.1	12.9	100.0
	Poor	26.2	73.8	100.0
	Total	71.8	28.2	100.0
2011				
2010	Not poor	86.8	13.1	100.0
	Poor	27.0	73.0	100.0
	Total	71.0	29.0	100.0
2012				
2011	Not poor	87.8	12.2	100.0
	Poor	30.9	69.1	100.0
	Total	72.1	27.9	100.0

Source: by author based on the Living Conditions Survey, 2005-2012, Longitudinal database. Population weights have been used.

Another way to observe the flows into and out of poverty is to analyse the percentage of households that remain in poverty over a particular period of time, as shown in table 7.7.⁽⁵⁾ To do this, we create a balanced panel that includes only those households that participated in the sample for a maximum of four consecutive years. Although our analysis is limited, as it takes into account only a part of the available sample, it shows that in fact 37% of Spanish households were in a situation of poverty in at least one of the four possible years analysed. Moreover, in almost half of these poor households, poverty is revealed to be a persistent problem, given that in at least three out of the four years considered, these households remained poor. The results seem to indicate then that poverty affects a much greater number of households than is indicated by a static analysis, as over time, the problem is not suffered by the same households (only some families suffer this problem for an ongoing period of time). Unfortunately, as the samples are relatively small, the data does not permit a comparative analysis between the first and second periods considered.

TABLE 7.7

Percentage of the Spanish population and the child population by number of periods in poverty, Spain, 2004-2012 (balanced panel)

(in percentages)

	TOTAL POPULATION	CHILD POPULATION
0	63.2	55.9
1	14.1	13.6
2	8.7	10.1
3	7.0	9.8
4	7.0	10.6
Total	100.0	100.0

Source: by author based on the Living Conditions Survey, 2005-2012, Longitudinal database. Population weights have been used.

(5) The risk of poverty in this table is slightly below that obtained in the static analysis. This is the case because this analysis includes only those households from the sample that participated in consecutive years in the micro data of the the Living Conditions Survey/European Union Statistics on Income and Living Conditions (longitudinal database) and therefore, the results are affected by the process of sample selection.

Among children, the persistence of poverty is much worse. The data reveal that one out of five Spanish children was living in poverty for at least three out of the four possible years examined, and one out of ten lived below the poverty threshold in all four years observed. This is a very long period of time if we consider the length of childhood.

In what follows, we look more closely at the relationship between poverty transitions and income level. Beyond the results we have already found, it is interesting to look at the income levels of the children who enter into and exit poverty the year prior to their doing so, in order to see how close or distant their incomes were from the poverty threshold. With this aim, table 7.8 shows the level in equivalent income of Spanish children as a percentage of the median for the year $t-1$, t being the year they entered or exited poverty. The first column contains the results for children who entered into a situation of poverty and who as a result, no longer had income above the poverty threshold (which we have established at 60% of the median), while the third column shows the income of children who exited from poverty. We analyse the results as an average for the period, as important differences were not found between the beginning and end of the period analysed.

According to our findings, 44% of Spanish children who managed to escape poverty had equivalent incomes in the year prior to the transition between 50% and 60% of median income, that is, very close to the poverty threshold. In fact, only 19% of children who exited poverty did so from a situation of severe poverty (equivalent incomes below 30% of the average).

TABLE 7.8

The prior income level of children who transition from and into poverty and rates of entry and exit, Spain, 2004-2012

(in percentages)

INCOME AS A PERCENTAGE OF THE MEDIAN IN $t - 1$	ENTRY INTO POVERTY		EXIT FROM POVERTY	
	% OF INDIVIDUALS	RATE OF ENTRY	% OF INDIVIDUALS	RATE OF EXIT
[> 0, ≤ 10]			6.7	21.3
[> 10, ≤ 20]			5.0	19.8
[> 20, ≤ 30]			7.4	22.2
[> 30, ≤ 40]			13.3	22.7
[> 40, ≤ 50]			23.8	30.2
[> 50, ≤ 60]			43.7	45.9
[> 60, ≤ 70]	33.6	38.4		
[> 70, ≤ 80]	21.4	25.6		
[> 80, ≤ 90]	14.6	17.2		
[> 90, ≤ 100]	9.1	12.1		
[> 100, ≤ 110]	5.5	8.1		
[> 110]	15.9	3.8		
	100.0	12.3	100.0	31.1

Source: by author based on the Living Conditions Survey, 2005-2012, Longitudinal database. Population weights have been used.

Similarly, almost 34% of the children who in a specific year entered poverty had income in the prior year between 60% and 70% of the median. In other words, approximately one out of three children who was not in a situation of poverty but had equivalent incomes very close to the threshold, fell into poverty in the following year.⁽⁶⁾ However, we also find that a fairly high percentage of households, 16%, had entered into a situation of poverty, despite having equivalent incomes nearly double that of the poverty threshold (over 110%) in the previous year. In short, for the vast

(6) These results are less favourable than those obtained by Cantó, Gradín and Del Río (2003) and Bárcena and Cowell (2006) for the Spanish case. Cantó, Gradín and Del Río (2003) found that for the 1985-1995 period, one out of four households that were less than 10% from the poverty threshold, fell into poverty in the following year, while Bárcena and Cowell (2006) found this to be the case for one out of three in 1993-2000. However, these comparisons must be taken with caution, as the methodology used was not the same as that followed in this study, as has already been mentioned.

majority of households, the transition to poverty takes place from an income level very close to the poverty line, although we also find cases of Spanish children for whom the entry into poverty was the result of a very sharp decline in income.⁽⁷⁾

The second and fourth columns of table 7.8 show the likelihood of entering and exiting poverty of children also by income level. As mentioned before, the risk of falling into poverty for Spanish children who were above the threshold in the year prior to falling into poverty was 12.3%. This percentage, however, is very different based on the household income level in the first year of the analysis: for example, in households with incomes between 60% and 70% of the average, the risk was 38%, whereas for those who had incomes higher than 110%, it was under 4%.

Regarding the rate of exiting poverty, we have seen that one out of three Spanish children who had been poor in the prior year managed to escape poverty. The likelihood of exiting poverty, however, seems to be less associated with income level than is the risk of entry. In fact, as the last column shows, the rate of exit for children with equivalent incomes between 10 and 20% of median equivalent income is similar to that of those who had incomes between 20 and 30%, or between 30 and 40%, of median income. As expected, the likelihood of exiting poverty was highest for households with incomes between 40% and 50% of median equivalent income and stood at almost 46%.

7.3. Analysis of sensitivity of poverty transitions in Spain

In the previous section, we analysed the transitions into and out of poverty in Spain, and we found that a significant number of transitions occur among persons and households very close to the poverty threshold. In this section, we are going to analyse the sensitivity of the transitions to the

(7) A detailed analysis (not included for reasons of brevity) of the transition into poverty shows that a very significant proportion of Spanish children who enter into poverty fall directly into severe poverty. Thus, one out of five Spanish children fall into severe poverty because their households end up having equivalent incomes below the threshold of 30% of median equivalent income. This percentage of children who enter into severe poverty is very high in comparison to results found in earlier studies.

poverty threshold chosen and thus, find out if we can really talk about transitions or, if in contrast, what we detect to be transitions are actually only fluctuations around the poverty threshold that have little to do with improving or worsening economic situations in households.

Sensitivity analysis consists in defining as transitions out of poverty only cases in which households manage to exceed 110% of the poverty threshold. Likewise, we will consider a household to have fallen into poverty if its relative income in year t is less than 90% of the poverty line.⁽⁸⁾ Thus, we do not consider movements between 90% and 110% of the poverty threshold as transitions, in this way restricting the analysis to more substantial changes in household income.

Based on the results obtained, shown in tables 7.9 and 7.10, the rate of entry into poverty would be 7.0% (instead of 9.7% shown in table 7.3), and the rate of exit would be 30.0% (compared to 37.6%). As expected, both rates decrease, as we require a more significant change in income level to be able to speak of poverty transitions. However, there continue to be high rates of entry into poverty, especially among children, and of persistence in poverty.

TABLE 7.9

Sensitivity analysis of transitions in and out of poverty for the overall population, Spain, 2004-2012

(in percentages)

YEAR		t		
		NOT POOR	POOR	TOTAL
$t - 1$	Not poor	93.1	7.0	100.0
	Poor	30.0	70.0	100.0
	Total	80.2	19.8	100.0

Source: by author based on the Living Conditions Survey, 2004-2012, Longitudinal database.

(8) This technique was proposed by Stevens (1999) in one of the most influential articles in the analysis of poverty dynamics in the 1990s.

TABLE 7.10

Sensitivity analysis of transitions in and out of poverty for Spanish children, Spain, 2004-2012

(in percentages)

YEAR		<i>t</i>		TOTAL
		NOT POOR	POOR	
<i>t</i> – 1	Not poor	91.1	8.9	100.0
	Poor	23.3	76.7	100.0
	Total	73.6	26.4	100.0

Source: by author based on the Living Conditions Survey, 2004-2012, Longitudinal database.

7.4. Conclusions

The longitudinal data from the Living Conditions Survey that follow families over time have enabled us to analyse dynamic child poverty in this chapter. With the onset of the crisis, we have found a higher percentage of children entering into poverty as well as a greater percentage remaining in this situation. Thus, for example, 10.3% of children who were not poor in 2004, entered into poverty in 2005. In contrast, this percentage rises to 13.3% between the years 2010 and 2011. Along the same lines, a greater number of households with children have difficulty exiting poverty, leading to higher levels of persistent poverty. In fact, in the period of the economic crisis, more than seven out of ten poor children are stuck in persistent poverty.

If we turn from a year by year analysis to a longer period of time, 4 years, we find a very high percentage of children who are affected by poverty *at some time* during those 4 years – 44% – much higher than indicated by a simple static analysis of one year. Moreover, we find that one out of four Spanish children (approximately 840,000 in 2012) could be considered chronically poor; that is, they spent the entire four year period analysed in poverty. This means that a large number of poor children spend long periods of their childhoods in poverty, with very serious consequences for their development – as discussed in the introduction to this study.

VIII. Measures to combat child poverty

As the analysis in the previous chapters shows, child poverty in Spain is a result of the inability of adult members of a family to obtain sufficient resources, primarily from the labour market. But it is also a result of the design of redistributive policies, as Gornick and Jäntti (2012) have pointed out. Children are not responsible for their own poverty, but they suffer its direct effects on their well-being and development.

There are two main types of policy measures aimed at combating child poverty. On the one hand, there are monetary transfers, direct in-kind assistance and tax deductions that can compensate for the negative effects of poverty on the well-being of children. These measures are intended to alleviate child poverty that is temporary in nature. On the other hand, there are policies of a more structural nature that are aimed at having an impact on the causes of poverty; for example, educational policies that improve the academic performance of children that come from disadvantaged backgrounds, or labour market policies that help parents generate the resources needed to exit poverty. Analysis of the latter type of policies is largely outside the sphere of this study, although they have been the subject of other studies.⁽¹⁾ Instead, this chapter analyses the effect of monetary assistance to families with children as a measure to reduce the effects of transitory poverty in Spain.

(1) Nor does this chapter evaluate the redistributive role of public services aimed at children, such as day care centres. As Cantó (2014) notes, in-kind benefits are important because they affect decisions regarding participation in the labour market, families' savings and also impact on children's well-being. Förster and Verbist (2014), in fact, show that in the case of Spain, in-kind benefits have a greater capacity for poverty reduction than monetary transfers.

Thus, in the sections that follow we carry out a series of comparative static exercises that reveal the potential of certain types of monetary assistance to families with children to reduce the risk of child poverty. This is not a complete microsimulation allowing us to simultaneously take into account the different fiscal measures as well as already existing assistance to families.⁽²⁾ It is, simply, to observe the effect that certain types of monetary assistance could have on the well-being of children, as measured by the poverty rate, all other variables remaining constant.⁽³⁾ However, it is clear that some of the simulated measures would require significant outlays within the budgets that are already dedicated to children and families today.

The first section compares some of the relevant data regarding family policy in Spain with that of its EU neighbours and also with other OECD countries. Afterwards, we analyse the effect of monetary assistance to families and the impact it has had on reducing child poverty from 2004 to 2012, using data from the EU-SILC. We then carry out different exercises simulating possible measures aimed at combating child poverty, looking at their theoretical impact for 2011, the year with the highest poverty rate for the period analysed. First, we focus on universal assistance for all persons under 18 years of age, then we look at assistance conditioned on income level and, third, we look at assistance to children previously identified as especially vulnerable.

(2) To simultaneously take into account monetary measures, in-kind benefits and tax measures, it is necessary to work with a microsimulation tool, for example, EUROMOD (see Sutherland, 2001; Sutherland et al, 2008). The work of Levy, Lietz and Sutherland (2005 and 2006) and Levy, Matsaganis and Sutherland (2013) are good examples of analyses studying different social policy measures aimed at children to combat child poverty in the European Union based on microsimulation results. For Spain, see the excellent study by Cantó *et al.* (2012). It should be noted that the Spanish case is particularly difficult to study because of the diversity of the range of policies in Spain's different regions.

(3) This is a comparative static exercise that does not take into account dynamic effects such as a change in the household labour supply from receiving certain benefits.

8.1. Family policy in Spain from a comparative perspective⁽⁴⁾

In 2014, Spain dedicated approximately 26.8% of its GDP (see table 8.1) to social spending (illness, health care, disability, old age, survivors benefits, family, children, unemployment, housing and social exclusion). This is higher than the OECD average, and the percentage has increased in recent years⁽⁵⁾ although Spain is below countries such as France (31.9%), Denmark (30.1%), Finland (31.0%) and Italy (28.6%). However, of all the resources Spain dedicates to social spending, only a small part is aimed at family policy, despite the fact that it has been shown that countries which dedicate more public spending on children have the lowest rates of child poverty.

As can be seen in table 8.2, Spain is among the European countries dedicating the least resources to social spending on families, while at the same time, suffering from one of the highest child poverty rates, as we discussed in chapter 2. For example, social spending for families amounted to only 1.4% of GDP in 2011 (the last year for which data is available), which is among the lowest percentages, along with Greece and Poland, of all European Union countries, and only above that of Portugal.⁽⁶⁾ This means that Spain is among the group of member states that dedicates the least resources to social spending on families. This group includes the countries of Southern Europe, some of the recently incorporated Eastern European countries and Holland.⁽⁷⁾

(4) See the work of Cantó and Ayala (2014) for a review of the historical development of public family policies in Spain as well as for detailed information about the different benefits making up the current social protection system in Spain.

(5) The increase in social spending as a proportion of GDP is largely due to the economic crisis and to the decrease in GDP in Spain during it.

(6) The comparison of Spain with other OECD countries is complicated due to the great diversity and disparity among OECD countries. Regarding the Eurozone countries, the average was practically double that of Spain in 2011 (Cantó, 2014).

(7) Of the different policy items, Cantó *et al.* (2012) have shown that central government tax deductions (included in the table as expenditure in-kind) have the greatest impact on the well-being of Spanish children, as they reach 95% of children and amount to 700 euros per year on average. Cash benefits have much less impact because they cover only 20% of children and amount to 200 euros on average.

TABLE 8.1

Social spending as a percentage of GDP in various OECD countries, 2000, 2005, 2009-2014

(in percentages)

	2000	2005	2009	2010	2011	2012	2013	2014
Australia	26.2	27.0	27.6	26.8	25.5	25.4	25.6	25.8
Austria	26.1	26.8	28.6	28.6	27.7	27.9	28.3	28.4
Belgium	24.5	25.6	29.1	28.8	29.4	30.3	30.9	30.7
Canada	15.8	16.2	18.5	17.9	17.4	17.4	17.2	17.0
Chile	12.7	8.7	11.2	10.5	10.1	10.2	10.0	–
Czech Republic	18.8	18.5	20.3	19.9	20.1	20.2	20.5	20.6
Denmark	26.0	27.3	29.7	29.9	30.1	30.2	30.2	30.1
Eslovenia	22.8	21.8	23.0	23.9	24.0	24.0	23.8	23.7
Estonia	13.8	13.1	19.8	18.8	16.8	16.2	16.1	16.3
Finland	23.3	25.0	28.3	28.7	28.3	29.4	30.6	31.0
France	28.4	29.6	31.5	31.7	31.4	31.5	32.0	31.9
Germany	17.2	16.4	17.4	17.2	17.8	18.3	19.0	19.0
Grecia	19.2	21.1	24.4	24.2	25.7	26.1	24.3	24.0
Holland	19.8	21.8	23.1	23.7	23.5	24.1	24.6	24.7
Hungary	20.5	22.3	24.7	23.5	22.6	22.3	22.1	22.1
Iceland	15.0	16.3	18.5	17.9	18.1	17.5	17.1	16.5
Ireland	13.1	15.8	23.4	23.3	22.3	22.0	21.9	21.0
Israel	16.5	15.6	15.4	15.2	15.2	15.1	15.0	–
Italy	23.3	24.9	27.8	27.8	27.5	28.1	28.7	28.6
Japan	16.3	18.4	22.0	22.1	23.1	–	–	–
Korea	4.8	6.5	9.4	9.0	9.0	9.6	10.2	10.4
Luxemburgo	19.6	22.0	24.3	23.0	22.5	23.4	23.4	23.5
Mexico	5.0	6.5	7.7	7.8	7.7	7.9	–	–
New Zealand	18.9	17.9	21.0	21	20.7	21.0	20.8	–
Norway	20.8	21.1	22.8	22.4	21.8	21.7	22.0	22.0
Poland	20.3	20.7	20.7	20.7	20.1	20.1	20.7	20.6
Portugal	18.6	22.8	25.3	25.2	24.8	24.8	25.8	25.2
Slovakia	17.8	16.1	18.5	18.4	18.1	18.3	18.7	18.4
Spain	20.0	20.9	26.1	26.7	26.8	27.1	27.3	26.8
Suecia	28.2	28.7	29.4	27.9	27.2	27.7	28.2	28.1
Switzerland	17.2	19.4	19.7	19.5	19.3	19.7	19.9	19.4
Turkey	–	9.7	13.2	12.6	12.2	12.3	12.5	–
UK	18.4	20.2	23.9	22.8	22.7	23.0	22.5	21.7
United States	14.2	15.5	18.5	19.3	19.0	18.7	18.6	19.2
OECD	18.6	19.4	21.9	21.7	21.4	21.6	21.7	21.6

Note: OECD figures are based on an unweighted average of all the countries in the table. The countries are ordered alphabetically.

Source: Social Expenditure: Aggregated data, OECD Social Expenditure Statistics (<http://www.oecd-ilibrary.org>, web page consulted January 2015).

TABLE 8.2

Social spending on families, in cash and in-kind assistance, as a percentage of GDP, 2011

(in percentages)

	IN CASH	IN KIND	TOTAL
Denmark	1.6	2.4	4.0
United Kingdom	2.6	1.4	4.0
Ireland	2.9	1.0	3.9
Luxembourg	3.0	0.6	3.6
Sweden	1.5	2.1	3.6
Iceland	1.2	2.3	3.5
Hungary	2.2	1.1	3.3
New Zealand	2.2	1.1	3.3
Finland	1.6	1.6	3.2
Norway	1.3	1.8	3.1
France	1.6	1.4	2.9
Belgium	1.8	1.1	2.9
Australia	1.9	0.9	2.8
Austria	2.0	0.6	2.7
Estonia	1.9	0.4	2.3
Israel	1.1	1.1	2.2
Slovenia	1.6	0.5	2.2
Germany	1.2	1.0	2.2
Slovakia	1.6	0.4	2.1
Holland	0.7	0.9	1.6
Czech Republic	1.0	0.5	1.6
Italy	0.7	0.8	1.5
Switzerland	1.0	0.4	1.4
Spain	0.5	0.8	1.4
Greece	1.0	0.4	1.4
Japan	0.9	0.5	1.4
Poland	0.8	0.6	1.4
Chile	0.6	0.7	1.3
Portugal	0.8	0.4	1.2
Canada	1.0	0.2	1.2
Mexico	0.4	0.7	1.1
Korea	0.1	0.9	0.9
United States	0.1	0.6	0.7
Turkey	0.0	0.0	0.0
OECD (average)	1.3	0.9	2.2

Note: The latest data available corresponds to 2011. The countries have been ordered by the value of the last column.

Source: Social Expenditure: Aggregated data, OECD Social Expenditure Statistics (<http://www.oecd-ilibrary.org>, web page consulted January 2015).

We arrive at the same conclusion if we look at social spending on families as a proportion of total social spending; in other words, of all social spending, that which corresponds to ‘families and children’ is one of the least significant, as can be seen in table 8.3. Based on the integrated accounts for Social Security from Spain’s Ministry of Employment and Social Security, the area of ‘family and children’ represented 5.3% of social spending in 2012 (most recent data available).⁽⁸⁾ If we compare it with 2008, when spending on ‘family and children’ reached its highest level as a proportion of social spending at 6.2%, the decline is clear.⁽⁹⁾ But the difference is even more notable with, for example, the area of ‘old age’, which represented 35.6% of social spending, or ‘unemployment’, accounting for 13.8%. Along the same line, we see that the area of ‘social exclusion’ did not even reach 1% of social spending in Spain.

In addition, with the arrival of the crisis, economic aid to children has actually become more limited, with coverage being reduced, restrictions increased, or certain assistance simply eliminated (UNICEF, 2012a). In the region of Catalonia, for example, the Ombudsman reported that in 2013 the modification of the criteria for access to Spain’s minimum income guarantee (RMI), which had only been implemented in 2011, had led to a decrease of nearly 10,000 children benefiting from this aid to their families in the last two quarters of that year.

(8) Social spending for families is recorded as both financial assistance and in-kind benefits, including birth, child rearing and maintaining of other family members, maternity and paternity benefits, social services dedicated to families and daycare. Tax deductions are not included.

(9) As Cantó (2014) has explained, the increase in spending on families is due to the reforms in benefits for dependent children, the creation of the deduction-benefit for working women with children under three and the universal benefit for the birth of a child. With the crisis, however, many of these reforms were frozen or halted.

TABLE 8.3

Social spending by function expressed as a percentage of total social spending in Spain, SEEPROS, 2004-2012

	2004	2005	2006	2007	2008	2009	2010	2011	2012
Illness and health care	30.3	30.1	30.4	30.4	30.8	28.9	28.3	27.2	25.8
Disability	7.3	7.3	7.3	7.3	7.2	6.8	6.9	6.9	7.1
Old age	31.4	31.0	31.0	31.2	32.2	31.5	33.2	33.9	35.6
Survivors' benefits	9.8	9.6	9.4	9.3	9.0	8.5	8.8	8.8	9.2
Family and children	5.3	5.7	5.8	6.0	6.2	6.0	5.9	5.4	5.3
Unemployment	12.1	12.1	11.7	11.4	10.6	14.5	13.2	14.2	13.8
Housing	0.8	0.8	0.8	0.9	0.9	0.8	0.9	0.9	0.6
Social exclusion	0.9	1.1	1.2	1.2	1.1	1.0	0.9	0.8	0.8
Administrative expenses	2.1	2.2	2.3	2.2	2.1	2.0	1.9	1.8	1.9
Other expenses	0.2	0.2	0.2	0.2	0.1	0.0	0.0	0.0	0.0
Total	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Source: Statistical Yearbook of the Ministry of Employment and Social Security. Integrated Accounts for Social Protection based on the SEEPROS system. The data regarding the years 2004 and 2007 were taken from the 2009 Yearbook and more recent data from the 2013 Yearbook, the most recent available. (<http://www.empleo.gob.es/es/estadisticas/contenidos/anuario.htm>, web page consulted in January 2015).

8.2. The impact of social benefits on child poverty

Child poverty can be affected by social service benefits that are not specifically directed at children, above all when monetary transfers benefit members of their family. Tables 8.4 and 8.5 show the impact of monetary benefits on families, and tables 8.6 and 8.7, the impact of individual benefits received by households members on the level of poverty (among the total population and for children), based on information broken down by benefits provided in the Living Conditions Survey used in previous chapters. To know the effect of the different benefits (corresponding to each of the columns in the tables), we calculate the difference between the poverty level that results from the distribution of total available income in the household (in other words, once the effects of taxes and transfers are

considered) and that which results from the hypothetical distribution of income without considering the benefits we are analysing.^{(10) (11)}

The main problem with this method is that it is based on the premise that without the transfers individuals do not change their behaviour and, therefore, their employment income would be the same. However, the comparison of poverty before and after the benefits, despite representing an inexact measure of the real effect of policies, is a first approximation of the situation of these households.

The tables indicate that most benefits to households have a very limited impact on the overall poverty rate and on the child poverty rate. In fact, assistance for families, social assistance, housing assistance and other assistance directed to children, result in no more than a reduction of only 0.8 percentage points in the poverty rate for the total population in any of the years analysed. Nor do we observe an increase in the capacity for reducing the risk of poverty from the assistance mentioned with the onset of the economic crisis, with the exception of the ‘social assistance’ benefit, whose capacity for reducing the risk of poverty went from 0.1 points in 2009 to 0.8 points in 2012.

Among children, the capacity of economic ‘assistance to families’ and ‘social assistance’ to reduce household poverty is slightly higher than what we have found for the overall population. These welfare benefits managed to reduce the rate of child poverty by 1.2 points in 2012. However, we must remember that the rate of child poverty in that year was 28.9%, so that the monetary assistance needed by families was in no way covered by these benefits.

Tables 8.6 and 8.7 show the reduction in the risk of poverty for the total population and for children based on the benefits received by individual household members. We see that unemployment benefits result in an important reduction in the risk of poverty, which has been aggravated by the crisis, especially for children.

(10) Arcanjo *et al.* (2012) carried out a similar exercise for assistance to families comparing Spain, Poland, Portugal and Italy.

(11) It should be taken into account that this exercise does not allow a change in the poverty threshold for the distribution of income that does not contain the benefit studied, as we want to know the net effect on the reduction in poverty of each benefit.

TABLE 8.4

Effect of economic benefits to households on the relative poverty rate for the total population in Spain, 2004-2012

(in percentages and by percentage points)

YEAR	POVERTY RATE	[-] FAMILY ASSISTANCE		[-] SOCIAL ASSISTANCE		[-] HOUSING ASSISTANCE		[-] NET INCOME FOR CHILDREN UNDER 16	
		POVERTY RATE	REDUCTION (POINTS)	POVERTY RATE	REDUCTION (POINTS)	TASA DE POBREZA	REDUCTION (POINTS)	POVERTY RATE	REDUCTION (POINTS)
2004	20.1	20.2	-0.1	20.2	-0.1	20.2	-0.1	20.2	-0.1
2005	20.1	20.2	-0.1	20.2	-0.1	20.2	-0.1	20.2	-0.1
2006	20.4	20.5	-0.1	20.5	-0.1	20.5	-0.1	20.6	-0.2
2007	20.1	20.2	-0.1	20.1	0.0	20.1	0.0	20.1	0.0
2008	20.8	21.0	-0.2	20.8	0.0	20.9	-0.1	20.8	0.0
2009	20.1	20.3	-0.2	20.2	-0.1	20.1	0.0	20.2	-0.1
2010	21.4	21.8	-0.4	21.7	-0.3	21.6	-0.2	21.5	-0.1
2011	22.2	22.6	-0.4	22.8	-0.6	22.4	-0.2	22.3	-0.1
2012	22.1	22.4	-0.3	22.9	-0.8	22.1	0.0	22.2	-0.1

Source: By author based on the Living Conditions Survey, 2004-2012. Population weights used. Distribution by persons.

TABLE 8.5

Effect of economic benefits to households on the relative child poverty rate in Spain, 2004-2012

(in percentages and by percentage points)

YEAR	POVERTY RATE	[-] FAMILY ASSISTANCE		[-] SOCIAL ASSISTANCE		[-] HOUSING ASSISTANCE		[-] NET INCOME FOR CHILDREN UNDER 16	
		POVERTY RATE	REDUCTION (POINTS)	POVERTY RATE	REDUCTION (POINTS)	TASA DE POBREZA	REDUCTION (POINTS)	POVERTY RATE	REDUCTION (POINTS)
2004	25.4	26.2	-0.8	25.5	-0.1	25.7	-0.3	25.6	-0.2
2005	26.0	26.2	-0.2	26.1	-0.1	26.1	-0.1	26.2	-0.2
2006	27.1	27.6	-0.5	27.4	-0.3	27.4	-0.3	27.7	-0.6
2007	25.9	26.2	-0.3	26.2	-0.3	26.1	-0.2	26.2	-0.3
2008	27.8	28.2	-0.4	27.9	-0.1	28.0	-0.2	27.9	-0.1
2009	26.9	27.4	-0.5	27.0	-0.1	26.9	0.0	27.1	-0.2
2010	28.1	28.9	-0.8	28.4	-0.3	28.3	-0.2	28.2	-0.1
2011	29.1	29.8	-0.7	29.6	-0.5	29.4	-0.3	29.3	-0.2
2012	28.9	29.4	-0.5	30.1	-1.2	29.0	-0.1	29.1	-0.2

Source: By author based on the Living Conditions Survey, 2004-2012. Population weights used. Distribution by persons.

TABLE 8.6

Effect of economic benefits to individuals on the relative poverty rate for the total population in Spain, 2004-2012

(in percentages and by percentage points)

YEAR	POVERTY RATE	[-] UNEMPLOYMENT BENEFITS		[-] RETIREMENT PENSION		[-] SURVIVORS' BENEFITS		[-] ILLNESS		[-] DISABILITY		[-] EDUCATIONAL ASSISTANCE	
		POVERTY RATE	REDUCTION (POINTS)	POVERTY RATE	REDUCTION (POINTS)	POVERTY RATE	REDUCTION (POINTS)	POVERTY RATE	REDUCTION (POINTS)	POVERTY RATE	REDUCTION (POINTS)	POVERTY RATE	REDUCTION (POINTS)
2004	20.1	21.6	-1.5	33.2	-13.1	20.7	-0.6	20.5	-0.4	21.6	-1.5	20.3	-0.2
2005	20.1	22.1	-2.0	33.5	-13.4	20.8	-0.7	20.5	-0.4	21.4	-1.3	20.3	-0.2
2006	20.4	22.0	-1.6	33.9	-13.5	21.1	-0.7	20.7	-0.3	21.5	-1.1	20.6	-0.2
2007	20.1	21.7	-1.6	33.8	-13.7	20.7	-0.6	20.7	-0.6	21.2	-1.1	20.2	-0.1
2008	20.8	22.5	-1.7	34.2	-13.4	21.3	-0.5	21.2	-0.4	22.4	-1.6	20.9	-0.1
2009	20.1	22.7	-2.6	34.5	-14.4	20.6	-0.5	20.5	-0.4	21.7	-1.6	20.3	-0.2
2010	21.4	25.6	-4.2	36.1	-14.7	22.3	-0.9	21.8	-0.4	23.1	-1.7	21.7	-0.3
2011	22.2	27.0	-4.8	35.8	-13.6	25.0	-2.8	22.6	-0.4	24.0	-1.8	22.5	-0.3
2012	22.1	26.0	-3.9	36.0	-13.9	25.4	-3.3	22.3	-0.2	23.9	-1.8	22.4	-0.3

Source: By author based on the Living Conditions Survey, 2004-2012. Population weights used. Distribution by persons.

TABLE 8.7

Effect of economic benefits to individuals on the relative child poverty rate in Spain, 2004-2012

(in percentages and by percentage points)

YEAR	POVERTY RATE	[-] UNEMPLOYMENT BENEFITS		[-] RETIREMENT PENSION		[-] SURVIVORS' BENEFITS		[-] ILLNESS		[-] DISABILITY		[-] EDUCATIONAL ASSISTANCE	
		POVERTY RATE	REDUCTION (POINTS)	POVERTY RATE	REDUCTION (POINTS)	POVERTY RATE	REDUCTION (POINTS)	POVERTY RATE	REDUCTION (POINTS)	POVERTY RATE	REDUCTION (POINTS)	POVERTY RATE	REDUCTION (POINTS)
2004	25.4	27.2	-1.8	28.4	-3.0	25.7	-0.3	25.9	-0.5	26.1	-0.7	25.5	-0.1
2005	26.0	28.7	-2.7	28.6	-2.6	26.4	-0.4	26.4	-0.4	26.6	-0.6	26.4	-0.4
2006	27.1	29.3	-2.2	29.1	-2.0	27.6	-0.5	27.3	-0.2	27.6	-0.5	27.5	-0.4
2007	25.9	27.9	-2.0	27.9	-2.0	26.3	-0.4	26.6	-0.7	26.6	-0.7	26.1	-0.2
2008	27.8	29.9	-2.1	29.6	-1.8	28.0	-0.2	28.4	-0.6	28.6	-0.8	28.0	-0.2
2009	26.9	30.1	-3.2	28.8	-1.9	27.2	-0.3	27.3	-0.4	27.7	-0.8	27.0	-0.1
2010	28.1	32.8	-4.7	29.9	-1.8	29.0	-0.9	28.3	-0.2	29.2	-1.1	28.3	-0.2
2011	29.1	33.9	-4.8	30.8	-1.7	29.8	-0.7	29.4	-0.3	30.0	-0.9	29.2	-0.1
2012	28.9	33.4	-4.5	30.1	-1.2	29.6	-0.7	29.1	-0.2	29.8	-0.9	29.3	-0.4

Source: By author based on the Living Conditions Survey, 2004-2012. Population weights used. Distribution by persons.

These results reveal that unemployment benefits are a very important source of income for households with children, above all, with the dramatic increase in the unemployment rate.⁽¹²⁾ But despite the positive impact of unemployment benefits in reducing child poverty, this does not compensate for the poverty associated with unemployment, as the rate of child poverty has continued to increase in recent years. In addition, we can anticipate a decline in the impact of unemployment benefits on poverty, as many individuals will lose their coverage (without finding employment). Moreover, this also unfortunately means that Spanish families with children have become more dependent on social benefits. According to Cantó and Ayala (2014), families with children obtain 15% of their income from social benefits (excluding pensions), double the percentage in the period prior to the crisis. As noted by the same authors, the increased sensitivity of household income to the economic cycle can, by itself, explain the worsening of child poverty in Spain.

Regarding retirement pensions, their capacity to reduce the poverty rate is concentrated within the adult population and has little impact on children. In fact, for the total population, retirement pensions reduce the poverty rate by 13 to 15 points, while among children the reduction is only between 1 and 3 points. Clearly, the pension system provides protection to the elderly in these times of crisis that is much greater than any provided to families and children (UNICEF, 2012a).

Regarding other individual benefits, survivors' benefits had a significant impact in reducing poverty in 2011, however, with little impact on the child population. In short, survivors' benefits and benefits for illness, disability and assistance with education have a very small impact on poverty among children.

The conclusion is that Spain is not only one of the countries that spends the least on fighting child poverty, but it is also one of the least effective in doing so, as its system of taxes and transfers provides little support to

(12) The increased capacity of unemployment benefits to reduce poverty is not the result of an improvement in the conditions or amounts of the benefits, but is simply a result of the significant increase in the number of people receiving this benefit in the context of economic crisis.

families (Bradshaw *et al.*, 2012; Mari-Klose and Mari-Klose, 2012; Cantó and Ayala, 2014; Föster and Mira d'Ercole 2005; Immervoll *et al.*, 2006).⁽¹³⁾

8.3. Analysis of different types of monetary assistance to combat child poverty

In what follows we present the results from simulating the impact of three types of measures to combat child poverty: a universal transfer, in other words, monetary assistance for all children; a transfer conditioned on a maximum level of income; and a transfer conditioned on belonging to one of the population groups with a greater risk of child poverty.⁽¹⁴⁾

The simulations that we present provide the same assistance to each child in a household. On the one hand, the monetary assistance is by child and not by household, and, on other hand, the quantity of assistance is independent of the number of children in a household; that is, we do not consider the possible economies of scale involved in having more than one child. This is what governments tend to do. For example, the state aid to working mothers with children under 3 years of age, or the aid provided by the Catalan Generalitat per child under 3 years of age was given for each child and the quantity was the same for all the children in the household.

As already mentioned, for all the simulations we give results for the year 2011, which is the year with the highest rate of child poverty in the period analysed.

8.3.1. Universal transfers

The first form of assistance we consider is a universal transfer, that is, for all children independent of the income of their parents or of their

(13) For example, Cantó and Ayala (2014) have shown that in the year 2011, monetary transfers received by households with children in Spain reduced poverty by 30%, while the average for the EU-27 was 45%.

(14) Cantó (2014) argues that tax deductions for children and not benefits are more effective as policies and have greater economic impact on children; however, tax deductions are not expected to have a very important impact on the fight against child poverty as a large number of poor families do not contribute. Moreover, the author adds that the various reforms in personal income tax have reduced tax revenues, which in the long-term, will result in decreased benefits for those most in need. The different changes emphasise the function of tax collection and de-emphasise the transformative function of income distribution.

socioeconomic characteristics, such as the type of family to which they belong or their age.⁽¹⁵⁾ To evaluate the capacity this type of assistance has to reduce child poverty, we first simulate the impact of a universal transfer of different quantities, from 500 euros a year to 500 euros a month (6,000 euros a year).⁽¹⁶⁾ But given that assistance above 1000 euros a year would imply a significant change in budgetary matters related to families and children, we also carry out the same analysis for transfers from between 100 and 1000 euros a year in intervals of 100 euros.

Graph 8.1 illustrates the impact of the different amounts on reducing child poverty for the year 2011. Assistance of 500 euros per year per child would reduce the rate of child poverty by 1.6 percentage points, resulting in a rate of 27.5%. With annual assistance of 2,000 euros per child we would still be talking of a risk of poverty of 21.0%, but this would be very similar to the average risk of poverty for those European countries closest to Spain - remember that, as we saw in chapter 3, the child poverty rate for the EU-15 at this time was 20%. It is important to note that adding 500 euros per year to the amount does not have the same impact in reducing poverty when the quantity of assistance per year is very generous as when it is not as generous. We see that the first 500 euros reduces the poverty rate by 1.7 points, but adding another 500 euros when families are receiving 5,000 would only reduce the poverty rate by 0.9 points (from 12.0 to 11.1%). Lastly, a very generous transfer of 6,000 euros a year per child would place Spain in a very privileged position, with a rate of child poverty of 9.8%, very similar to the rates found in the European countries with the least child poverty: Norway, Denmark, Finland, Sweden and Iceland.

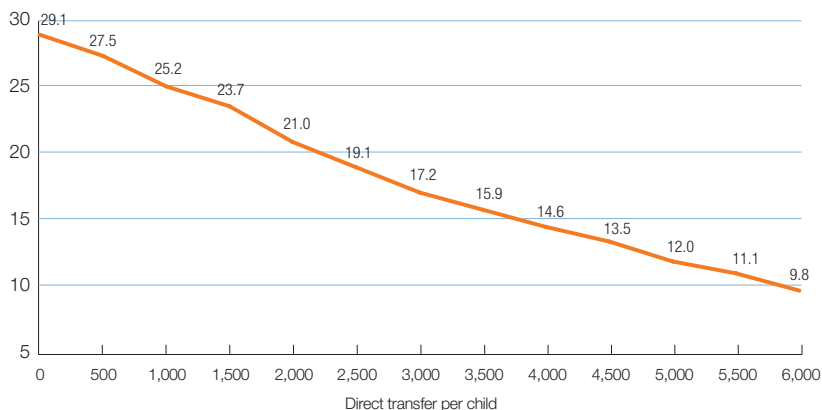
(15) In Spain there have been examples of universal assistance conceded to all children regardless of their parents' income level. For example, the well-known "baby check", introduced by the socialist government of José Luis Rodríguez Zapatero in 2008 that provided 2,500 euros for the birth of a child. This aid was eliminated in 2011 as part of the austerity measures implemented. See González (2013) for an analysis of the effects of introducing this policy on fertility and participation in the labour market and González, Borra and Sevilla-Sanz (2013) on the consequences of its elimination.

(16) In this case, we recalculate the poverty threshold with the new income distribution.

GRAPH 8.1.

Effect of universal transfers (from 500 to 6,000 euros) per child in Spain on the child poverty rate, 2011

(in percentages)

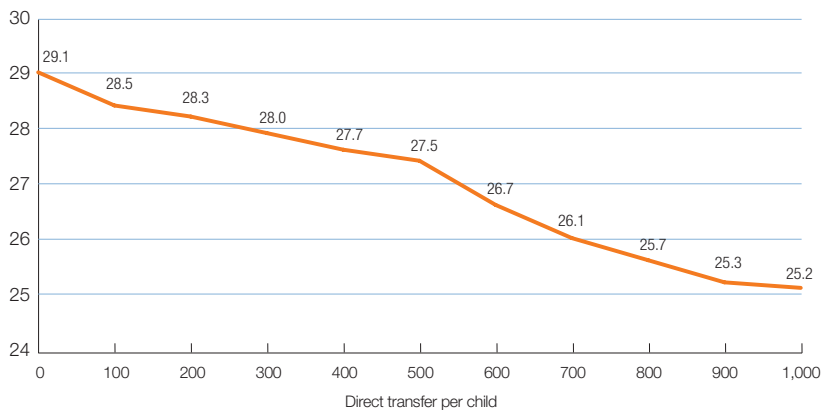


Source: by author based on data from the Living Conditions Survey, 2011. Population weights used.

GRAPH 8.2

Effect of universal transfers (from 100 to 1,000 euros) per child in Spain on the child poverty rate, 2011

(in percentages)



Source: by author based on data from the Living Conditions Survey, 2011. Population weights used.

As we pointed out above, assistance of such a large quantity would involve much higher spending than that currently dedicated to families and children. In addition, such generous transfers to all families with children, regardless of their income, could run the risk of discouraging women's participation in the labour market, particularly among families with higher incomes, which could have the unintended effect of reducing public and political support for social programmes. As a result, we will focus on smaller quantities. Graph 8.2 shows in greater detail the effects of universal transfers of up to 1,000 euros a year on the risk of poverty. We can see that starting at 500 euros per year the capacity of these transfers to reduce poverty increases considerably. Thus, for example, a universal transfer of 1,000 euros per year would involve a reduction in the number of children in poverty from 2,430,000 (29.1% of the child population) to 2,100,000 (25.2%), an impact which is considerable.⁽¹⁷⁾

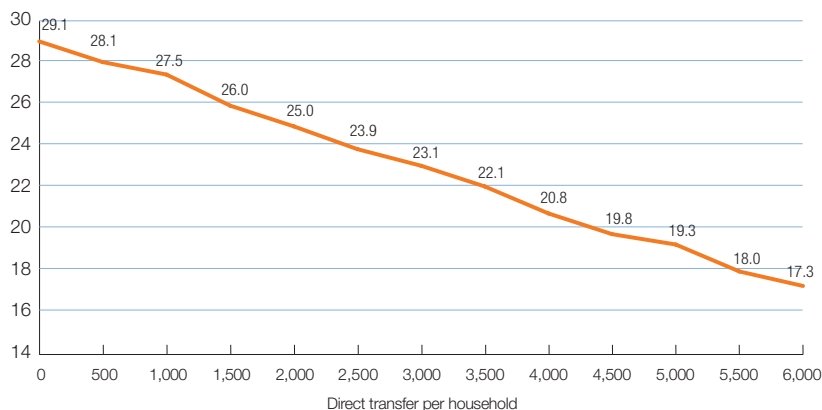
The impact of monetary assistance on child poverty is not only a result of the quantity, but also of other issues related to the design of the policy. One of these issues is the definition of the beneficiary of the assistance. In our case, we have two reasonable possibilities: the child or the family responsible for the child. In the first simulation, the child is the beneficiary of the assistance independent of the number of children in the family; in other words, families with two children receive the assistance for each child. If the assistance is given per family and not per child, families with two or more children will receive the same amount of assistance as families with one child. Therefore, families with more than one child will receive less assistance and the resulting reducing effect of the assistance will be less, as one of the population groups with the highest risk of child poverty is large families. This is shown in graph 8.3. Comparing graphs 8.1 and 8.3 we see that, in general terms, if the transfers are per household, the reduction in the rate of poverty is half that which would be achieved if the transfers are per child.

(17) See Cantó and Ayala (2014) for a similar exercise carried out with EUROMOD on universal assistance of 1,200 euros per year.

GRAPH 8.3

Effect of universal transfers (from 500 to 6,000 euros) per household in Spain on the child poverty rate, 2011

(in percentages)



Source: by author based on data from the Living Conditions Survey, 2011. Population weights used.

Universal transfers therefore are very costly, and given the budgetary limitations in this period of crisis, achieving reductions in the risk of poverty with these types of measures seems to be a difficult political objective in the short-term. In the following section, we analyse an alternative proposal that reduces the cost of combating poverty: transfers conditioned by income level.

8.3.2. Transfers based on income⁽¹⁸⁾

Dedicating assistance to those groups most in need is an attractive idea that has enjoyed broad support since the 1980s (see, among others, Atkinson, 1995), especially in periods when budgets are limited, whether because of economic crisis or for reasons related to fiscal discipline or in the name of achieving a zero deficit. Although selective assistance was first

(18) This transfer would be equivalent to extending (in coverage and amount) the current “benefit for dependent child” received by very low income families with dependent children (or disabled adults) in Spain. According to Cantó and Ayala (2014), one million children received this in 2011, but bear in mind that the average annual amount of the benefit for poor households was only 558 euros, and the overall budget for this benefit, 1.2 billion euros.

implemented in the most developed countries, with notable systems and levels of welfare, in practice it has spread to developing countries, fostered in part by institutions such as the World Bank.

It might be assumed that aiming available resources to alleviate poverty at those who are most in need will achieve the maximum effect in reducing poverty, and in this way resources will not be wasted on individuals who are not poor - which is what happens with universal transfers. In other words, it seems that limiting assistance to persons who are poor, we can reach the same objectives spending less money. In addition, and given that we have defined poverty in relative terms, if monetary transfers are only given to the poor and, as a result, no transfers are given to families with incomes above the poverty threshold, it is easier to reduce the extent of poverty, as median income before and after the transfers will be very similar and, therefore, the level of income corresponding to the poverty threshold will barely change with the transfers.

However, despite its apparent advantages, stressed in studies over the last two decades, designing and implementing a system of aid conditioned on income has costs so high that it may end up actually being more costly than a system of universal transfers. The success of such a system, therefore, will basically depend on the costs of implementing the programme, which are directly related to the information that the government possesses, its capacity for verifying the information of beneficiaries and the success it has in reaching the groups in need. The empirical literature, based primarily on Anglo-Saxon and developing countries, indicates that the complexity of selective systems can compromise their apparent effectiveness.

In contrast to universal transfers, selective assistance is difficult to allocate and manage without the involvement of the beneficiaries, as governments often do not have the mechanisms or information necessary to choose recipients correctly and make sure assistance reaches eligible households. The eligible population, therefore, plays an active role by applying for assistance, and the public administration must have mechanisms to verify the information applicants provide, which is often difficult and costly. The effectiveness of selective assistance depends on the level of problems caused by imperfect information and on administrative difficulties and costs.

Selection, apart from being extremely costly, tends to be imperfect, as it can lead to families entitled to assistance not receiving it, as well as the opposite, families that are not entitled receiving assistance. The first type of error, which all selective programmes suffer, referred to as false negatives, is a serious problem without an easy solution, (Atkinson, 1995; Van Oorschot, 1991; Currie, 2006). There are multiple causes of this problem. For example, a significant number of individuals who would potentially be eligible will not know about the assistance or programme and, as a result, will not receive it. In addition, those that are informed about it may decide not to solicit the assistance because they consider it stigmatising or because the costs of applying for it appear too high. For example, demonstrating level of income is normally done through providing a tax declaration, which is not necessarily available for persons with low income levels, as ‘declaring’ income is not compulsory for persons below a certain threshold. As a tax declaration refers to income for the previous year (and not the current year), individuals that are eligible in the current year but that did not foresee this possibility and did not file a declaration find that they are unable to demonstrate their income level and are thus unable to apply for assistance. In addition, for those who are poorest, with lower levels of literacy, including numeracy, obtaining the necessary documentation to apply can have high costs, resulting in the decision to not apply for assistance, which seems perfectly rational if the expected benefits are not that great.

Designing conditions and mechanisms that lead to effectively selecting individuals that need assistance is very difficult, creating false negatives and false positives. For instance, to evaluate a family’s economic situation, it is necessary to have current information regarding the income of all family members. However, there is no accurate enough way of demonstrating (on the part of the applicant) and verifying (on the part of the administration) what the actual income of a family is at a specific moment in time. As a result, and as mentioned earlier, entitlement is often evaluated based on the previous year’s income through a tax declaration. Some countries attempt to obtain current information on an individual’s economic situation through the workplace where they are employed, which leads to additional problems, as workers may not want to ask for

such information from their employers, and employers may not want to participate in a system that imposes administrative costs on them without offering compensation.

When receiving assistance is conditioned on the socioeconomic characteristics of the family unit, along with the difficulties already mentioned, we must add the fact that the correlation between these characteristics (for example, number of children) and poverty is imperfect. For example, although having a greater number of children increases the likelihood of falling below the poverty threshold, there are many families with multiple children that are not at risk of poverty. Despite this, certain family characteristics are often used to condition assistance, as linking assistance to income level can be very costly. In short, it is easier and cheaper, for example, to reach large families than those that are below a specific level of income. This type of imperfect selection also generates false positives, defined as an error in granting assistance to families that are not entitled to it.

Although it is difficult to avoid false negatives and false positives, these can be minimised following various strategies. To avoid individuals who are eligible for assistance ending up without it due to lack of knowledge, the availability of assistance must be widely disseminated through publicity. In addition, potential beneficiaries can be identified through already available administrative information. To minimise false negatives resulting from persons discouraged from soliciting the assistance because of the costs of satisfying the requirements for applying, the application process must be designed to be clear, easy and economical for both the applicant to provide the information necessary and for the administration to verify it. This practice will also help to keep individuals that are not eligible from taking advantage of uncertainties in the process, in that way avoiding false positives.

However, the mechanisms and processes for verification are key to minimising false positives. As in the case of fraud or tax evasion, the government must decide on the auditing policy it wants to implement (the percentage of applications investigated, the depth of these investigations, etc.) and the structure of the sanctions imposed in the case of irregularities (Cowell, 1990). The benefits of an auditing policy are determined by their

costs, both in economic terms and in terms of their negative impact on the likelihood of individuals completing the application process.

Lastly, the issue of stigma is difficult to resolve. Nevertheless, in some cases it has been shown that problems of stigma are minor when the selection of eligible groups is based on the socioeconomic characteristics of families and not only on income.

Regarding the effectiveness and costs of the programme, false negatives and positives have different consequences. False positives increase the cost of the programme but do not reduce its effectiveness, while false negatives reduce the cost and the effectiveness of the programme. From the perspective of selection, universal transfers can be interpreted as selective programmes with a significant quantity of false positives, which increments the cost of the programme. Governments often dedicate more effort to combating false positives than false negatives.

In practice, assistance is conditioned in function of (i) individual or family income, or (ii) the socioeconomic characteristics of families that are correlated with poverty, such as, for example, the number and age of children, single-parenthood and the employment status of the adults in the family. To understand the effect that different ways of conditioning transfers have on poverty, the simulations presented in this study address each of these two typical ways of defining those who will be eligible separately. However, in practice, family income and socioeconomic characteristics are used together. For example, assistance from the Catalan Generalitat for the birth of a child, adoption, guardianship or foster care are aimed at families that not only characterised by one of the previously described situations (socioeconomic characteristics), but that also do not surpass a certain income level (in this case, equivalent to seven times the so-called adequate income indicator, weighted based on the number of family members).

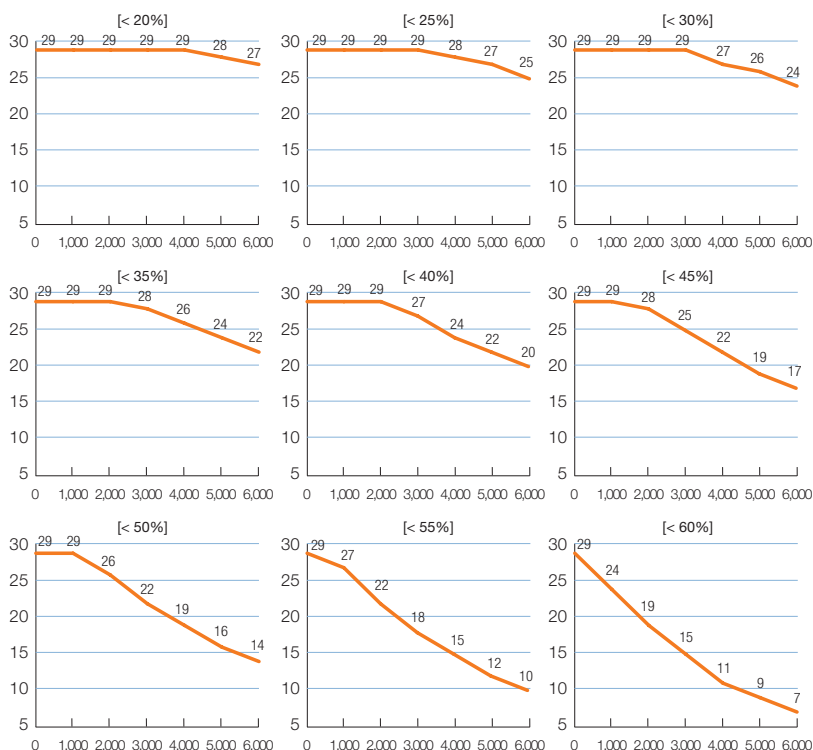
To analyse the effect on child poverty of various policy options for assistance linked to income level, we have simulated different scenarios based on changing the eligibility threshold and the amount of the benefit. The nine figures in graph 8.4 illustrate the level of poverty, based on assistance conditioned by nine different income levels. The different amounts are on the horizontal axes of the graphs. The differences among the nine panels lie in the level of income required to be eligible to receive

monetary transfers. As indicated in the the upper part of each graph, the upper left panel simulates a scenario in which only children living in families who have equivalent household income of less than 20% of median income are eligible for transfers. This income level for eligibility increases by intervals of 5% per panel (from right to left and from above to below), until reaching less than 60% of median income in the lower right panel, in other words, until the maximum level of income corresponds to the poverty threshold and therefore includes all households with poor children.

GRAPH 8.4

Rate of child poverty with transfers conditioned by household income level according to different eligibility levels (between 20 and 60% of median equivalent income)

(in percentages)



Source: by author based on data from the Living Conditions Survey, 2011. Population weights used.

For the poorest households - with equivalent household income under 30% of median equivalent income - the impact of the transfers is small, regardless of the monetary amount, as shown in the first three panels (from left to right). For example, with a maximum level of income of only 20% of equivalent median income, transfers below 4,000 euros per year do not reduce the poverty rate at all, while transfers of 5,000 or even 6,000 euros only have a minimal impact. The reduced impact of these transfers on the poverty rate is a consequence of the great distance there is between the actual family income of this group and the poverty threshold. The income of the families that would be theoretically eligible is so far from the income level necessary to exit poverty that the transfers are not enough to get children out of poverty. Therefore, the number of poor does not change with these hypothetical transfers. Nevertheless, if such families with children were to receive such transfers, they would have more resources, would be closer to leaving poverty and, therefore, less poor. This is precisely what can be seen in graph 8.5, which shows the intensity of poverty for the same scenarios as in graph 8.4. For example, when we limit assistance to families with children with incomes below 30% of median income, the intensity of poverty is reduced by almost 4 points with a transfer of 3,000 euros per child, and by half with transfers of 6,000 euros. This shows the importance of taking into account not only percentages regarding the number of poor, but also the intensity of poverty. In other words, we need to consider the distribution of income among those who are below the poverty threshold.

As we extend the group of children that are eligible, the poverty rate decreases. This reduction takes place relatively quickly for the income levels above 40% of the median income. Thus, with a transfer of 2,000 euros, the child poverty rate would be approximately 26% if the eligibility threshold were 50% of median household income, and would decline to 19% if all poor children were eligible, which would leave Spain with a level of child poverty very similar to many other European countries. Starting at 40% of median household income, the intensity of poverty would also be quickly reduced as the quantity of transfers increased.

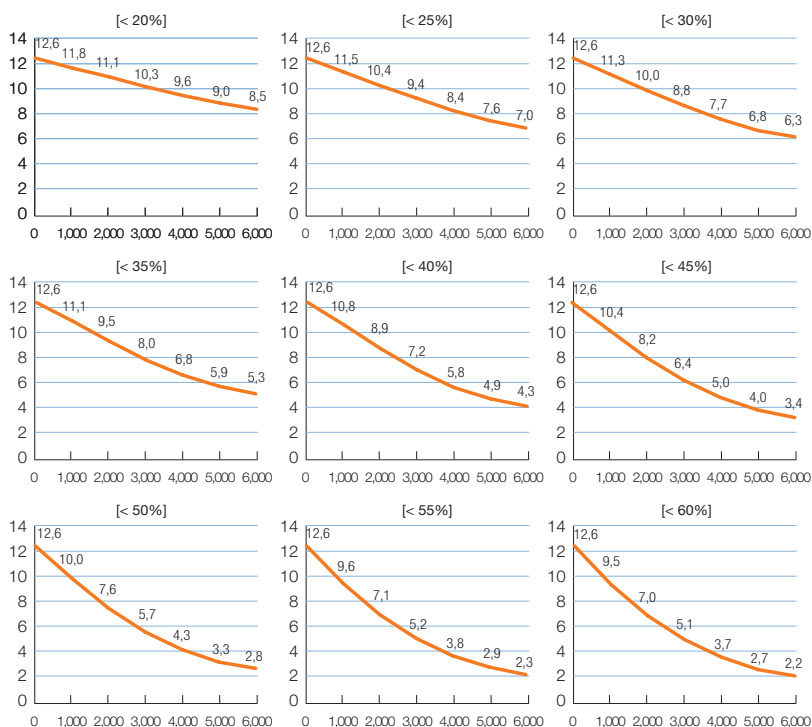
The last panel in both graphs 8.4 and 8.5 are particularly interesting, as they show the effects of transfers when the eligibility threshold is 60% of

median household income, in other words, when this aid is given to all poor families. A transfer of 1,000 euros per poor child would reduce the child poverty rate by 5 points, from 29% to 24%, and this would mean that the number of poor children would decline from 2,430,000 to 2,035,000 - almost 400,000 fewer poor children. The same transfers would also reduce the intensity of poverty by approximately 20%, from 12.6 to 9.5, while doubling the transfer to 2,000 euros would reduce child poverty by over one third and its intensity practically in half. Even more generous aid would continue to reduce the risk of poverty at a reduced pace, until reaching a child poverty rate of 7% with transfers of 6,000 per child.

GRAPH 8.5

Intensity of child poverty with transfers conditioned on household income and different levels of eligibility for transfers (between 20 and 60% of median equivalent household income)

(in percentages)



Source: By author based on Living Conditions Survey, 2011. Population weights used.

Clearly, the most important lessons from this exercise are the following. Limiting assistance to the children who are the poorest of the poor is not a good option if the effectiveness of the assistance is evaluated in terms of reducing the risk of poverty, as the poorest are so far from the poverty threshold that the assistance does not lift them out of poverty or change the rate of child poverty. However, if we look at the intensity of poverty instead of the poverty rate, we come to a different conclusion, as by dedicating all the available resources to the most disadvantaged, we manage to bring them much closer to the poverty threshold and reduce the intensity of poverty. As we increase the threshold for eligibility, we increase the effectiveness of the transfers, but also the cost of the policy.

8.3.3. Transfers aimed at groups suffering high rates of poverty

As we have discussed before, linking assistance to income level is often very complex. An alternative is to aim assistance at population groups characterised by a greater risk of poverty.⁽¹⁹⁾ In this section we analyse the effects of providing assistance to three specific population groups that were identified as having a greater risk of poverty in chapter 6; these are: adolescents (from 14 to 17 years of age), children that in single-parent families, and children that in large families. The analysis that follows can be applied to all groups at greater risk of poverty.

8.3.3.1. Adolescents

Adolescents had a risk of poverty of 30.5% in 2011, the highest of the different age groups analysed. The left panel in graph 8.6 shows that, with an annual transfer of 1,000 euros, this rate could be reduced by 1.5 points, and increasing the transfer to 6,000 euros would reduce the risk of poverty among this age group to 16.5%. This is still a high risk of poverty for this age group, but such transfers would reduce the risk by almost one half.

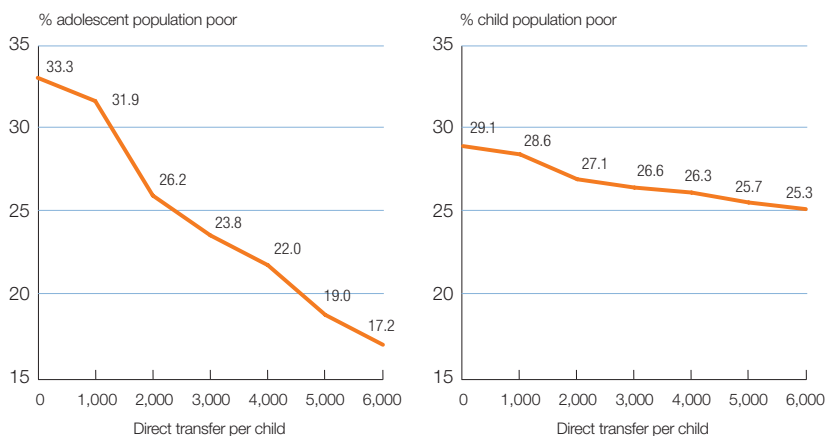
(19) Academic literature has discussed over the past three decades whether or not it makes sense to focus benefits on the poorest. In this regard, Korpi and Palme (1998) concluded that the more that benefits are focused on the poorest, the lower the impact in terms of reducing poverty and inequality (see also Paulus *et al.*, 2009). However, more recent analysis has reached the opposite conclusion. Marx, Salanauskaite and Verbist (2013) established that the more weight given to policies conditioned by income, the more effective is the struggle against poverty and inequality.

Cantó *et al.* (2012) show how the introduction of the so-called ‘baby check’ (newborn baby allowance) not only represented an important change in Spain’s family policy, but also in the composition of the beneficiaries of the assistance; benefits conditioned on income went from benefiting all children to benefiting newborns. In fact, according to these authors, it is children under 3 years of age who have most benefited from Spain’s family policy in recent years. These results do not seem to be in line with the real needs of different age groups, given that, as we have seen, it is adolescents (between 14 and 17 years of age) who are the most vulnerable. Moreover, Cantó *et al.* indicate that in reality social spending on children increases with household income level, as it ends up reaching the youngest children, who are in less need of it, because, as we have seen, a greater percentage of young children are in the higher quintiles in income distribution.

GRAPH 8.6

Effect of the generosity of assistance on the rate of poverty among adolescents (14 to 17 years of age) (left) and on the child poverty rate (right)

(in percentages)



Sources: By author based on data from the Living Conditions Survey, 2011. Population weights used.

As these population groups only represent a part of the total child population, the effect of transfers to these groups on the overall child poverty rate is less than it is on the rate for the group the transfers target. The lower the weight the group has in the overall child population, the lower the effect the transfers to it will have on child poverty. Adolescents represent 23% of the total child population, and as can be seen in the right panel in graph 8.6, the reduction in the rate of overall child poverty due to transfers that adolescents would receive is much less than the reduction in the rate of poverty among adolescents. Concretely, a transfer of 1,000 euros would reduce child poverty by only 0.5 points, while a transfer of 6,000 euros would leave the child poverty rate at a still very high 25.3%.

8.3.3.2. Children in single-parent families

Children that live in single-parent families faced a risk of poverty of 40% in 2011. In our simulation, a transfer of 4,000 euros would reduce the poverty of this group by half. However, as children living in single-parent families represent a small part of the child population (11.4%), the substantial decrease in the risk of poverty for this group (left panel in graph 8.11) does not translate into a significant reduction in the risk of poverty for all children. The right panel in the graph shows that a transfer of 1,000 euros per child to single-parent families would reduce the risk of child poverty by 0.4 points, a transfer of 2,000 euros by 1.4 points, and 5,000 euros by less than 3 points for an overall child poverty rate of 26.0%.

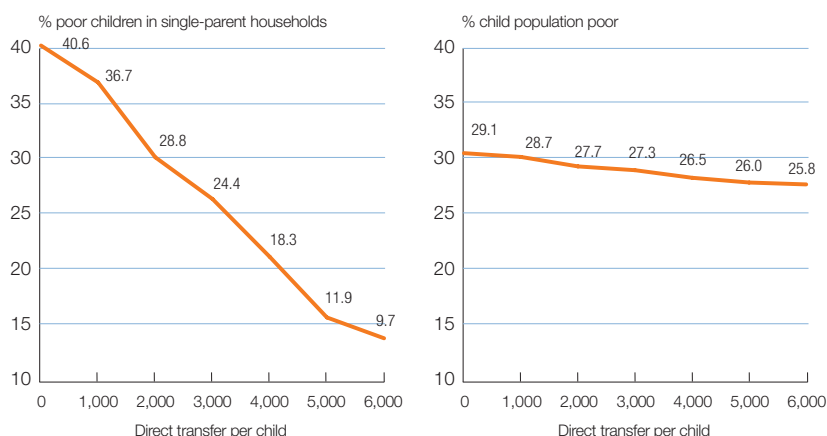
It should be noted that with a very generous transfer of 6,000 euros per year, the child poverty rate actually barely declines. This can be explained by the threshold effect: the additional 1,000 euros (added to the 5,000) only help a very small proportion of children living in single-parent families exit poverty, but it does increase the income of the families of children that would manage to exit poverty with the transfer of 5,000 euros. This causes a more than proportional increase in the overall median income, which places children in poverty that do not live in single-parent families (and therefore, do not receive this assistance) and that with the transfer of 5,000 euros were not poor. In short, despite the family income

of children not living in single-parent families not changing, by increasing median income, some children end up living in families with income below 60% of the new median.

GRAPH 8.7

Effect of the generosity of transfers on the child poverty rate in single-parent families (left) and on the overall child poverty rate (right)

(in percentages)



Source: By author based on data from the Living Conditions Survey, 2011. Population weights used.

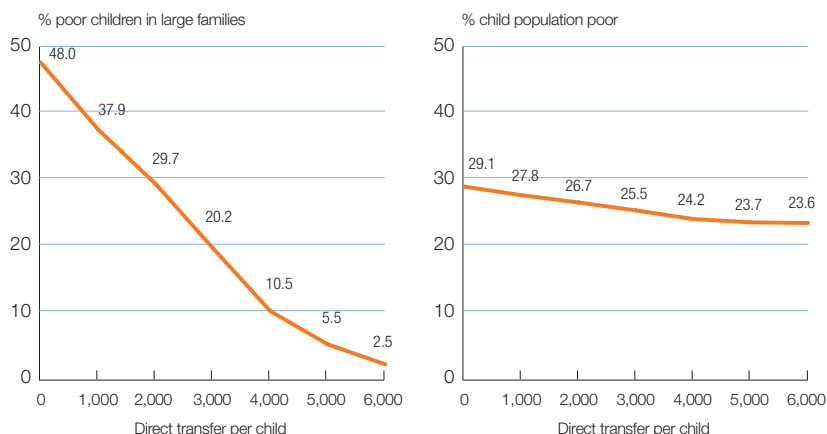
8.3.3.3. Children in large families

As with single-parent families, the reduction in poverty for children that live in large families is discontinuous and much more pronounced for transfers up to 4,000 euros (see the left panel in graph 8.8). A transfer of 1,000 euros, feasible from a budgetary perspective, reduces poverty among large families by 10 percentage points. With a transfer of 3,000 euros, the risk of poverty would be reduced to 20.2% among large families, less than half its previous level, while with a transfer of 6,000 euros, poverty would be largely eradicated among children in large families.

GRAPH 8.8

Effect of the generosity of transfers on the child poverty rate in large families (left) and on the overall child poverty rate (right)

(in percentages)



Source: By author based on data from the Living Conditions Survey, 2011. Population weights used.

The impact of these transfers on overall child poverty is shown in the right panel of graph 8.8. Transfers of up to 3,000 euros annually to children in large families would be very effective, as they would reduce the child poverty rate from 29.1% to 25.5%. Beyond this quantity, the transfers would have less impact on the risk of child poverty; with transfers of 6,000 euros, the rate would only decline an additional 0.1 points in comparison to the impact of a 5,000 euro transfer. As we explained in the case of single-parent families, such large transfers lift practically all children in large families out of poverty; therefore, more generous assistance contributes to increasing the income of non-poor families, which increases median income and results in children that do not belong to large families and that were not previously poor, entering into poverty.

8.4. Conclusions

We began this chapter explaining why some of the results obtained in this study regarding rates of child poverty and material deprivation are due to the lack of a true family policy that provides assistance to households in periods of difficulty (whether related to unemployment or other factors impacting on the ability to generate enough income) or because of specific characteristics that make them particularly vulnerable (some of which have been discussed in chapter 6 of this study).

We have emphasised the low level of funding for ‘family and children’ and ‘social exclusion’ in the state budget, despite the fact that social spending makes up a higher percentage of GDP in Spain than the average for OECD countries. Thus, for example, in 2012, 26% of social spending was spent on ‘health care’, 36% for ‘old age’ and 14% for ‘unemployment’, but only 5% for ‘family and children’ and less than 1% for ‘social exclusion’. Spending on ‘family and children’ represented less than 1.4% of GDP in 2012 (less than half the European average), while spending related to ‘social exclusion’ was only 0.2% of GDP.

Our simple static comparative exercise, through which we have measured the capacity of different monetary transfers to reduce poverty among the overall population and among children, has revealed that the current design of the system of benefits is more capable of reducing poverty among adults than among children. This is the case because retirement pensions have the greatest impact on reducing adult poverty, and clearly, such benefits have little impact on children. Unemployment benefits, as an automatic stabiliser, have increased their capacity to reduce poverty among children during the economic crisis, but this has not been enough to compensate for the poverty generated by unemployment among parents.

We concluded this chapter with three comparative static exercises, which despite many limitations, demonstrate possible measures to fight child poverty. First, we simulated the effect of a universal transfer to all children in Spain, which revealed that a transfer of 2,500 euros per year per child would be necessary to reduce child poverty below the average for the European Union 15 (to 20% in 2012). To do this implies an increase in the budget for ‘family and children’ of 40%.

Secondly, we examined the impact of assistance linked to income, which would be more effective in fighting child poverty, but perhaps more difficult to implement. In this case, fewer resources are needed, and a transfer of only 1,000 euros per year per child to households that are actually poor would lift 400,000 children out of poverty in Spain. The cost of doing this would represent approximately 0.9% of social spending. Lastly, we considered aid conditioned on certain characteristics of households, placing particular emphasis on at-risk groups. Through this we were able to show that assistance aimed at single-parent families and large families would not be very costly in terms of resources and would considerably reduce the risk of poverty for those whom it targets, but such assistance is less effective in reducing the overall child poverty rate as the most at-risk groups often only account for a relatively small proportion of poor children.

Conclusions

This study has presented an assessment of child poverty and material deprivation in Spain between 2004 and 2012, covering the first years of the current economic crisis. It is a study of economic precariousness among children from two different perspectives: first, that of monetary poverty, a one dimensional view focused on a lack of current income, and secondly, that of material deprivation, a multidimensional perspective to identify households living with low standards of living. Both approaches are necessary to identify the primary groups at risk, and their results are complementary.

The micro data used in our analysis comes from the Living Conditions Survey of Spain's National Statistics Institute (INE), which is available to researchers through the INE web page. This database forms part of a broader harmonised database developed by the European Union (EU-SILC), so the results we offer are comparable with those of other EU member states. In addition, the weighting of populations in the database allows us to project the results on the total Spanish population, with the exception of persons who do not live in private households.

Regarding methodology, this study has to a great extent followed guidelines set by the European Commission in establishing social indicators that serve to evaluate the position of economically disadvantaged population groups in member states. As a result, the relative poverty threshold that we use in most of the study is defined as 60% of median equivalent income. The equivalence scale we use, which allows us to take into account the size of a household and the age of its

members, is what is known as OECD-modified. The unit of analysis is the individual, although we measure income by the household.

To analyse material deprivation, we have used a methodology that is relatively common in international studies, but that differs from that being used by the European Commission to evaluate trends in poverty and social exclusion in member states. We have defined three dimensions that refer to different aspects of the Spanish population's standard of the living. The first dimension, basic consumption, captures the difficulties households have in terms of feeding themselves and meeting everyday expenses. The dimension referring to housing and the surrounding environment considers aspects such as the ability to maintain the home at an adequate temperature. Lastly, the secondary dimension, although capturing less important forms of deprivation, contains items considered necessary in society today. The three dimensions are aggregated in a global deprivation index that gives greater importance to the most important needs, which are also those which a smaller proportion of the population lacks.

Our results reveal that the current economic crisis has had a significant impact on the well-being of children in Spain. Thus, in chapter 2 we have seen that since the eruption of the crisis the risk of relative poverty has continued to grow for the total population, but to a much more alarming extent for those under 18 years of age. This is the case even though the poverty threshold has decreased in constant terms since 2009. In 2012, the poverty rate in Spain was approximately 22.2%, two points higher than in the period from 2004-2008. Among children, by the end of the period being studied, it had risen to 28.9%, an increase of more than 3 points in comparison with the economic boom period in Spain in the first half of the decade we are studying. The economic crisis has caused problems which have had a greater impact on families with children than on the overall population. In the European context, Spain has the highest rate of child poverty in the European Union, only surpassed by Romania.

In addition, measuring the intensity of poverty has revealed that, on average, poor children are poorer than the overall poor population and that the equivalent income of poor households with children has moved further below the poverty threshold. In short, not only are children at

greater risk of living below the poverty threshold than the overall population, but the crisis has also widened this gap.

A sensitivity analysis of the poverty threshold has shown that the effects of the crisis have in fact been felt most severely among poor children, in other words, those that live with equivalent incomes furthest from the median. One of every ten children is considered severely poor, as the percentage of children who suffer severe poverty – living in households with incomes below 30% of the median – practically doubled from 2004 to 2012.⁽¹⁾

In chapter 3 we studied the trends in poverty anchored in a period of time. Instead of allowing the poverty threshold to change from one year to the next, we fixed it in time, taking as a reference the standard of living in 2004 and indexing it to the consumer price index. The results are even more worrying than what we have seen examining relative poverty. Using this measure of anchored poverty we find that the risk of poverty grew between 2008 and 2012 from 17.4% to 24.7% for the overall population and from 23.9% to 32.1% among children. This is an increase in the poverty rate of 41 and 34% respectively. Regarding the intensity and severity of poverty, the increases are even greater. In short, the economic crisis has erased all the benefits in economic well-being for children achieved during the prior stage of economic growth. Both the overall population and children were poorer in 2011 and 2012 than in 2004, even taking the standard of living 8 years before as a reference. Therefore, in regard to economic well-being, we have gone backwards to at least the beginning of the past decade.

In a European context, Spain is the country with the third greatest increase in the risk of child poverty anchored in time (with an increase of 6 points from 2006 to 2012), only surpassed by Greece (where the rate grew by 15 points during this time), and Luxembourg (with an increase of 7 percentage points). In other words, among all EU countries, it is Spain, Greece and

(1) In contrast, if use a very high poverty threshold, 70% of median income, we do not find these differences over time. This means that the consequences of the crisis have not been as noted among families with equivalent income between 60 and 70% of the median and have been concentrated among those who are poorest.

Luxembourg that have suffered the worst consequences of the global economic crisis.

In chapter 4 we examined the importance of the cost of housing on child well-being in Spain, as measured by its impact on the poverty rate. As expected, the risk of relative poverty increases (in 2004 by more than 2 percentage points) if we subtract costs associated with housing from available income, such as rent, interest on mortgages and everyday housing expenses. Over the period studied, this gap increased to 5 percentage points, indicating that expenses associated with housing have become a greater burden for families with children and have generated greater impoverishment. Thus, based on housing costs we should define an additional 420,000 Spanish children as poor. Using a measure of anchored poverty we find even worse results.

The new variables introduced in the Living Conditions Survey in 2007 regarding mortgages and imputed rent have allowed us to study the benefits that access to home ownership in recent years has provided to many families. To do this, we add imputed rent to available income and then we subtract the cost of the mortgage from the total. The results reveal that the risk of poverty declines when calculating income in this way for the overall population, but it increases for children.⁽²⁾ This is explained by the fact that many families with children bought their homes when real estate prices were high, and as a consequence, the mortgages they pay now are much higher than imputed rent.

Looking at the type of housing tenure, we have found a very serious situation among children living in rental housing. Half of these children live in households with equivalent incomes below the poverty threshold. In the period prior to the current crisis, the percentage of poor children living in rental housing was also very high and similar to what we find currently. The near inexistence of social assistance with housing costs in case of need and the lack of publicly subsidised housing and social housing explain this situation to a large extent.

(2) This is due, to a great extent, to the fact that there are many families that own a home for which they do not pay a mortgage. Therefore, for these families, we add the collection of a hypothetical rent, but we do not discount expenses. Among young families, it is much more common that their home ownership involves the payment of a mortgage.

From a one dimensional analysis based on household income we then shifted to a multidimensional analysis, based on a categorisation of different types of material deprivation. Thus, in chapter 5 we switch from the focus on a lack of monetary resources to looking at material deprivation in children's lives. A simple tabulation of variables has revealed an increase in the prevalence of certain problems since the eruption of the economic crisis. Concretely, we have found an increase in the number of children living in households that had to delay paying their electricity, water or gas bills. In fact, almost one of every ten children in 2010-2012 lived in a home with this problem. A similar percentage of children live in homes that had to pay their rent or mortgage late. Regarding the secondary dimension, we have found an increase in the number of children that live in households that cannot meet unexpected expenses. However, we have also found a significant decline in the number of children that live in neighbourhoods with problems of pollution, noise, delinquency and vandalism.⁽³⁾

In terms of the aggregated results regarding material deprivation, we have not found a significant deterioration in the material living conditions of children corresponding to the onset of the crisis, nor have we found that children have more problems with deprivation than the population overall. However, the results do indicate that in comparison to the total population a greater number of children suffer from deprivation in all three dimensions considered simultaneously, as well as from deprivation in both the dimension of basic consumption and the secondary dimension. These children are also affected by levels of deprivation in consumption four times the average of children who suffer from one form of deprivation. Therefore, the results regarding the risk of deprivation indicate that children have a higher risk of deprivation than the overall population, although the differences are not as great as in the case of monetary poverty. Regarding what is referred to as *consistent poverty*, the results are alarming: starting in 2010 we find that for a significant proportion of families with children (representing 13.5% of

(3) As we pointed out in chapter 5, perhaps this result is due more to a psychological effect than to any real improvement in neighbourhood conditions. It is likely that some Spanish families, facing serious economic problems, no longer give importance to these aspects of living conditions.

the child population) monetary poverty is accompanied by material deprivation.

As previously discussed, given the context of economic crisis, the increase in the percentage of children facing deprivation is possibly below what might be expected. This is explained by the fact that often it is only after various periods with equivalent income below the poverty threshold that we find this economic insecurity reflected in household living conditions. It is the accumulation over time of economic difficulties that ends up turning into problems of material deprivation. This suggests, therefore, the need to devote more resources to fighting monetary poverty than to fighting material deprivation.

From a comparative perspective, and using the methodology of the European Commission, which defines severe material deprivation as suffering from four out of nine possible forms of deprivation, Spain turns out to be among the countries with the lowest percentages of adults and children affected. Although it is true that the economic crisis has resulted in an increase in the prevalence of material deprivation, Spain has still not lost its position as one of the EU countries with levels of deprivation below the EU-15 average. This contrasts, as already discussed, with what we found in the case of monetary poverty, but is also the result of a methodology which is likely to change in the short-term, as it does not reflect the actual material conditions found in certain EU member countries.

Regarding the population groups identified as the most vulnerable, adolescents stand out, with a risk of poverty of 34% over the period from 2010 to 2012. This is a very alarming finding, especially if we take into account that children from 14 to 17 years of age account for 23% of the child population in Spain. Infants and children under three years of age have a lower risk of poverty (21% in the same period); in addition, this risk did not increase with the crisis. This may be explained in part by couples choosing to have children when economic conditions are better and, therefore, these families in formation may be better prepared to face economic difficulties. In comparison with other age groups, we find that children and working-age adults have suffered the consequences of the

economic crisis much more than the elderly population, whose situation has improved in relative terms.⁽⁴⁾

After adolescents, the group at greatest risk of poverty is children with unemployed or economically inactive parents, as would be expected taking into account the spectacular increase in unemployment, precariousness in the labour market, the general fall in wages and the concentration of unemployment in certain households. In fact, analysis by type of household and parents' relationship to the labour market reveals some of the highest levels of poverty and material deprivation that we have found in this study. The risk of poverty is very high (54% between 2010 and 2012) in single-parent families where the parent is not working. In addition, we find a high risk of poverty in households with both parents but in cases where only one is working (34%). In the worst of cases, living with both parents who were not working entailed a risk of poverty of 61% before the crisis and 69% in the most recent period measured. Although these results require a more detailed analysis than we can provide here, we already found in the period prior to the crisis evidence of the difficulties balancing family life and employment among families in formation (see Mari-Klose *et al.*, 2010). With the economic recession we have seen the consequences of parents' lack of employment on their children. We should stress that one of every four poor children in Spain lives with a father or a mother that is unemployed.

We have also emphasised the economic difficulties of large families. In households with three children, both the risk of child poverty and deprivation are between 35 and 45%. In the case of households with four or more children, the risk of poverty reaches 70% and that of deprivation almost 50%. These are very high levels, which despite only affecting a relatively small percentage of the child population, reveal the lack of economic assistance to large families. It is, however, important to remember that the largest proportion of poor children (45%) live in households with two children.

(4) However, we are still talking about very high levels of poverty among the elderly, particularly if we refer to persons 70 years of age and over.

Children in single-parent families form another of the population groups at high risk of poverty, and above all material deprivation, particularly in the case of households with two or more children. In fact, the percentage of these children suffering material deprivation is double the percentage they represent in the total population. This finding is important in designing policies to provide assistance to families with children, particularly if we take into account that the number of single-parent homes has continued to increase in recent years. For these households it is not only an issue of guaranteeing sufficient income, but also a decent standard of living.

We ended chapter 6 emphasising the difficulties experienced by children in non-EU immigrant households, given that the risk of poverty and material deprivation for children in these homes is above 40%. Immigrant children represent approximately 20% of the child population, but make up more than one of every three children living in poverty and material deprivation. Families of immigrant origin have been particularly vulnerable to the impact of the crisis, given the loss of employment among their adult members and the low salaries they generally earned. These results are worrying in terms of the process of integrating the immigrant population, as poverty and deprivation reduce social cohesion and limit the opportunities available to immigrant children.

In chapter 7 we move from a static to a dynamic analysis. In other words, we shift from an *image* of the situation of children at one moment in time to offering a *film* based on data on the changes in poverty over time. This analysis has shown that the percentage of children that enter into poverty is more than two points higher than that found for the overall population, a percentage that has increased with the recession. Not only do a higher percentage of children fall into poverty than the overall population, but their likelihood of remaining poor is five points greater. Seven of every ten poor children in Spain find themselves in poverty from one year to the next. Again, the results reveal the greater impact of the economic crisis on the child population.

Through an analysis of a selected sample of the families that participated for four consecutive years in the survey, we have found that one of every five children in Spain lived in poverty for at least three of the four possible

years, in other words, in what is considered *persistent poverty*. In addition, one of every 10 children (approximately 840,000 in 2012) lived in *chronic poverty*, as they were below the poverty threshold during the entire period analysed. The proportion of the total population in such a situation is lower. In addition, a detailed analysis of the transitions by level of income indicates that some children entered into poverty and then fell into severe poverty, with a very serious decline in their standard of living. Living temporarily in poverty during childhood has serious consequences for the development of a child, but those consequences are even greater when poverty becomes a chronic problem.

Finally, in chapter 8 we showed that Spain is among the EU member countries that spend the least on social policy, particularly social policy aimed at children and families. In addition, based on an analysis of different sources of household income, we show that current policies to provide social assistance, aid to families, housing assistance or survivors' benefits, have a very limited capacity to reduce child poverty. Only unemployment benefits had a positive impact in reducing child poverty between the years 2010 and 2012. This is because unemployment benefits, as an automatic stabilizer, have increased as a proportion of total household income in Spain; however, this does not compensate for the increase in poverty associated with unemployment, as poverty has continued to increase. In short, the results reveal the incapacity of current social policy in Spain to combat child poverty.

In chapter 8 we have also analysed the effects of a series of monetary transfers to children on poverty. We considered three types of benefits: universal transfers for all children regardless of the income in their households and their socioeconomic characteristics; transfers conditioned on a maximum level of income, and transfers conditioned on belonging to a group considered to be at a greater risk of poverty, for example, single-parent families, large families and households with adolescents. To evaluate the effects of these transfers we compared the actual distribution of income with the hypothetical distribution of income that would result from the transfers.

The results from our simulations indicate that a possible option in the short term to alleviate child poverty would be transfers conditioned on

household income; such a policy would provide all the available resources for improving the situation of the poor, without spending any of the available monies on children who are not poor. However, we do not advocate for this type of transfer uncritically, as its efficiency and effectiveness can be affected by the costs of its application, which have to be considered when choosing policies to combat child poverty. Estimating such costs is always complex, and given the lack of available information on the functioning of the administration and on the behaviour of the potential beneficiaries of this assistance, many possible assumptions can be made. In this study, therefore, we have not addressed this issue. However, it is clear that in order to have a meaningful impact on reducing child poverty, a great deal more resources than are currently being dedicated to protecting children are necessary.

In conclusion, it is important to recognise that, although the economic crisis has worsened the economic well-being of children and has made child poverty in Spain much more visible (as can be seen in the coverage this issue is receiving in the media and in social networks), this is a problem that already existed before the current recession. Spain is among the EU countries with the highest rates of child poverty, and this was the case even in the previous period of economic growth. Therefore, the ultimate causes of child poverty in Spain can be found in certain characteristics of Spanish society, both structural – rooted in the very model of economic growth – and institutional. Spain is, for example, one of the few European countries where there is no universal benefit for each child, although it has been shown that having generous social benefits is directly linked to lowering child poverty.

There is little doubt that the well-being of children in a society is a reflection of that society's capacity for solidarity, its ability to achieve distributive justice and the effort it makes to ensure equal opportunities. In the words of UNICEF (2012a), 'Children are the most sensitive seismograph of the progress of peoples'. Spain's political leaders and the whole of society must reflect deeply on the kind of future desired for the country's children. They deserve nothing less.

Appendix

TABLE A

Results of probit regressions on the likelihood of relative poverty and material deprivation among children in Spain

	RELATIVE POVERTY		MATERIAL DEPRIVATION	
	COEFFICIENT (STANDARD ERROR)	X TIME EFFECT DUMMY (2010-2012)	COEFFICIENT (STANDARD ERROR)	X TIME EFFECT DUMMY (2010-2012)
Child's age				
Ref. 0-2 years old				
3-5 years old	0.028 (0.039)	0.099 (0.070)	0.018 (0.041)	0.012 (0.071)
6-9 years old	0.086** (0.037)	0.115* (0.066)	0.0005 (0.039)	-0.003 (0.067)
10-13 years old	0.095** (0.038)	0.212*** (0.068)	-0.007 (0.040)	0.033 (0.069)
14-17 years old	0.231*** (0.037)	0.412** (0.068)	-0.210 (0.039)	-0.044 (0.069)
Labour market and family structure				
Ref. Both parents work				
Single-parent, unemployed	0.989*** (0.061)	-0.011 (0.102)	0.898*** (0.060)	0.180* (0.099)
Single-parent, employed	0.380*** (0.051)	-0.057 (0.088)	0.579*** (0.052)	0.073 (0.088)
Couple, unemployed	1.244*** (0.044)	0.189*** (0.070)	0.810*** (0.044)	0.414*** (0.069)
Couple, one employed	0.708*** (0.023)	-0.015 (0.041)	0.332*** (0.024)	0.164*** (0.043)
Number of children				
Ref. 2 children				
1 child	-0.328*** (0.025)	0.068 (0.045)	0.087*** (0.025)	0.034 (0.045)
3 children	0.535*** (0.032)	-0.245*** (0.057)	0.241*** (0.035)	-0.330*** (0.061)
4 or more children	0.916*** (0.063)	-0.347*** (0.122)	0.129* (0.071)	-0.198* (0.120)
Immigrant origin				
Ref. Spanish or European origin				
Immigrant origin	0.144*** (0.033)	0.178*** (0.060)	0.222*** (0.035)	0.030 (0.059)

Statistical significance: : *** 99% confidence ** 95% and * 90%.

Note: other control variables: level of urbanisation (very populated area, average or not very populated); number of household members, at least one of the parents has a low education level, age of the mother when she had her first child, and tenancy regime of the home. N= 55886 observations. Pseudo-R² equal to 0.21 in the relative poverty regression and 0.15 for material deprivation.

Source: by author based on data from the Living Conditions Survey, 2004-2012

The probit regression coefficients must be interpreted with respect to the reference category. Thus, a positive coefficient for a specific characteristic indicates a greater likelihood of being poor or suffering material deprivation than the characteristic associated with the reference category, and with a negative coefficient, the opposite would be the case. For example, the coefficient on children of immigrant origin indicates a greater likelihood of being poor than in the case of children of Spanish origin. The interaction with the dummy variable related to the 2010-2012 period also indicates if there are differences over time for this specific characteristic. The number of asterisks shows if these are statistically significant differences: the more asterisks, the more significant the effect is and the more reliable the result obtained.

Bibliography

- ABER, J.L., N.G. BENNETT, D.C. CONLEY and J. LI (1997): «The effects of poverty on child health and development», *Annual Review of Public Health*, 18, 463-483.
- ARCANJO, M., A. BASTOS, F. NUNES and J. PASSOS (2012): «Child poverty and the reform of family cash benefits», *The Journal of Socio-Economics*, 43, 11-23.
- ATKINSON, A.B. (1995): *Incomes and the Welfare State. Essays on Britain and Europe*, Cambridge: Cambridge University Press.
- ATKINSON, T., B. CANTILLON, E. MARLIER and B. NOLAN (2002): *Social Indicators: The EU and Social Inclusion*, Oxford: Oxford University Press.
- AYALA, L., O. CANTÓ and J.G. RODRÍGUEZ (2011): «Poverty and the business cycle: the role of the intra-household distribution of unemployment», ECINEQ WP 2011-222.
- , R. MARTÍNEZ and M. SASTRE (2006a): *Familia, infancia y privación social*, Madrid: Fundación FOESSA and Cáritas.
- , R. MARTÍNEZ and M. SASTRE (2006b): «Pobreza y condiciones de vida de la infancia en España», no publicado.
- AYLLÓN, S. and A. GÁBOS (2015): «The interrelationships between the Europe 2020 social inclusion indicators», ImPRovE Working Paper 15/01, Ambers: Herman Deleeck Centre for Social Policy – University of Antwerp.
- , M. MERCADER and X. RAMOS (2007): «Caracterización de la privación y la pobreza en Cataluña», *Revista de Economía Aplicada*, 44(15), 137-175.
- , M. MERCADER and X. RAMOS (2003): *La pobreza a Catalunya. Informe 2003*, Barcelona: Fundació Un Sol Món.
- BALLESTER, R., J. VELAZCO and R. RIGALL-I-TORRENT (2015) : «Effects of the great recession on immigrants' household consumption in Spain», *Social Indicators Research*, forthcoming.
- BÁRCENA, E. and F. COWELL (2006) : «Static and dynamic poverty in Spain, 1993-2000», *Hacienda Pública Española / Review of Public Economics*, 179(4), 51-77.

- BRADBURY, B., S. JENKINS and J. MICKLEWRIGHT (2001): *The dynamics of child poverty in industrialized countries*, Cambridge: Cambridge University Press and UNICEF.
- BRADSHAW, J. (2014). «Pobreza y bienestar infantiles», *Panorama Social*, 20, 23-35.
- , AND. CHZHEN, C. DE NEUBOURG, G. MAIN, B. MARTORANO and L. MENCHINI (2012): «Relative income poverty among children in rich countries», Innocenti Working Paper, 2012-01.
- CANTÓ, O. (2014): «El papel de las políticas públicas en la lucha contra la pobreza infantil», *Panorama Social*, 20, 89-103.
- and L. AYALA (2014): *Políticas públicas para reducir la pobreza infantil en España: análisis de impacto*, Madrid: UNICEF Comité Español.
- , M. ADIEGO, L. AYALA, H. LEVY and M. PANIAGUA (2012): «Going regional. The effectiveness of different tax-benefit policies in combating child poverty in Spain», EUROMOD Working Paper EM2/2012.
- , C. DEL RÍO and C. GRADÍN (2007): «What helps households with children in leaving poverty? Evidence from Spain», *Research on Economic Inequality*, 14(1), 1-29.
- , C. GRADÍN and C. DEL RÍO (2003): «La evolución de la pobreza estática y dinámica en el período 1985-1995», *Hacienda Pública Española / Revista de Economía Pública*, 167, 87-119.
- and M. MERCADER-PRATS (2002): «Child poverty in Spain from the 70's to the 90's: a static and dynamic approach», *Journal of Applied Social Sciences Studies*, 122(4), 543-577.
- and M. MERCADER-PRATS (1998): «Child poverty in Spain: what can be said?», Innocenti Occasional Papers, Economic and Social Policy Series, 66. Florencia: UNICEF International Child Development Centre.
- CARABAÑA, J., and O. SALIDO (2014): «Ciclo económico y pobreza infantil: la perspectiva de la pobreza anclada», *Panorama Social*, 20, 37-51.
- CASAS, F., and A. BELLO (2012) (eds.): *Calidad de vida y bienestar infantil subjetivo en España. ¿Qué afecta al bienestar de niños y niñas españoles de 1.º de ESO?*, Universitat de Girona, UNICEF and Documenta Universitaria [http://www.unicef.es/sites/www.unicef.es/files/Bienestar_infantil_subjetivo_en_Espakua.pdf, consulted 01/2015].
- CASE, A., D. LUBOTSKY and C. PAXSON (2002): «Economic status and health in childhood: the origins of the gradient», *American Economic Review*, 92(5), 1.308-1.334.
- , A. FERTIG and C. PAXSON (2005): «The lasting impact of childhood health and circumstance», *Journal of Health Economics*, 24(2), 365-389.
- CASTLES, F.G., and M. FERRERA (1996): «Home ownership and the Welfare State: is Southern Europe different?», *South European Society and Politics*, 1(2), 163-185.

- CERVIÑO CUERVA, E. (2014): «La lucha contra la pobreza infantil desde la Unión Europea», *Panorama Social*, 20, 121-135.
- CORAK, M. (2006): «Do poor children become poor adults? Lessons from a cross country comparison of generational earnings mobility», IZA Discussion Paper 1993.
- , L.J. CURTIS and S. PHIPPS (2011): «Economic mobility, family background, and the well-being of children in the US and Canada», in T. SMEEDING, R. ERIKSON and M. JÄNTTI (eds.): *Persistence, privilege and parenting: the comparative study of intergenerational mobility*, New York: Russell Sage Foundation, 73-108.
- COWELL, F.A. (1990): *Cheating the government*, Cambridge, Massachusetts: MIT Press.
- CRUZ ROJA ESPAÑOLA (2012): *Boletín sobre la vulnerabilidad social*, 5 [<http://www.cruzroja.es/empresas/descargas/Boletin5versioninteractivaFINAL.pdf>, consulted 01/2015].
- CURRIE, J. (2006): «The take-up of social benefits», in A. AUERBACH, D. CARD and J. QUIGLEY (eds.): *Poverty, the distribution of income, and public policy*, New York: Russell Sage Foundation, 80-148.
- DEBELS, A., and L. VANDECASTEELE (2008): «The time lag in annual household-based income measures: assessing and correcting the bias», *The Review of Income and Wealth*, 54(1), 71-88.
- DESAI, M., and A. SHAH (1988): «An econometric approach to the measurement of poverty», *Oxford Economic Papers*, 40(3), 505-522.
- DEVICIENTI, F., and A. POGGI (2012): «Poverty and social exclusion: two sides of the same coin or dynamically interrelated processes?», *Applied Economics*, 43(25), 3.549-3-571.
- DÍAZ HUERTAS, J.A., O. VALL COMBELLES and M.A. RUIZ DÍAZ (2004): *Informe técnico sobre problemas de salud y sociales de la infancia en España*, Ministerio de Sanidad y Consumo.
- DUCLOS, J.and., and M. MERCADER (1999): «Household needs and poverty: with application to Spain and the UK», *The Review of Income and Wealth*, 45(1), 77-98.
- DUNCAN, G.J., and J. BROOKS-GUNN (1997): *Consequences of Growing Up Poor*, New York: Russell Sage Foundation.
- ERMISH, J., M. JÄNTTI and T. SMEEDING (2012): *From Parents to Children: The Intergenerational Transmission of Advantage*, New York: Russell Sage Foundation.
- , M. FRANCESCONI and D.J. PEVALIN (2001): *Outcomes for Children of Poverty*, London: Department for Work and Pensions.
- EUROPEAN COMMISSION (2010): *Europe 2020. A European strategy for smart, sustainable and inclusive growth*, Communication from the Commission. COM(2010)2020.

- (2008a): *Joint report on social protection and social inclusion, Commission staff working document, Communication from the Commission to the Council, the European Parliament, the European Economic and Social Committee and the Committee of the Regions*, COM(2008) 42 final.
- (2008b): *Child poverty and well-being in the EU. Current status and way forward*, The Social Protection Committee, Directorate General for Employment, Social Affairs and Equal Opportunities, Unit E.2.
- EUROSTAT (2012): «Income and living conditions. Reference metadata in Euro SDMX Metadata, Eurostat», Eurostat.
- FAHEY, T., B. NOLAN and B. MAÎTRE (2004): «Housing expenditures and income poverty in EU countries», *Journal of Social Policy*, 33(3), 437-454.
- FEDAIA – Federació d'Entitats d'Atenció i d'Educació a la Infància i l'Adolescència (2014): «L'afectació de salut mental en la població infantil i adolescent en situació de risc a Catalunya», Col·lecció d'Estudis de la FEDAIA [<http://www.fedaia.org/sites/fedaia/files/uploads/estudisalutmental141114.pdf>, consulted 02/2015].
- FIGARI, F. (2012): «Cross-national differences in determinants of multiple deprivation in Europe», *Journal of Economic Inequality*, 10(3), 397-418.
- FOSTER, J., J. GREER and E. THORBECKE (1984): «A class of decomposable poverty measures», *Econometrica*, 3(52), 761-766.
- FÖSTER, M., and M. MIRA D'ERCOLE (2005): «Income distribution and poverty in OECD countries in the second half of the 1990s», OECD Social, Employment and Migration Working Papers, 22.
- and G. VERBIST (2014): «Prestaciones familiares, distribución de la renta y la pobreza: el impacto de las transferencias para niños pequeños en 23 países europeos», *Panorama Social*, 20, 105-119.
- FUSCO, A. (2012): «The relationship between income and housing deprivation in Luxembourg: a longitudinal analysis», CEPS/INSTEAD Working Paper Series 2012-10.
- GARCÍA RADA, A. (2013): «Child poverty and malnutrition rise in Spain as austerity measures bite», *British Medical Journal*, 347, f5261.
- GONZÁLEZ, L. (2013): «The effects of a universal child benefit on conceptions, abortions, and early maternal labour supply», *American Economic Journal: Economic Policy*, 5(3), 160-188.
- , C. BORRA and A. SEVILLA-SANZ (2013): «The impact of eliminating a child benefit on birth timing and infant health», Barcelona GSE Working Paper 707.
- GORNICK, J.C., and M. JÄNTTI (2012): «Child poverty in cross-national perspective: lessons from the Luxembourg Income Study», *Children and Youth Services Review*, 34(3), 558-568.

- GRIGGS, J., and R. WALKER (2008): *The costs of poverty for individuals and society: a literature review*, York: Joseph Rowntree Foundation.
- GUIO, A.-C., and E. MARLIER (2013): «Alternative vs. current measures of material deprivation at EU level: what differences does it make?», ImPRovE Working Papers 13/07, Herman Deleeck Centre for Social Policy, University of Antwerp.
- , D. GORDON and E. MARLIER (2012): «Measuring material deprivation in the EU – Indicators for the whole population and child-specific indicators», Luxemburgo: European Commission, Publications Office of the European Union [<http://ec.europa.eu/eurostat/documents/3888793/5853037/KS-RA-12-018-EN.PDF>, consulted 03/2015].
- HAVEMAN, R., and B. WOLFE (1994): *Succeeding generations: on the effects on investment in children*, New York: Russell Sage Foundation.
- HERRERO, C., A. SOLER and A. VILLAR (2013): «La pobreza en España y sus Comunidades Autónomas: 2006-2011», Valencia: Ivie [http://dx.doi.org/10.12842/poverty_2012, consulted 01/2015].
- IMMERVOLL, H., H. LEVY, C. LIETZ, D. MANTOVANI, C. O'DONOGHUE, H. SUTHERLAND and G. VERBIST (2006): «Household incomes and redistribution in the European Union: quantifying the equalizing properties of taxes and benefits», in D.B. PAPADIMITRIOU (ed.): *The distributional effects of government spending and taxation*, New York: Palgrave Macmillan, 135-165.
- Instituto Nacional de Estadística (2014): «Aprovechamiento de los ficheros administrativos en la Encuesta de Condiciones de Vida» [http://www.ine.es/daco/daco42/condivi/ecv_aprov_ficheros.pdf, consulted 01/2015].
- KLOCKE, A., A. CLAIR and J. BRADSHAW (2014): «International variation in child subjective well-being», *Child Indicators Research*, 7(1), 1-20.
- KORPI, W., and J. PALME (1998): «The paradox of redistribution and strategies of inequality: Welfare State institutions, inequality, and poverty in the Western countries», *American Sociological Review*, 63(5), 661-687.
- LEVY, H., M. MATSAGANIS and H. SUTHERLAND (2013): «Towards a European Union child basic income? Within and between country effects», EUROMOD Working Paper EM 6/2013.
- , C. LIETZ and H. SUTHERLAND (2006): «A basic income for Europe's children?», EUROMOD, Working Paper EM4/06.
- , C. LIETZ and H. SUTHERLAND (2005): «Alternative tax-benefit strategies to support children in the European Union: recent reforms in Austria, Spain, and the United Kingdom», UNICEF Innocenti Research Centre, 07/2005.
- LUNDBERG, S.J., R.A. POLLAK and T.J. WALES, (1997): «Do husbands and wives pool their resources?», *The Journal of Human Resources*, 32(3), 463-480.

- MARÍ-KLOSE, P., and M. MARÍ-KLOSE (2012): «Edad, vulnerabilidad económica y Estado del Bienestar. La protección social contra la pobreza de niños y personas mayores», *Panorama Social*, 15, 107-126.
- , M. MARÍ-KLOSE, E. VAQUERA and S.A. CUNNINGHAM (2010): *Infancia y futuro. Nuevas realidades, nuevos retos*, Barcelona: Obra Social "la Caixa".
- MARTÍNEZ LÓPEZ, R. (2014): «Pobreza infantil en España: tendencias e impacto de la crisis», *Panorama Social*, 20, 9-21.
- and J. RUIZ HUERTA (2014): «No country for (migrant) children? The Great Recession and multidimensional disadvantage of children in Spain», unpublished paper.
- and C. NAVARRO (2014): «Baja renta y privación material en España: ¿Qué factores explican las diferencias en el perfil de los grupos de riesgo?», article presented at the XVII Encuentro de Economía Aplicada, Gran Canaria, 5-6 June 2014.
- MARX, I., L. SALANAUSKAITE and G. VERBIST (2013): «The paradox of redistribution revisited: and that it may rest in peace?», IZA Discussion Paper 7414.
- NAJMAN, J.M., M.R. HAYATBAKHS, A. CLAVARINO, W. BOR, M.J. O'CALLAGHAN and G.M. WILLIAMS (2010): «Family poverty over the early life course and recurrent adolescent and young adult anxiety and depression: a longitudinal study», *American Journal of Public Health*, 100(9), 1.719-1.723.
- OECD (2013): «Crisis squeezes income and puts pressure on inequality and poverty» [<http://www.oecd.org/social/soc/OECD2013-Inequality-and-Poverty-8p.pdf>, consulted 01/2015].
- (2012): «Quality review of the OECD database on household incomes and poverty and the OECD earnings database» [http://www.oecd.org/els/soc/oecdincomedistributionqualityreview_parti.pdf, consulted 01/2015].
- ORSHANSKY, M. (1965): «Counting the poor: another look at the poverty profile», *Social Security Bulletin*, 28(1), 3-29.
- PAULUS, A., M. ČOK, F. FIGARI, P. HEGEDUS, N. KUMP, O. LELKES, H. LEVY, C. LIETZ, S. LUPSIK, D. MANTOVANI, L. MORAWSKI, H. SUTHERLAND, P. SZIVOS and A. VÖRK (2009): «The effects of taxes and benefits on income distribution in the enlarged EU», EUROMOD Working Paper, EM8/09.
- ROWNTREE, S. (1901): *Poverty. A study of town life*, London: Macmillan.
- SMEEDING, T.M., R. ERIKSON and M. JÄNTTI (2011) (eds.): *Persistence, Privilege, and Parenting. The Comparative Study of Intergenerational Mobility*, New York: Russell Sage Foundation.
- STEVENS, A.H. (1999): «Climbing out of poverty, falling back in: measuring the persistence of poverty over multiple spells», *The Journal of Human Resources*, 34(3), 557-599.
- SUGLIA, S.F., C.S. DUARTE, E.C. CHAMBERS and R.B. JARRETT (2012): «Cumulative social risk and obesity in early childhood», *Pediatrics*, 129(5), 1.173-1.179.

- SUTHERLAND, H. (2001): «EUROMOD: an integrated European benefit-tax model: final report», EUROMOD Working Paper, EM9/01.
- , F. FIGARI, O. LELKES, H. LEVY, C. LIETZ, D. MANTOVANI and A. PAULUS (2008): «Improving the capacity and usability of EUROMOD: final Report», EUROMOD Working Paper, EM4/08.
- SÍNDIC DE GREUGES DE CATALUNYA (2013): *Informe sobre la malnutrició infantil a Catalunya* [<http://www.sindic.cat/site/unitFiles/3506/Informe%20malnutricio%20infantil%20catala.pdf>, consulted 01/2015].
- TUNSTALL, R., M. BEVAN, J. BRADSHAW, K. CROUCHER, S. DUFFY, C. HUNTER, A. JONES, J. RUGG, A. WALLACE and S. WILCOX (2013): «The links between housing and poverty: an evidence review», JRF Report, York: Joseph Rowntree Foundation.
- UNICEF (2014): *Children of the recession: the impact of the economic crisis on child well-being in rich countries*, Florencia: Innocenti Research Centre [<http://www.unicef-irc.org/publications/733>, consulted 01/2015].
- (2013): *Child well-being in rich countries: a comparative overview*, Florence: Innocenti Research Centre [http://www.unicef-irc.org/publications/pdf/rc11_eng.pdf, consulted 01/2015].
- (2012a): *La infancia en España 2012-2013. El impacto de la crisis en los niños* [<http://www.west-info.eu/files/Report165.pdf>, consulted 01/2015].
- (2012b): *Measuring child poverty: new league tables of child poverty in the world's rich countries*, Florence: Innocenti Research Centre.
- (2010): *La infancia en España, 2010-2011. 20 años de la Convención sobre los Derechos del Niño: retos pendientes*, UNICEF-Spain.
- (2007a): *Implementation handbook for the convention on the rights of children*, 3.^a edición [http://www.unicef.org/publications/index_43110.html, consulted 01/2015].
- (2007b): *An overview of child well-being in rich countries*, Florence: Innocenti Research Centre [<http://www.unicef.org/media/files/ChildPovertyReport.pdf>, consulted 01/2015].
- (2005): *Child poverty in rich countries 2005*, Florence: Innocenti Research Centre [<http://www.unicef-rc.org/publications/pdf/repcard6e.pdf>, consulted 01/2015].
- VAN OORSCHOT, W. (1991): «Non-take-up of social security benefits in Europe», *Journal of European Social Policy*, 1, 15-30.
- WHELAN, C.T., R. LAYTE and B. MAÎTRE (2003): «Persistent income poverty and deprivation in the European Union: an analysis of the first three waves of the European Community Household Panel», *Journal of Social Policy*, 32(1), 1-18.

Index of tables and graphs

Tables

1.1	Composition of the sample (number of observations) in the Living Conditions Survey, Spain, 2004-2012	17
1.2	The distribution of total household income	18
1.3	Descriptive statistics on the distribution of annual household income, Spain, 2004-2012	20
1.4	Descriptive statistics on the distribution of equivalent annual household income, Spain, 2004-2012	21
2.1	Relative poverty thresholds for three types of families, Spain, 2004-2012	29
2.2	The rate, intensity and severity of poverty in Spain, 2004-2012	31
2.3	The rate, intensity and severity of child poverty (persons under 18 years of age) in Spain, 2004-2012	33
2.4	Relative poverty rate for the total population and the child population according to the poverty threshold used, Spain, 2004-2012	36
3.1	Values of the poverty threshold anchored in 2004 for three family-types in Spain, 2004-2012	43
3.2	Rate, intensity and severity of poverty anchored in 2004 for the total population of Spain, 2004-2012	44
3.3	Rate, intensity and severity of poverty anchored to 2004 among children in Spain, 2004-2012	46

3.4	Rate, intensity and severity of poverty anchored to 2008 for the Spanish population, 2004-2012	48
3.5	Rate, intensity and severity of poverty anchored to 2008 for children in Spain, 2004-2012	49
4.1	Rate of relative poverty and poverty anchored in 2004 for the total population before and after considering housing costs, 2004-2012	56
4.2	Rate of relative poverty and poverty anchored in 2004 for children before and after considering housing costs, 2004-2012	57
4.3	Rate of relative poverty for the total population and for children considering imputed rent and mortgage in Spain, 2007-2012	58
4.4	Rate of relative poverty for the total population and for the child population by type of housing tenure in Spain, 2004-2012	60
4.5	Percentage of the total population and the child population that suffers problems of excessive housing costs in Spain, 2004-2012	61
5.1	Percentage of the total population and the child population that suffers some type of material deprivation in basic consumption, Spain, 2004-2012	68
5.2	Percentage of the overall population and the child population who suffers some type of material deprivation in housing and in the secondary dimension, Spain, 2004-2012	69
5.3	Percentage of total population affected by type of material deprivation based on the number of types of deprivation, Spain, 2004-2012	72
5.4	Percentage of child population affected by type of material deprivation and the number of types of deprivation, Spain, 2004-2012	72
5.5	Distribution of the total population that suffers some type of deprivation and average values on the indices of deprivation, Spain, 2004-2012	74
5.6	Distribution of child population that suffers some type of deprivation and average values on the indices of deprivation, Spain, 2004-2012	75

5.7	Rates of poverty and deprivation and average values on indices of deprivation in Spain, 2004-2012	75
5.8	Percentage of individuals who are poor and/or with problems of deprivation in the population and among children, Spain, 2004-2009 and 2010-2012	77
5.9	Average values on the indices of deprivation by income bracket among the total population, Spain, 2004-2009 and 2010-2012	79
5.10	Average values on the indices of deprivation by income bracket among the Child population, Spain, 2004-2009 and 2010-2012	79
6.1	Poverty rate and rate of material deprivation for children by parents' origin, Spain, 2004-2009, and change in percentage points from 2004-2009 to 2010-2012	106
6.2.	Distribution of the total child population, the poor population and those suffering deprivation by parents' origin, Spain, 2004-2012	107
7.1	Sample used (number of observations of individuals) in the the Living Conditions Survey/European Union Statistics on Income and Living Conditions in Spain. Longitudinal database, 2004-2012	111
7.2	Poverty threshold (in euros), poverty rates (%), intensity and severity of poverty for the whole population and among children, Spain, 2004-2012	112
7.3	Transitions into and out of poverty for the Spanish population, 2004-2012	113
7.4	Transitions into and out of poverty for the Spanish population from year to year, 2004-2012	114
7.5	Transitions into and out of poverty for the child population, Spain, 2004-2012	115
7.6	Transitions into and out of poverty for the child population from year by year, Spain, 2004-2012	116
7.7	Percentage of the Spanish population and the child population by number of periods in poverty, Spain, 2004-2012 (balanced panel)	117

7.8	The prior income level of children who transition from and into poverty and rates of entry and exit, Spain, 2004-2012	119
7.9	Sensitivity analysis of transitions in and out of poverty for the overall population, Spain, 2004-2012	121
7.10	Sensitivity analysis of transitions in and out of poverty for Spanish children, Spain, 2004-2012	122
8.1	Social spending as a percentage of GDP in various OECD countries, 2000, 2005, 2009-2014	126
8.2	Social spending on families, in cash and in-kind assistance, as a percentage of GDP, 2011	127
8.3	Social spending by function expressed as a percentage of total social spending in Spain, SEEPROS, 2004-2012	129
8.4	Effect of economic benefits to households on the relative poverty rate for the total population in Spain, 2004-2012	131
8.5	Effect of economic benefits to households on the relative child poverty rate in Spain, 2004-2012	131
8.6	Effect of economic benefits to individuals on the relative poverty rate for the total population in Spain, 2004-2012	132
8.7	Effect of economic benefits to individuals on the relative child poverty rate in Spain, 2004-2012	132
A	Results of probit regressions on the likelihood of relative poverty and material deprivation among children in Spain	163

Graphs

1.1	Median of equivalent annual income by age group in Spain, 2004-2012 (constant values)	22
1.2	Distribution of the adult (18+) and child (<18) population by income quintiles, Spain, 2004 and 2012	23
1.3	Distribution of children by income quintiles and by age group, Spain 2004 and 2012	24
2.1	Trends in the relative poverty rate by age group in Spain, 2004-2012	34

2.2	Relative poverty rate for the overall population in different European countries in 2005 (left) and change, in percentage points, in the poverty rate between 2005 and 2012 (right)	28
2.3	Relative child poverty rate (persons under 18 years of age) in different European countries in 2005 (left) and change, in percentage points, in the poverty rate between 2005 and 2012 (right)	39
3.1	Rate of inter-annual variation in real gross domestic product (market prices), 2004-2012	45
3.2	Changes in the poverty rate anchored in time and relative poverty for the total population in Spain, 2004-2012	46
3.3	Changes in the rates of anchored poverty and relative poverty in Spain for children, 2004-2012	47
3.4	Rate of poverty in 2006 anchored in 2005 for the total population in different European countries (left) and the change in percentage points in the rate of poverty between 2006 and 2012 (right)	50
3.5	Rate of poverty in 2006 anchored in 2005 for children in different European countries (left) and the change in percentage points in the rate of poverty between 2006 and 2012 (right)	51
4.1	Changes in the price of housing by square meter in Spain (base 2005), 1995-2014	55
5.1	Percentage of population affected by severe material deprivation in 2005 in different European countries (left) and the change in percentage points between 2005-2012 (right)	81
5.2	Percentage of child population affected by severe material deprivation in 2005 in different European countries (left) and the change in percentage points between 2005-2012	82
6.1	Poverty rate by age groups in Spain, 2004-2009 and change in percentage points from 2004-2009 to 2010-2012	88
6.2	Deprivation rate by age groups in Spain from 2004-2009 and change in percentage points from 2004-2009 to 2010-2012	90
6.3	Distribution of the total child population, poor children and children suffering deprivation by age group, Spain, 2004-2012	91

6.4	Unemployment rate in Spain by age group from 2004-2012, both sexes	92
6.5	Poverty rate among children by type of family and parents' relationship to labour market in Spain from 2004-2009 and change in percentage points from 2004-2009 to 2010-2012	93
6.6	Deprivation rate by type of household and parents' relationship to the labour market from 2004-2009 and change in percentage points from 2004-2009 to 2010-2012	95
6.7	Distribution of the total child population, poor children and children suffering deprivation by type of household and parents' relationship to labour market, Spain, 2004-2012	97
6.8	Poverty rate by number of children in household. Spain, 2004-2009 and 2010-2012	98
6.9	Deprivation rate by number of children in the household, Spain, 2004-2009 and 2010-2012	100
6.10	Distribution of the total child population, poor children and children suffering deprivation by number of children in the household, Spain, 2004-2012	101
6.11	Poverty rate by number of parents and children in household between 2004-2009 and the change in percentage points from 2004-2009 to 2010-2012	102
6.12	Deprivation rate by number of parents and children in the household between 2004-2009 and the change in percentage points from 2004-2009 to 2010-2012	103
6.13	Distribution of the total child population, poor children and children suffering deprivation by number of parents and children in the household, Spain, 2004-2012	105
8.1.	Effect of universal transfers (from 500 to 6,000 euros) per child in Spain on the child poverty rate, 2011	136
8.2	Effect of universal transfers (from 100 to 1,000 euros) per child in Spain on the child poverty rate, 2011	136

8.3	Effect of universal transfers (from 500 to 6,000 euros) per household in Spain on the child poverty rate, 2011	138
8.4	Rate of child poverty with transfers conditioned by household income level according to different eligibility levels (between 20 and 60% of median equivalent income)	143
8.5	Intensity of child poverty with transfers conditioned on household income and different levels of eligibility for transfers (between 20 and 60% of median equivalent household income)	145
8.6	Effect of the generosity of assistance on the rate of poverty among adolescents (14 to 17 years of age) (left) and on the child poverty rate (right)	147
8.7	Effect of the generosity of transfers on the child poverty rate in single-parent families (left) and on the overall child poverty rate (right)	149
8.8	Effect of the generosity of transfers on the child poverty rate in large families (left) and on the overall child poverty rate (right)	150

Box

5.1	Indicators used by the European Commission to calculate severe material deprivation	80
-----	---	----

Social Studies Collection

Available on the internet: www.laCaixa.es/ObraSocial

Published titles

1. FOREIGN IMMIGRATION IN SPAIN (*Out of stock*)
Eliseo Aja, Francesc Carbonell, Colectivo Ioé (C. Pereda, W. Actis and M. A. de Prada), Jaume Funes and Ignasi Vila
2. VALUES IN SPANISH SOCIETY AND THEIR RELATION TO DRUG USE (*Out of stock*)
Eusebio Megías (director)
3. FAMILY POLICIES FROM A COMPARATIVE PERSPECTIVE (*Out of stock*)
Lluís Flaquer
4. YOUNG WOMEN IN SPAIN (*Out of stock*)
Inés Alberdi, Pilar Escario and Natalia Matas
5. THE SPANISH FAMILY AND ATTITUDES TOWARD EDUCATION (*Out of stock*)
Víctor Pérez-Díaz, Juan Carlos Rodríguez and Leonardo Sánchez Ferrer
6. OLD AGE, DEPENDENCE AND LONG-TERM CARE (*Out of stock*)
David Casado Marín and Guillem López and Casasnovas
7. YOUNG PEOPLE AND THE EUROPEAN CHALLENGE
Joaquim Prats Cuevas (director)
8. SPAIN AND IMMIGRATION
Víctor Pérez-Díaz, Berta Álvarez-Miranda and Carmen González-Enriquez
9. HOUSING POLICY FROM A COMPARATIVE EUROPEAN PERSPECTIVE
Carme Trilla
10. DOMESTIC VIOLENCE (*Out of stock*)
Inés Alberdi and Natalia Matas
11. IMMIGRATION, SCHOOLING AND THE LABOUR MARKET
Colectivo Ioé (Walter Actis, Carlos Pereda and Miguel A. de Prada)
12. ACOUSTIC CONTAMINATION IN OUR CITIES
Benjamín García Sanz and Francisco Javier Garrido
13. FOSTER FAMILIES
Pere Amorós, Jesús Palacios, Núria Fuentes, Esperanza León and Alicia Mesas
14. PEOPLE WITH DISABILITIES AND THE LABOUR MARKET
Colectivo Ioé (Carlos Pereda, Miguel A. de Prada and Walter Actis)
15. MOSLEM IMMIGRATION IN EUROPE
Víctor Pérez-Díaz, Berta Álvarez-Miranda and Elisa Chuliá
16. POVERTY AND SOCIAL EXCLUSION
Joan Subirats (director)
17. THE REGULATION OF IMMIGRATION IN EUROPE
Eliseo Aja, Laura Díez (coordinators)
18. EUROPEAN EDUCATIONAL SYSTEMS: CRISIS OR TRANSFORMATION?
Joaquim Prats and Francesc Raventós (directors), Edgar Gasòliba (coordinator)
19. PARENTS AND CHILDREN IN TODAY'S SPAIN
Gerardo Meil Landwerlin

20. SINGLE PARENTING AND CHILDHOOD
Lluís Flaquer, Elisabet Almeda and Lara Navarro
21. THE IMMIGRANT BUSINESS COMMUNITY IN SPAIN
Carlota Solé, Sònia Parella and Leonardo Cavalcanti
22. ADOLESCENTS AND ALCOHOL. THE PARENTAL VIEW
Eusebio Megías Valenzuela (director)
23. INTERGENERATIONAL PROGRAMMES. TOWARDS A SOCIETY FOR ALL AGES
Mariano Sánchez (director)
24. FOOD, CONSUMPTION AND HEALTH
Cecilia Díaz Méndez y Cristóbal Gómez Benito (coordinators)
25. VOCATIONAL TRAINING IN SPAIN. TOWARD THE KNOWLEDGE SOCIETY
Oriol Homs
26. SPORT, HEALTH AND QUALITY OF LIFE
David Moscoso Sánchez and Eduardo Moyano Estrada (coordinators)
27. THE RURAL POPULATION IN SPAIN. FROM DISEQUILIBRIUM TO SOCIAL SUSTAINABILITY
Luis Camarero (coordinator)
28. CARING FOR OTHERS A CHALLENGE FOR THE 21ST CENTURY
Constanza Tobío, M.^a Silveria Agulló Tomás, M.^a Victoria Gómez and M.^a Teresa Martín Palomo
29. SCHOOL FAILURE AND DROPOUTS IN SPAIN
Mariano Fernández Enguita Luis Mena Martínez and Jaime Riviere Gómez
30. CHILDHOOD AND THE FUTURE: NEW REALITIES, NEW CHALLENGES
Pau Mari-Klose, Marga Mari-Klose, Elizabeth Vaquera and Solveig Argeseanu Cunningham
31. IMMIGRATION AND THE WELFARE STATE IN SPAIN
Francisco Javier Moreno Fuentes María Bruquetas Callejo
32. INDIVIDUALIZATION AND FAMILY SOLIDARITY
Gerardo Meil
33. DISABILITY AND SOCIAL INCLUSION
Colectivo Ioé (Carlos Pereda, Miguel Ángel de Prada, Walter Actis)
34. THE TRANSITION TO ADULTHOOD IN SPAIN: ECONOMIC CRISIS AND LATE EMANCIPATION
Almudena Moreno Mínguez (coordinator)
35. CRISIS AND SOCIAL FRACTURE IN EUROPE. CAUSES AND EFFECTS IN SPAIN
Miguel Laparra and Begoña Pérez Eransus (coords.)

36. THE FERTILITY GAP IN
EUROPE: SINGULARITIES
OF THE SPANISH CASE
Gøsta Esping-Andersen (Editor),
Bruno Arpino, Pau Baizán, Daniela
Bellani, Teresa Castro-Martín,
Mathew J. Creighton, Maïke van
Damme, Carlos Eric Delclòs,
Marta Domínguez, María José
González, Francesca Luppi, Teresa
Martín-García, Léa Pessin, Roberta
Rutigliano
37. NEIGHBOURHOOD CRIME
PERCEPTIONS AND REACTIONS
Alfonso Echazarra
38. GROWING UP IN SPAIN:
THE INTEGRATION OF THE
CHILDREN OF IMMIGRANTS
Rosa Aparicio and Alejandro Portes
39. LEARNING AND THE LIFE
CYCLE. INEQUALITY OF
OPPORTUNITIES FROM
PRESCHOOL EDUCATION
TO ADULTHOOD
Héctor Cebolla-Boado, Jonas Radl
and Leire Salazar
40. CHILDHOOD, POVERTY AND
THE ECONOMIC CRISIS
Sara Ayllón Gatnau

The future of a society depends to a large extent on the level of well-being and opportunities it offers to children. It is therefore crucial to know the extent to which households with children are affected by poverty and material deprivation.

This is specifically the objective of this study, which examines poverty levels among families with children between 2004 and 2012, analysing the impact of poverty on families that are particularly vulnerable, such as single parent families, those in which the parents are unemployed and those of immigrant origin.

The study also compares the effectiveness and economic viability of diverse social policy measures aimed at reducing the levels of poverty and material deprivation in households with children.



"la Caixa" Foundation